



PIVOTBOSS

PRESENTS

SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

with Frank Ochoa

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THE 5-STEP SWING TRADING BLUEPRINT

1. **Risk Management** | Set your risk parameters
2. **Trade Sequences** | Find trading opportunities
3. **Strategy Toolkit** | Choose a trading strategy
4. **Execution** | Execute the strategy
5. **Documentation** | Document and review the results

THE 5-STEP SWING TRADING BLUEPRINT

RISK MANAGEMENT > TRADE SEQUENCES > STRATEGY TOOLKIT > EXECUTION > DOCUMENTATION

“Those traders who have confidence in their own trades, who trust themselves to do what needs to be done without hesitation, are the ones who become successful. They no longer fear the erratic behavior of the market. They learn to focus on the information that helps them spot opportunities to make a profit, rather than focusing on the information that reinforces their fears.”

— Mark Douglas, *Trading in the Zone*

Swing Trade Pro 2.0: The 5-Step Swing Trading Blueprint is a powerful 5-part course that is designed to teach you how to execute high probability swing trades in the markets you wish to engage.

Swing Trade Pro 2.0 offers a universal approach to engaging any market and any timeframe as a participant, whether you trade stocks, ETFs, futures, forex, or cryptocurrencies, or whether you're trading daily bars, hourly bars, or intraday.

This training is also platform agnostic, which means we are delivering a blueprint that can be traded with the platform you're currently using.



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THE 5-STEP SWING TRADING BLUEPRINT

RISK MANAGEMENT > TRADE SEQUENCES > STRATEGY TOOLKIT > EXECUTION > DOCUMENTATION

1. **Risk Management:** You will learn how to assess your risk tolerance, how to calculate core equity, trade allocation, and max portfolio risk for various account sizes. You will also learn how and when to adjust your level of risk exposure, and how to use the Risk Management Matrix.
2. **Trade Sequences:** You will learn how to identify and trade five Day Type Blueprints and four Trade Sequences. These blueprints and sequences will help you recognize important days in the market, so you will know how to engage them, including identifying each absorption zone, multiple entry points, and failure points.
3. **Strategy Toolkit:** You will learn about the various options strategies in our Strategy Toolkit, and how to choose the right strategy for the trading opportunity presenting itself. The Strategy Toolkit is designed to allow you to choose trading strategies that are categorized by their relative risk profiles, thus allowing you to pick the type of risk that you're willing to take relative to the probability of profit for the opportunity you're considering trading.
4. **Execution:** You will learn five execution techniques and how to use them to execute entries and manage positions in the market, including scaling into and scaling out of positions according to the technique and risk exposure you choose to execute.
5. **Documentation:** You will learn how to document your trades and experiences in the market, including documenting entries, exits, and trade results. Additionally, documentation allows you to review past performance so that you can identify and improve upon weaknesses, while identifying and building upon strengths.



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SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

STEP 1: RISK MANAGEMENT



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1. RISK MANAGEMENT

SET YOUR RISK PARAMETERS

- 1.1 Equity Model Calculation
- 1.2 Trade Allocation Model
- 1.3 Percent of Trade Allocation
- 1.4 Portfolio Heat
- 1.5 Risk Management Matrix

RISK MANAGEMENT: SET YOUR RISK PARAMETERS

"If you are unable to trade without the slightest bit of emotional discomfort (specifically, fear), then you have not learned how to accept the risks inherent in trading. This is a big problem, because to whatever degree you haven't accepted the risk, is the same degree to which you will avoid the risk. Trying to avoid something that is unavoidable will have disastrous effects on your ability to trade successfully."

— Mark Douglas, *Trading in the Zone*

Set Your Risk Parameters

Step 1 of our 5-Step Blueprint is Risk Management, wherein you'll learn how to define your personal risk parameters, from trade allocation to max portfolio heat. Each trader has a different risk tolerance, and it is important that you fully understand your own risk tolerance so that you may define the risk that you are willing to take for a given opportunity. You will also learn how to navigate among various levels of risk exposure as the odds of profitability for opportunities increase or decrease.

Assess Your Risk Profile:

- **Conservative:** A conservative trader focuses on capital preservation and growth, and looks to produce income trades while limiting risk.
- **Moderate:** A moderate trader focuses on growth and looks to increase and decrease risk exposure according to the odds of profitability for a given opportunity.
- **Aggressive:** An aggressive trader seeks to rapidly grow an account, and will place directional bets under the most favorable circumstances, increasing exposure as odds increase.



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RISK MANAGEMENT: EQUITY MODEL CALCULATION

Before putting your money at risk, you must first outline how you intend to manage risk. In essence, you must first set your risk parameters before executing trades. In this section, you will learn how to calculate tradable equity so you can begin determining your preferred trade allocation. We will use the Core Equity Model to calculate tradable equity.

Core Equity Model: The value of your account equity is determined by the amount of cash in your account less the risk amount allocated for each open position. Equity is only added back after closing a position. Use this model to determine how much of your account to risk for each position.

CORE EQUITY EXAMPLE:

TOTAL EQUITY	\$50,000
TRADE 1 RISK ALLOCATION (1%)	\$500 (50,000 x 1%)
REMAINING CORE EQUITY	\$49,500 (50,000 - 500)
TRADE 2 RISK ALLOCATION (1%)	\$495 (49,500 x 1%)
REMAINING CORE EQUITY	\$49,005 (49,500 - 495)
TRADE 3 RISK ALLOCATION (1%)	\$490 (49,005 x 1%)
REMAINING CORE EQUITY	\$48,515 (49,005 - 490)



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RISK MANAGEMENT: TRADE ALLOCATION MODEL

Trade Allocation determines how much you're willing to risk for a given trade. The Trade Allocation Model that we will use is the Fixed Risk Model, which allows traders to control position size as a percentage of Core Equity.

Fixed Risk Model (AKA Fixed Fractional Model): This model involves controlling position size as a percentage of core equity.

The following statistics are based on trade simulations performed by Dr. Van Tharp in his book *Van Tharp's Definitive Guide to Position Sizing Strategies*, which gives you a basic understanding of the risk profiles associated with the various percentages:

- **0.8% Fixed Risk:** Returned a chance of ruin of only 0.1% and a meager 0.4% chance of reaching 300% profit objective on 100k account over the first 100 trades
- **1.2% Fixed Risk:** Returned less than a 1% chance of ruin and a modest 8.5% chance of reaching 300% profit objective on 100k account over the first 100 trades
- **2.6% Fixed Risk:** The optimal retire/ruin ratio is risking 2.6%, based on 10,000 100 trade simulations. With this percentage, there is a 53.9% chance of reaching a profit of 300% over 100 trades, and a 12.3% chance of ruin, which was defined as a 25% loss of starting equity
- **3.6% Fixed Risk:** Returned the greatest probability of reaching +300% objective (60.3% chance), with a 22.6% chance of ruin (-25%)
- **4.6% Fixed Risk:** Returned the highest Median Gain percentage gain (+545.5%), with a 58.2% chance of success (+300%), and a 31.7% chance of failure (-25%)



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RISK MANAGEMENT: TRADE ALLOCATION MODEL

Depending on your Core Equity, you'll want to adjust the Fixed Risk Model to fit your risk profile and account goals.

For account sizes above \$25,000, look to use more of a “conventional” approach to the Fixed Risk Model, which generally includes limiting position sizing to between 1% and 3% of core equity. This becomes more important as you approach, or exceed, equity of \$100,000.

For account balances less than \$25,000, you may want to be more aggressive, as shown below:

FIXED RISK MODEL EXAMPLES:

CORE EQUITY > \$25,000

- 1.0% Fixed Risk Trade Allocation (CONSERVATIVE)
- 1.5% Fixed Risk Trade Allocation (MODERATE)
- 2-3.0% Fixed Risk Trade Allocation (AGGRESSIVE)

EXAMPLE: \$150,000 (CORE EQUITY) x 1.5% (MODERATE) = \$2,250 Trade Allocation

CORE EQUITY < \$25,000

- 2.5% Fixed Risk Trade Allocation (CONSERVATIVE)
- 5.0% Fixed Risk Trade Allocation (MODERATE)
- 10.0% Fixed Risk Trade Allocation (AGGRESSIVE)

EXAMPLE: \$10,000 (CORE EQUITY) x 10.0% (AGGRESSIVE) = \$1000 Trade Allocation



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RISK MANAGEMENT: TRADE ALLOCATION MODEL

In this section, you will learn how to increase or decrease the level of exposure to the market for a trade based on the odds of profitability of the opportunity presenting itself.

Level of Exposure refers to the amount of risk capital that is exposed to the market for a given opportunity. Ideally, you want to increase the level of exposure for opportunities with higher odds of success, and look to decrease the level of exposure for opportunities with lower odds of success.

Depending on the odds of success and your desired level of exposure, you can execute entries into positions conservatively, moderately, or aggressively.

ODDS-BASED TRADE ALLOCATION:

ACCOUNT SIZE > \$25,000

- 1.0% (CONSERVATIVE): For trades with good odds of success
- 1.5% (MODERATE): For trades with high odds of success
- 2-3.0% (AGGRESSIVE): For trades with the best odds of success

ACCOUNT SIZE < \$25,000

- 2.5% (CONSERVATIVE): For trades with good odds of success
- 5.0% (MODERATE): For trades with high odds of success
- 10.0% (AGGRESSIVE): For trades with the best odds of success



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RISK MANAGEMENT: PERCENT OF TRADE ALLOCATION

Percent of Trade Allocation allows you to systematically scale into a position using a percentage of overall trade allocation. This entry allocation technique gives you a powerful approach to controlling the amount of overall trade allocation that will be exposed to the market at the outset of a trade, and then looking to reward winning trades with additional exposure.

Again, depending on the odds of success for an opportunity and your desired level of exposure, you can allocate conservative, moderate, and aggressive trade allocations, but choose to scale into these positions with a bit more conservatism.

ENTRY ALLOCATION:

- **Good Odds — 1.0% FIXED RISK (CONSERVATIVE)**
 - Scale into 33% of 1% Trade Allocation (CONSERVATIVE)
 - Scale into 50% of 1% Trade Allocation (MODERATE)
 - Scale into 100% of 1% Trade Allocation (AGGRESSIVE)
- **High Odds — 1.5% FIXED RISK (MODERATE)**
 - Scale into 33% of 1.5% Trade Allocation (CONSERVATIVE)
 - Scale into 50% of 1.5% Trade Allocation (MODERATE)
 - Scale into 100% of 1.5% Trade Allocation (AGGRESSIVE)
- **Best Odds — 2-3.0% FIXED RISK (AGGRESSIVE)**
 - Scale into 33% of 2.6% Trade Allocation (CONSERVATIVE)
 - Scale into 50% of 2.6% Trade Allocation (MODERATE)
 - Scale into 100% of 2.6% Trade Allocation (AGGRESSIVE)



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RISK MANAGEMENT: PORTFOLIO HEAT

In this section, you will learn how to calculate the amount of capital that is at risk for a portfolio. This metric is called Portfolio Heat.

Portfolio Heat (or Total Heat): The total amount of capital at risk for a portfolio, which includes the amount at risk for each open position.

Max Portfolio Heat: The maximum amount of capital that can be simultaneously at risk for a portfolio. Max Portfolio Heat is often presented as a percentage of Total Equity.

- Designed to limit the effects of price shocks that a portfolio can experience when leverage and exposure is high
- Designed to limit the effects of price shocks that a portfolio can experience when flash crashes occur
- The amount of portfolio heat you use should depend on the quality of the system, opportunities present, and the experience of the trader



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RISK MANAGEMENT: PORTFOLIO HEAT

Limiting Portfolio Heat is extremely important, which helps to avoid ruin during flash crash events and periods of high volatility. Here's how to calculate Max Portfolio Heat for various account sizes:

Max Heat by Account Size:

- **Account Size > \$25,000:** 10-15% Max Heat
- **Account Size < \$25,000:** 20-30% Max Heat

EXAMPLE 1: Account Size = \$100,000 @ 10% Max Heat

- **Max Portfolio Heat** = \$10,000 ($\$100,000 \times 10\% = \$10,000$)
- **Trade Allocation Model @ 1.5%** = \$1,500 ($\$100,000 \times 1.5\%$)
- **Total Number of Positions** = 6 ($\$10,000 / \$1,500 = 6.6$ Positions)

EXAMPLE 2: Account Size = \$5,000 @ 20% Max Heat

- **Max Portfolio Heat** = \$1000 ($\$5,000 \times 20\% = \$1,000$)
- **Trade Allocation Model @ 5%** = \$250 ($\$5,000 \times 5\%$)
- **Total Number of Positions** = 4 ($\$1,000 / \$250 = 4$ Positions)



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RISK MANAGEMENT: RISK MANAGEMENT MATRIX

The Risk Management Matrix incorporates and automates the sections that we've covered in Step 1: Risk Management, including using Core Equity to calculate conservative, moderate, and aggressive Trade Allocations.

Populate the yellow cells with your preferred risk management parameters, and allow the spreadsheet to calculate your customized risk management matrix.

The matrix is designed to provide accuracy, speed, and efficiency in calculating trade allocations and risk management controls in real time as you trade.

PIVOTBOSS RISK MANAGEMENT MATRIX							
TOTAL EQUITY	\$ 50,000						
CORE EQUITY	\$ 50,000		FIXED RISK MODEL				
MAX HEAT (%)	10%		CONSERVATIVE	1.00%	\$ 500		
MAX HEAT (\$)	\$ 5,000		MODERATE	1.50%	\$ 750		
MAX POSITIONS	10		AGGRESSIVE	2.60%	\$ 1,300		



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THE 5-STEP SWING TRADING BLUEPRINT

STEP 1: RISK MANAGEMENT



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THE 5-STEP SWING TRADING BLUEPRINT

STEP 2: TRADE SEQUENCES



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2. TRADE SEQUENCES

FIND TRADING OPPORTUNITIES

2.1 Day Type Blueprints

2.2 Trade Sequences

TRADE SEQUENCES: **FIND TRADING OPPORTUNITIES**

Step 2 of our 5-Step Blueprint introduces Trade Sequences, which help traders find and trade opportunities in the market. You'll learn how to identify and trade specific day types and multiple-day trade sequences using blueprints that detail every absorption zone, entry point, and failure point.

The Day Type blueprints are designed to help you identify and execute entries for single sessions that are statistically important in the market, while Trade Sequences string together several day types in a row that will collectively fuel the next move.

These blueprints are designed to help you find high probability opportunities in any market and in any timeframe, and come with specific guidelines for executing and building positions. Thoroughly understanding these blueprints will give you the power to confidently execute trades in any market when the opportunity strikes.

Day Type Blueprints:

- Rejection Day Blueprint
- Absorption Day Blueprint
- Failed New Low Blueprint
- Outside Day Blueprint
- Stop Run Day Blueprint

Trade Sequences:

- Rejection Day Sequence
- Stop Run Sequence
- Failed Absorption Sequence
- Accumulation Sequence



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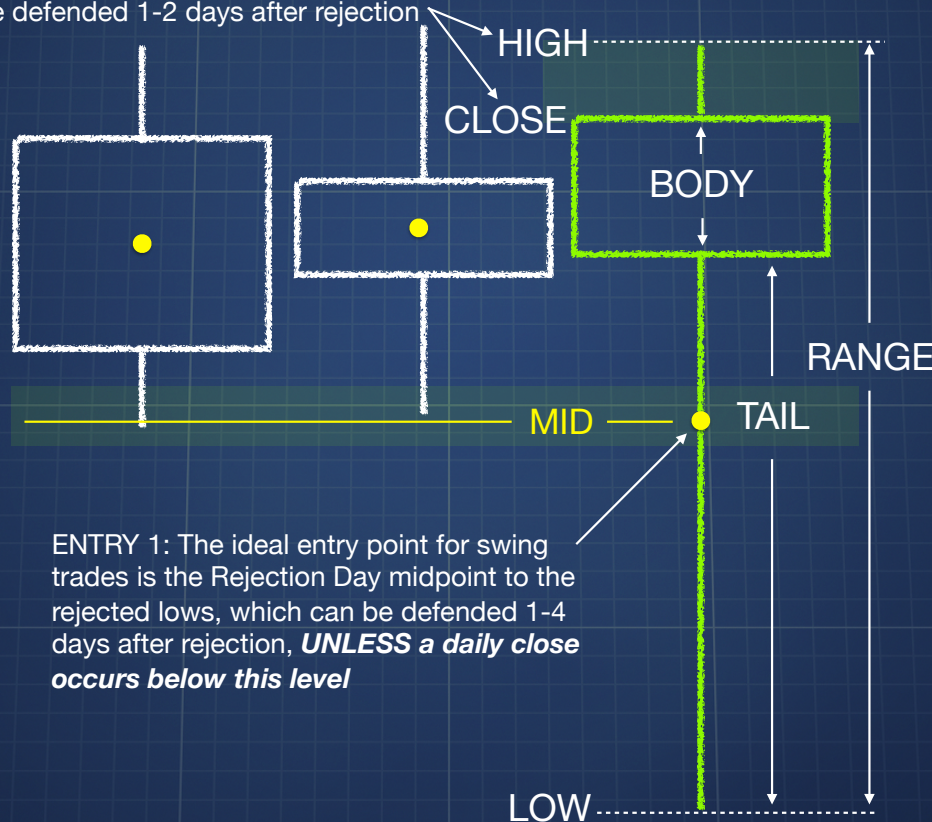
BACKGROUND

- Rejection Days develop at price extremes — ie: previous highs and lows
- Rejection Days have a range that is significantly larger than the 10-day average
- The ideal swing entry is the Rejection Day midpoint, which can be defended for 1-4 days after the rejection
- A daily close below the Rejection Day midpoint breaks the pattern, as this would indicate a retest of the Rejection Day low

REJECTION DAY BLUEPRINT

The Rejection Day is a significant day type that tends to precede powerful reversals. Absorption days typically follow this day type, which fuel the developing reversal.

ENTRY 2: Secondary entry is a retest of the Rejection Day's high/close from above, which can be defended 1-2 days after rejection



MEASUREMENTS

1. **RANGE** > greater than average, ie: > 125% ADR
2. **TAIL** > ideally greater than 2.5 x BODY size
3. **CLOSE** is usually in the upper 35% of the day's RANGE
4. **MID**: $((H+L)/2)$ = Ideal Swing Entry; price must remain above this level in order for the rejection day sequence to remain intact
5. **LOCATION**: Powerful when paired with market structure, previous lows, and low volume nodes (LVNs)
6. **ENTRIES**: Ideal entry is MID on Day 1, or just before the Close on the day of rejection. On Day 2+, price must **OPEN > MID [1]** for entry to be considered at MID

*Flip for bearish blueprint

qPEMA: 165.41 fEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

DAY TYPE BLUEPRINTS REJECTION DAY

The Rejection Day day type is a powerful pattern that can precede significant reversals in price. The primary objective during this day type is to confirm the rejection by the end of the day, with the option to enter a position (full or partial) at some point during the day, usually in the last hour of the session.

1st Entry Opportunity:

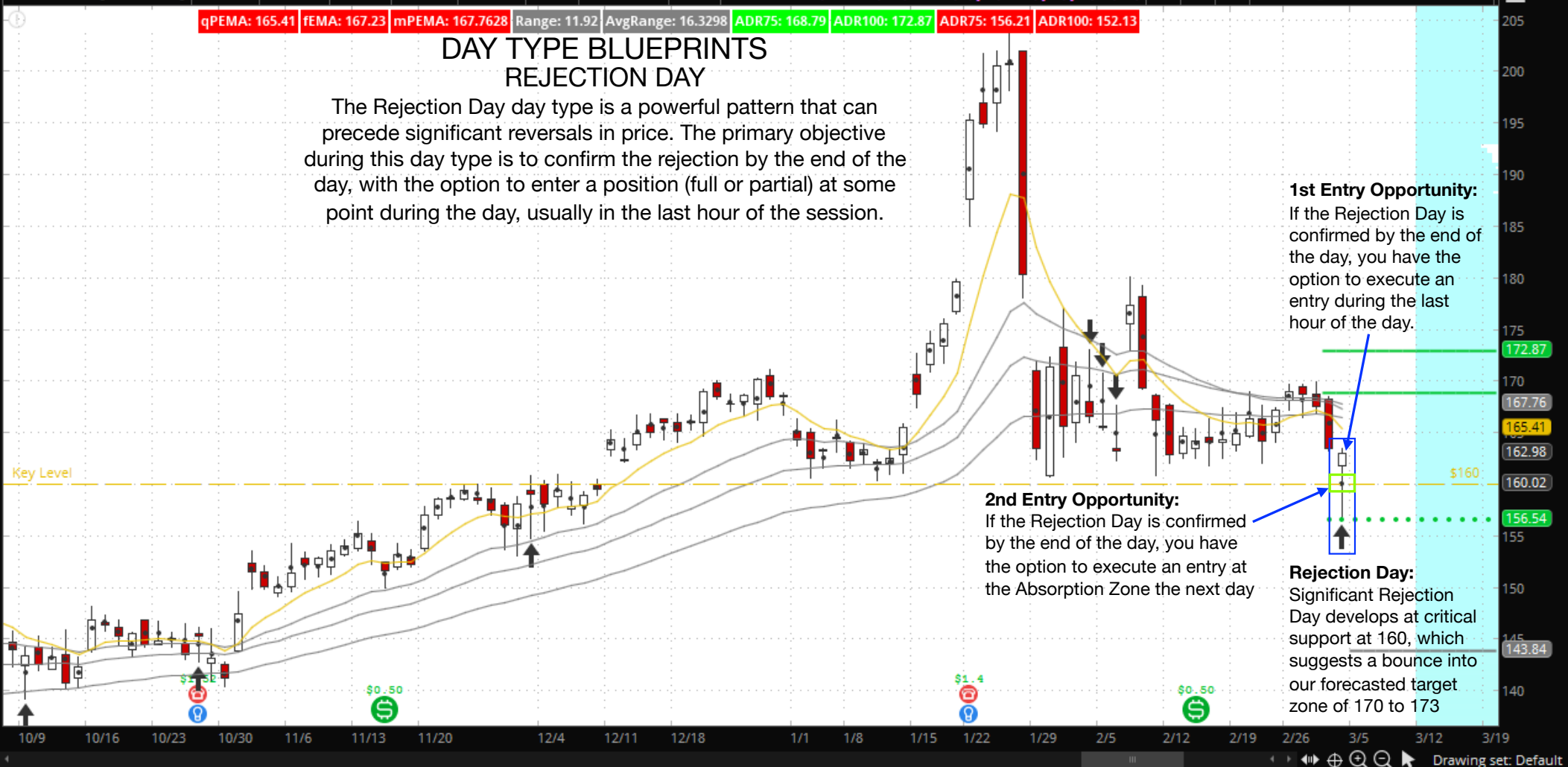
If the Rejection Day is confirmed by the end of the day, you have the option to execute an entry during the last hour of the day.

2nd Entry Opportunity:

If the Rejection Day is confirmed by the end of the day, you have the option to execute an entry at the Absorption Zone the next day

Rejection Day:

Significant Rejection Day develops at critical support at 160, which suggests a bounce into our forecasted target zone of 170 to 173

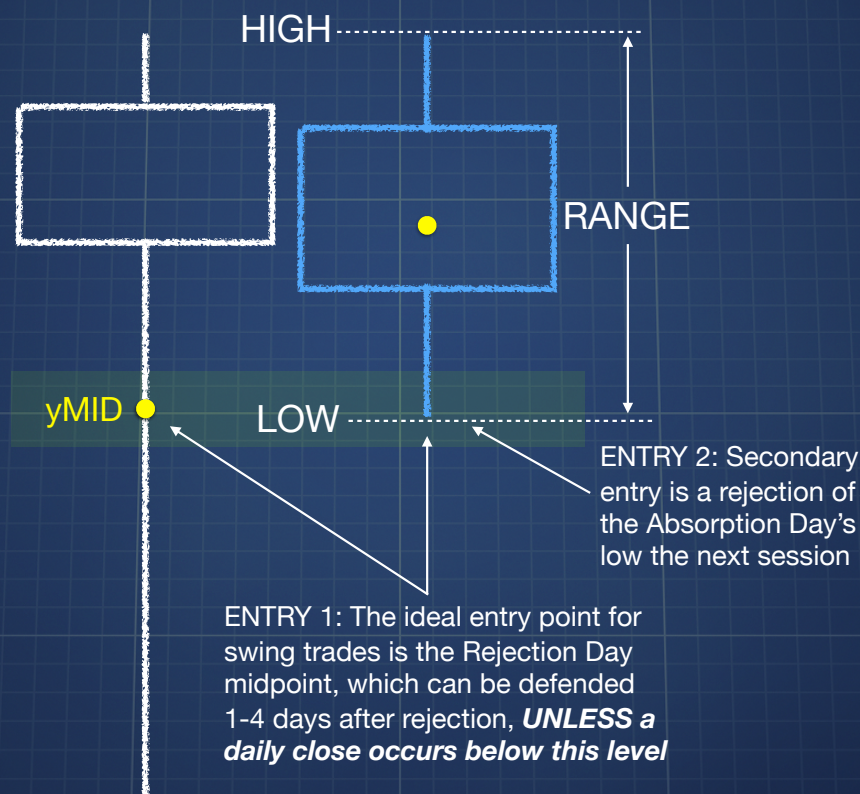


BACKGROUND

- Absorption Days develop after significant rejection or expansion days
- Absorption Days typically have small price ranges, which offers two-way trade for market participants
- Absorption Days are days when bets are being placed, as market participants are eager to position themselves ahead of the next move
- An Absorption Day can develop by itself, or in a series of days, before building enough energy to fuel the next move
- Failed Absorption usually leads to significant stop run days

ABSORPTION DAY BLUEPRINT

The Absorption Day is typically a range bound day that is designed to facilitate trade between market participants. This day type fuels the forthcoming move.



MEASUREMENTS

1. **RANGE** < average daily range, ie: < 75% ADR
2. **CLOSE** > rejection day or expansion day midpoint, and is usually > OPEN
3. **LOW** near rejection day or expansion day midpoint
4. **LOCATION:** tends to develop after rejection or expansion days; can oftentimes be an Inside Day
5. **ENTRIES:** Ideal entry is the midpoint of the rejection day (yMID), but price must **OPEN > yMID** for entry to be considered. Several rotations into the trigger zone can occur during an absorption day type

qPEMA: 164.36 fEMA: 166.64 mPEMA: 167.3590

DAY TYPE BLUEPRINTS ABSORPTION DAY

The Absorption Day is a day that facilitates trade among market participants, allowing them to position themselves ahead of the next potential move. Use this day to trigger entries at the ideal trade location, which is usually the midpoint of any rejection day. This zone may see absorption for several days, and a daily close below this zone will tend to lead to a long liquidation.

Absorption Day:

Ideally, an absorption day will develop after a significant rejection day. This day will allow you to enter trades at favorable trade location before the reversal begins to take shape. In this case, bulls defend the Absorption Zone at 160.

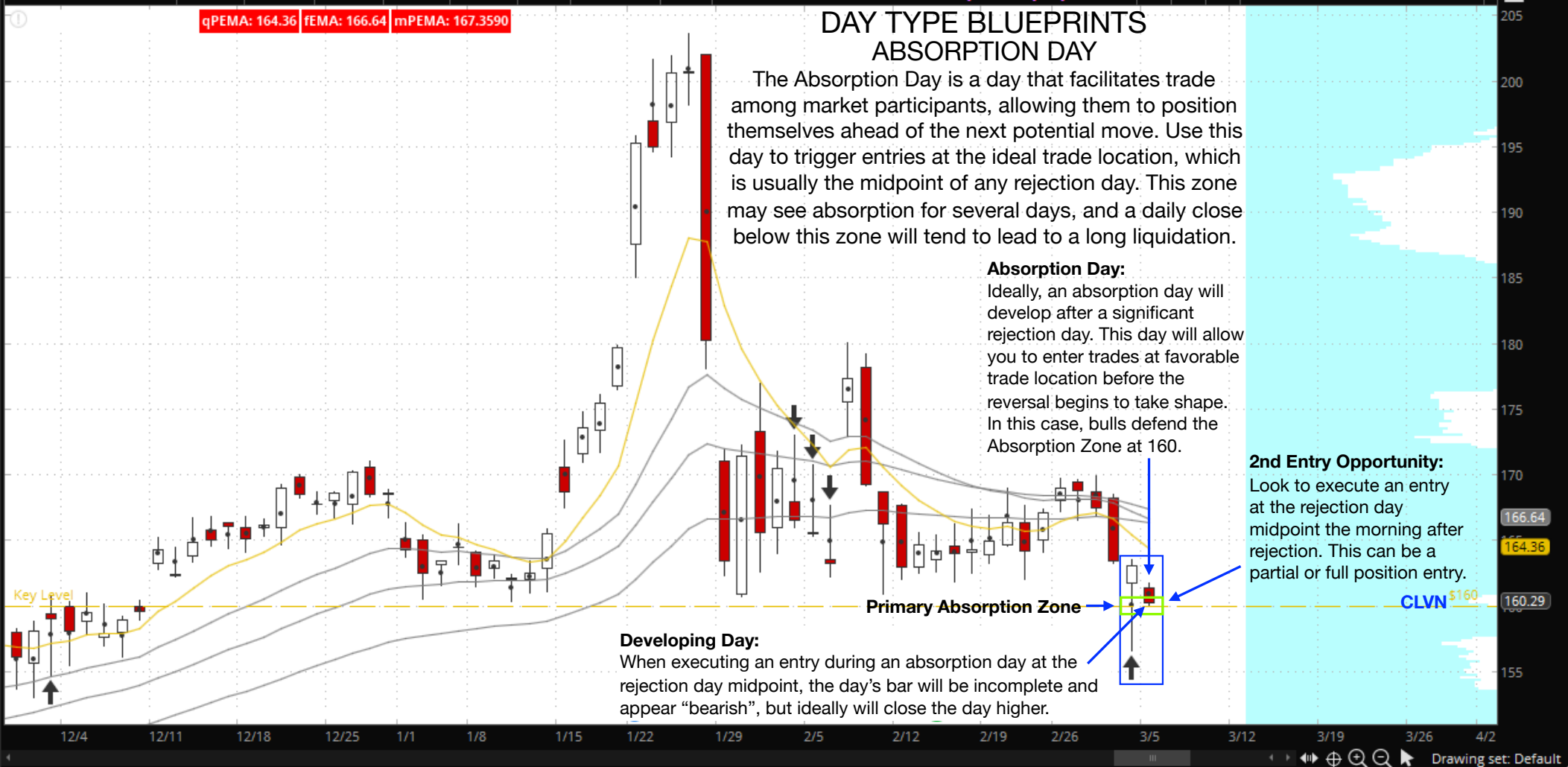
2nd Entry Opportunity:

Look to execute an entry at the rejection day midpoint the morning after rejection. This can be a partial or full position entry.

Primary Absorption Zone

Developing Day:

When executing an entry during an absorption day at the rejection day midpoint, the day's bar will be incomplete and appear "bearish", but ideally will close the day higher.



qPEMA: 168.22 fEMA: 167.79 mPEMA: 167.9813

DAY TYPE BLUEPRINTS

KEYS TO GOOD REJECTION DAYS

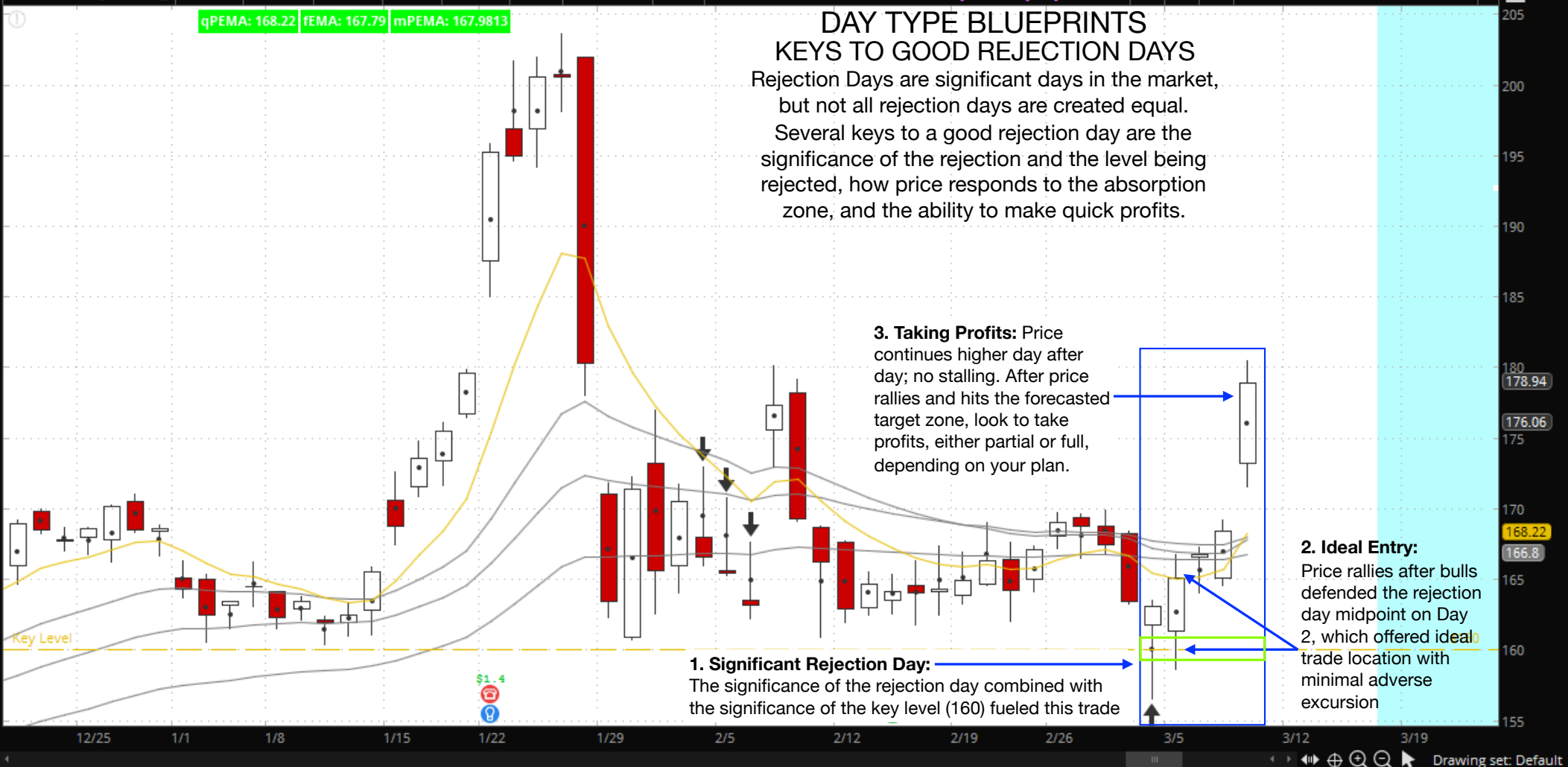
Rejection Days are significant days in the market, but not all rejection days are created equal.

Several keys to a good rejection day are the significance of the rejection and the level being rejected, how price responds to the absorption zone, and the ability to make quick profits.

3. Taking Profits: Price continues higher day after day; no stalling. After price rallies and hits the forecasted target zone, look to take profits, either partial or full, depending on your plan.

2. Ideal Entry: Price rallies after bulls defended the rejection day midpoint on Day 2, which offered ideal trade location with minimal adverse excursion

1. Significant Rejection Day: The significance of the rejection day combined with the significance of the key level (160) fueled this trade



BACKGROUND

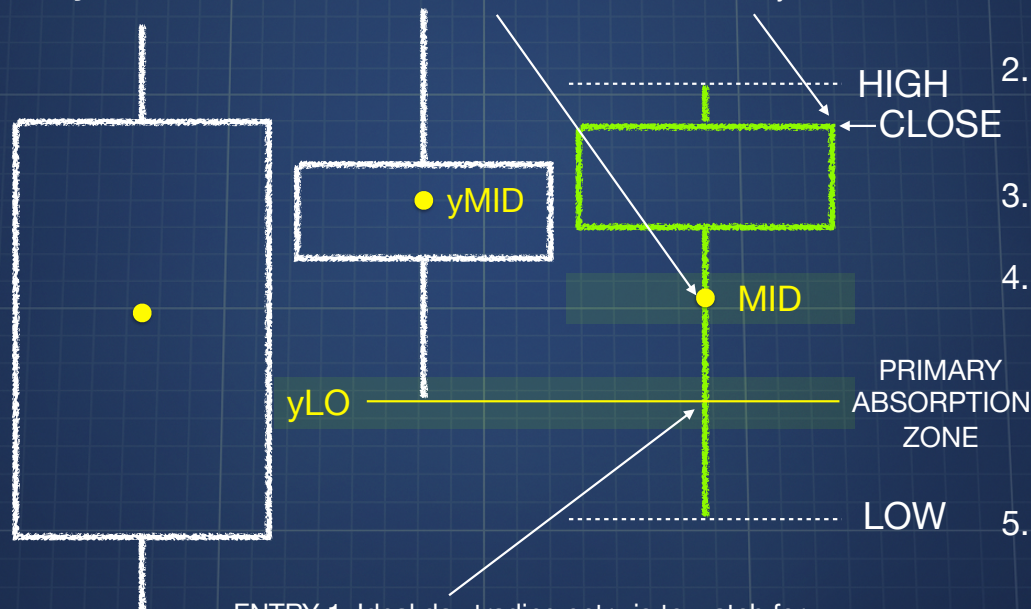
- Failed New Low day types begin with strong rejection at a previous day's low, or at multiple-day lows
- After rejection, the previous low (or the rejected level), becomes the primary absorption zone for entries
- Ideally, price will close above the previous session's midpoint, which would suggest a strong rejection
- These days can oftentimes precede significant moves in the market, and can initiate a trend or fuel one

FAILED NEW LOW BLUEPRINT

The Failed New Low day types can both trigger reversals and be part of continuation patterns. These day types are usually traps to generate more fuel for the existing trend.

ENTRY 2: Ideal swing entry is to defend the Failed New Low midpoint, which can be defended 1-2 days after rejection, **UNLESS** a daily close occurs below this level

ENTRY 1B: Partial/full entries can be made before the Close of the rejection day if price closes above yMid.



ENTRY 1: Ideal day trading entry is to watch for failed range expansion below previous lows. Look to defend previous lows from above after rejection

MEASUREMENTS

1. **RANGE** = average daily range, ie: 75-100% ADR
2. **LOW** < previous session's low, and sometimes below multi-day lows
3. **CLOSE** > previous session's midpoint in ideal situation
4. **LOCATION**: can trigger powerful reversals when paired with previous highs/lows and CLVNs, and can also fuel a powerful continuation leg within an already established trend
5. **ENTRIES**: Ideal day trading entry is yLO on Day 1, and at the close for swing trades. On Day 2, price must **OPEN > MID [1]** for entry to be considered at the midpoint of the FNL

qPEMA: 178.43 fEMA: 178.16 mPEMA: 179.4027 Range: 17.624 AvgRange: 24.1684 ADR75: 184.77 ADR100: 190.81 ADR75: 166.14 ADR100: 160.10

DAY TYPE BLUEPRINTS FAILED NEW LOW

The Failed New Low day type oftentimes precedes powerful reversals. The primary objective during this day type is to confirm the rejection by the end of the day, with the option to enter a position (full or partial) at some point during the day, usually in the last hour of the session.

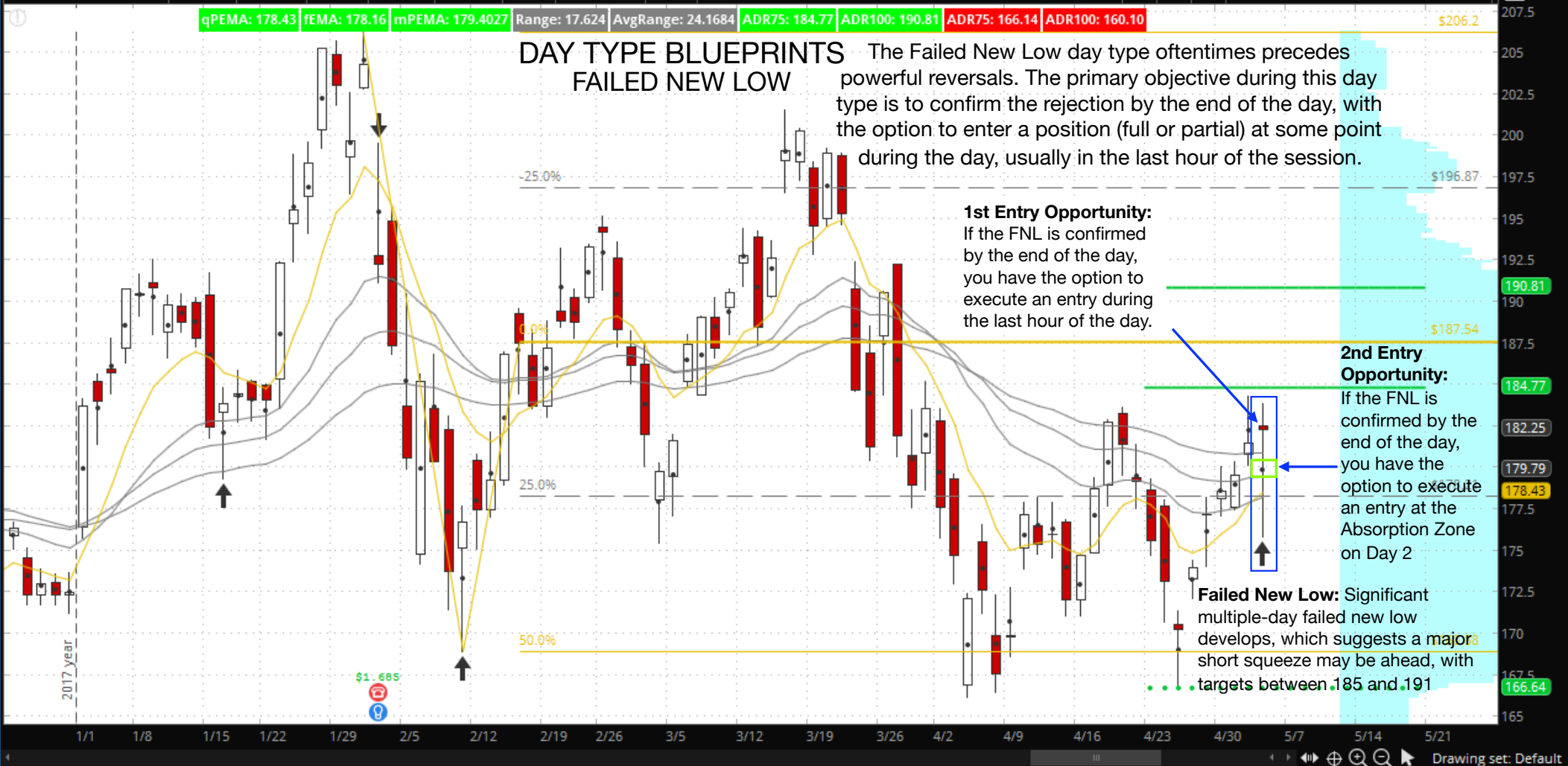
1st Entry Opportunity:

If the FNL is confirmed by the end of the day, you have the option to execute an entry during the last hour of the day.

2nd Entry Opportunity:

If the FNL is confirmed by the end of the day, you have the option to execute an entry at the Absorption Zone on Day 2

Failed New Low: Significant multiple-day failed new low develops, which suggests a major short squeeze may be ahead, with targets between 185 and 191



qPEMA: 178.91 fEMA: 178.37 mPEMA: 179.4687 Range: 17.624 AvgRange: 24.1684 ADR75: 184.77 ADR100: 190.81 ADR75: 166.14 ADR100: 160.10 \$206.2

DAY TYPE BLUEPRINTS FAILED NEW LOW

The morning after a Failed New Low develops, look to execute a position, full or partial, at the rejection day midpoint. An Absorption Day (or at the very least a morning of absorption) typically develops after rejection, which will allow for ideal trade location.

Absorption Day:

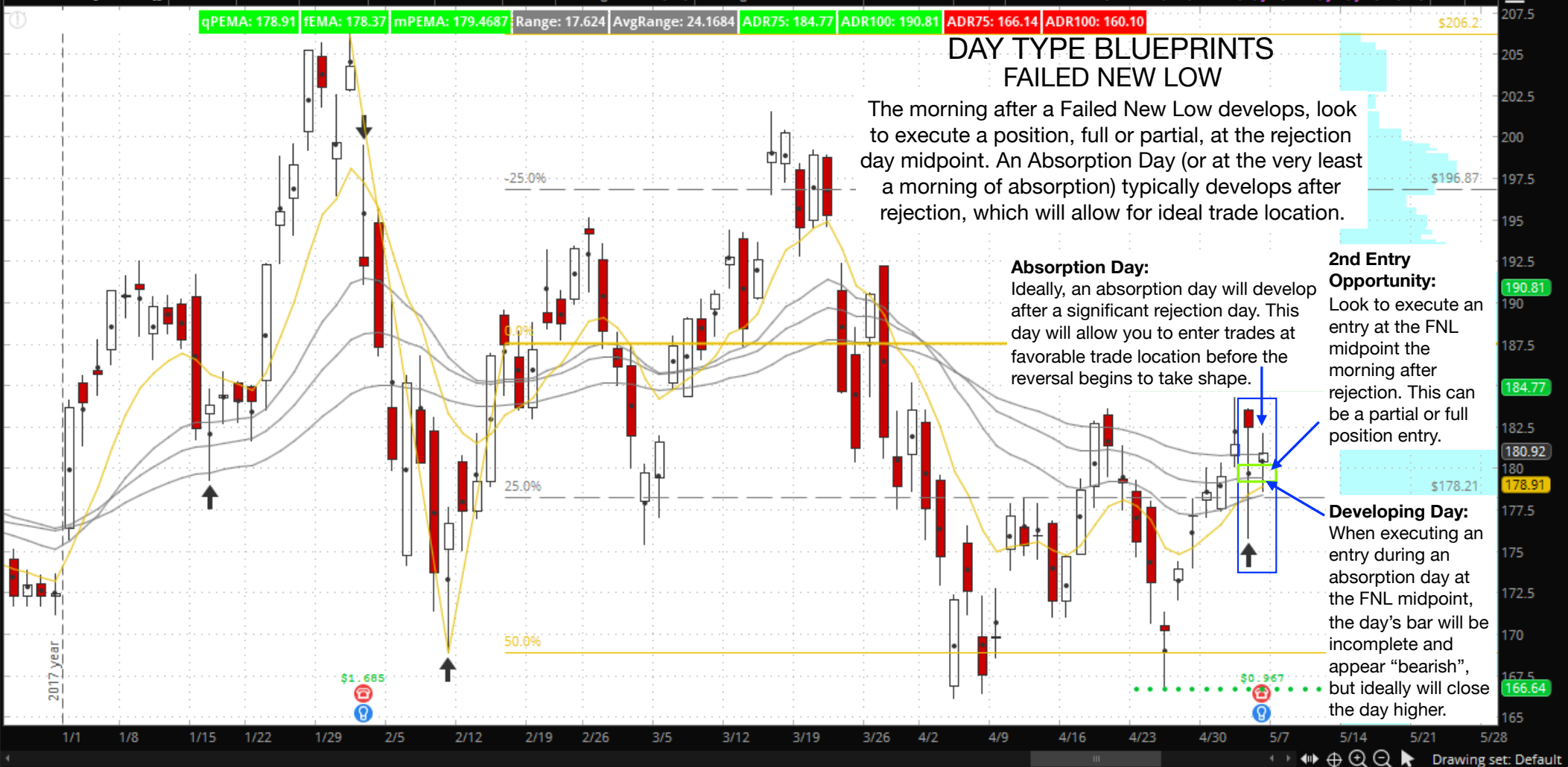
Ideally, an absorption day will develop after a significant rejection day. This day will allow you to enter trades at favorable trade location before the reversal begins to take shape.

2nd Entry Opportunity:

Look to execute an entry at the FNL midpoint the morning after rejection. This can be a partial or full position entry.

Developing Day:

When executing an entry during an absorption day at the FNL midpoint, the day's bar will be incomplete and appear "bearish", but ideally will close the day higher.



qPEMA: 183.22 fEMA: 180.25 mPEMA: 180.5970 Range: 29.96 AvgRange: 25.402 ADR75: 185.69 ADR100: 192.04 ADR75: 177.55 ADR100: 171.20 \$206.2

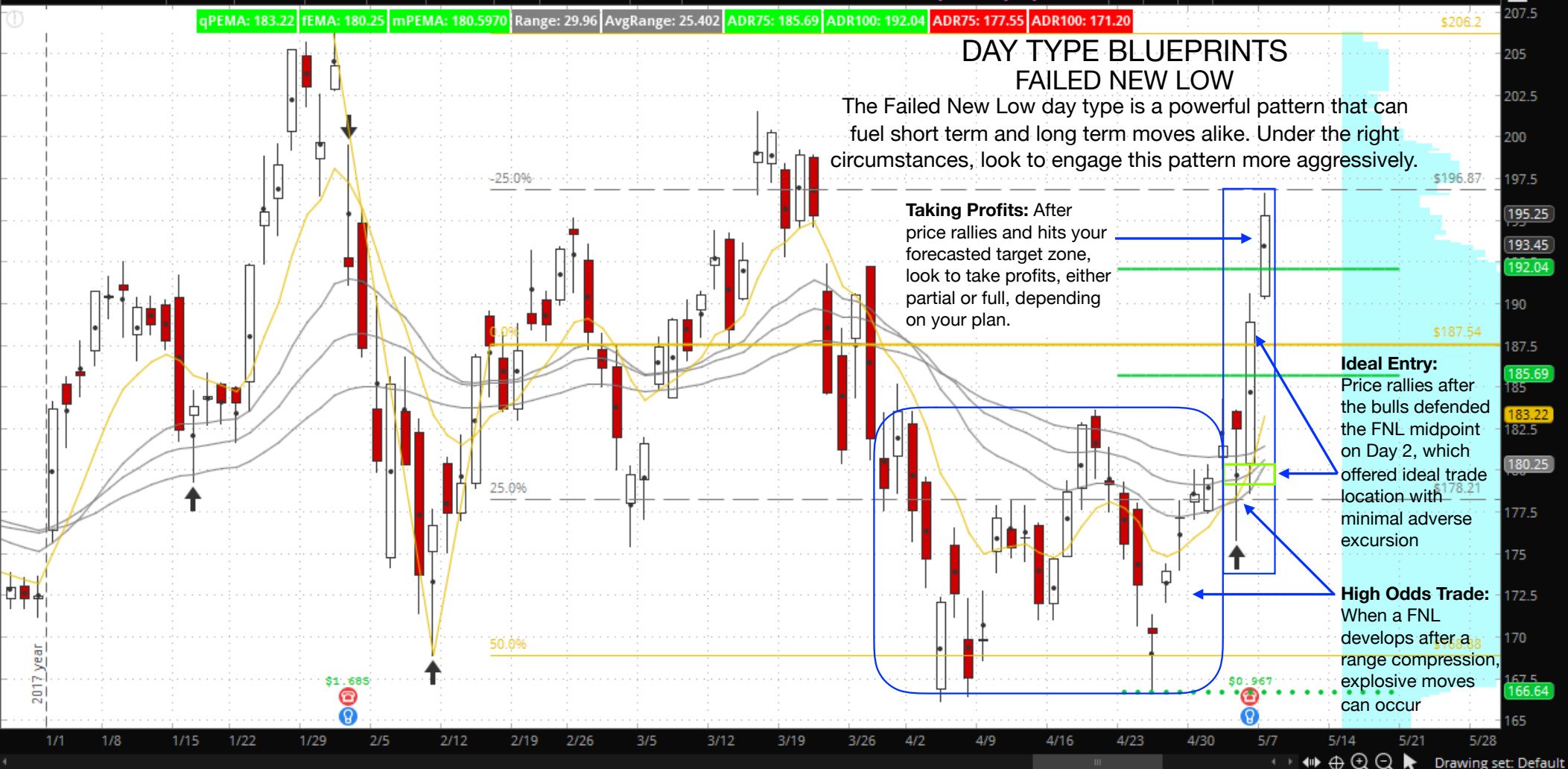
DAY TYPE BLUEPRINTS FAILED NEW LOW

The Failed New Low day type is a powerful pattern that can fuel short term and long term moves alike. Under the right circumstances, look to engage this pattern more aggressively.

Taking Profits: After price rallies and hits your forecasted target zone, look to take profits, either partial or full, depending on your plan.

Ideal Entry:
Price rallies after the bulls defended the FNL midpoint on Day 2, which offered ideal trade location with minimal adverse excursion

High Odds Trade:
When a FNL develops after a range compression, explosive moves can occur



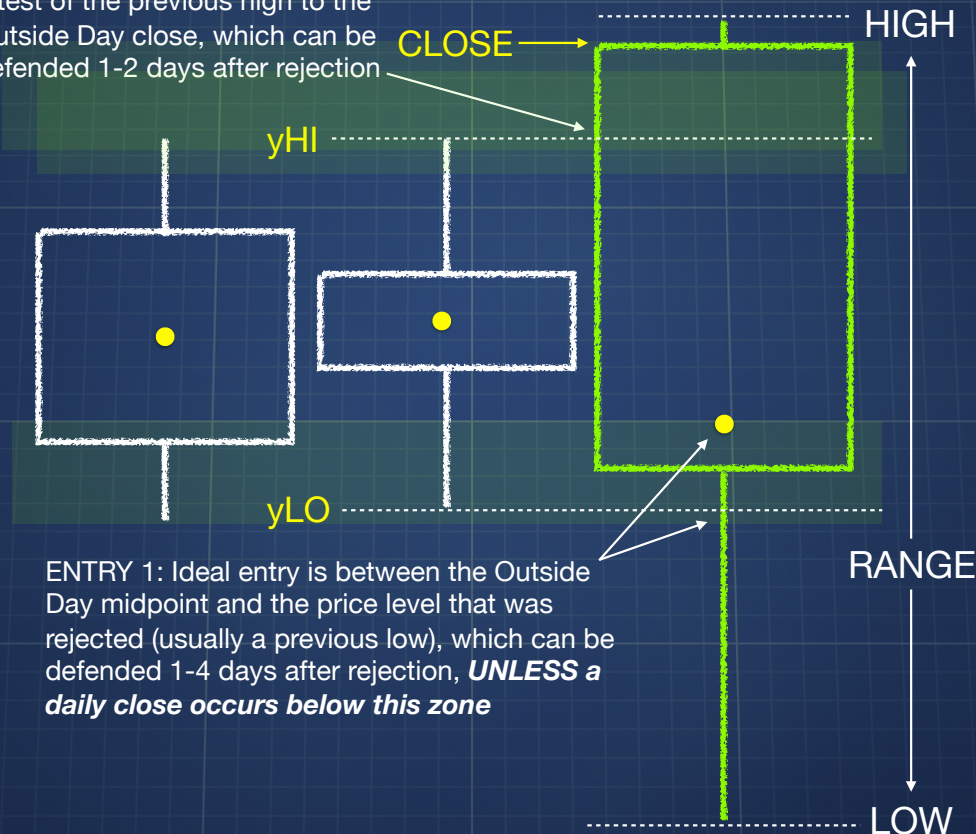
BACKGROUND

- Outside Days develop at price extremes — ie: previous highs and lows
- Outside Days have a range that is larger than average, making the day more statistically significant
- The ideal swing entry is yLO, but can also be the Outside Day midpoint
- A daily close below the Outside Day midpoint breaks the pattern, as this would indicate a retest of the Outside Day low

OUTSIDE DAY BLUEPRINT

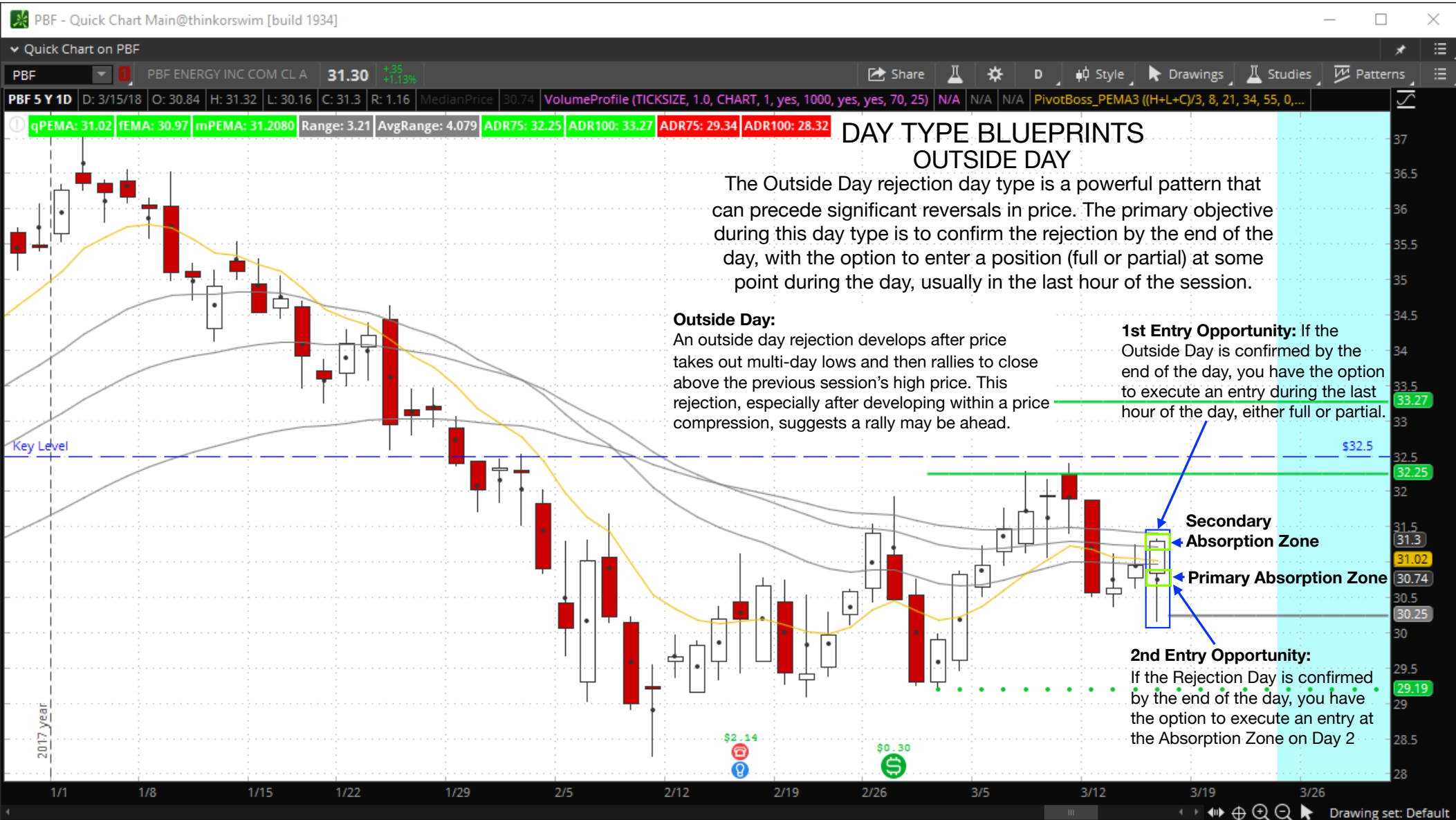
The Outside Day is a day type that powerfully illustrates rejection, stop runs, and shakeouts. This is a significant day type that oftentimes precedes a strong reversal.

ENTRY 2: Secondary entry is a retest of the previous high to the Outside Day close, which can be defended 1-2 days after rejection



MEASUREMENTS

1. **RANGE** > greater than average, ie: > 105% ADR
2. **LOW** < the previous session's low, which is forcefully rejected
3. **CLOSE** > the previous session's high, which completes the outside day rejection pattern
4. **MID**: $((H+L)/2)$ = Ideal Swing Entry; price must remain above this level in order for the outside day sequence to remain intact
5. **LOCATION**: Powerful when paired with market structure, previous lows, and low volume nodes (LVNs)
6. **ENTRIES**: Ideal entry is yLO on Day 1, or just before the Close on the day of rejection. On Day 2+, price must **OPEN > MID [1]** for entry to be considered



DAY TYPE BLUEPRINTS OUTSIDE DAY

Outside Day day types have multiple entry points, allowing traders to enter at various points during the life cycle of the rejection. These entries can be standalone trades, or can be used together to build a position.

2nd Entry Opportunity:

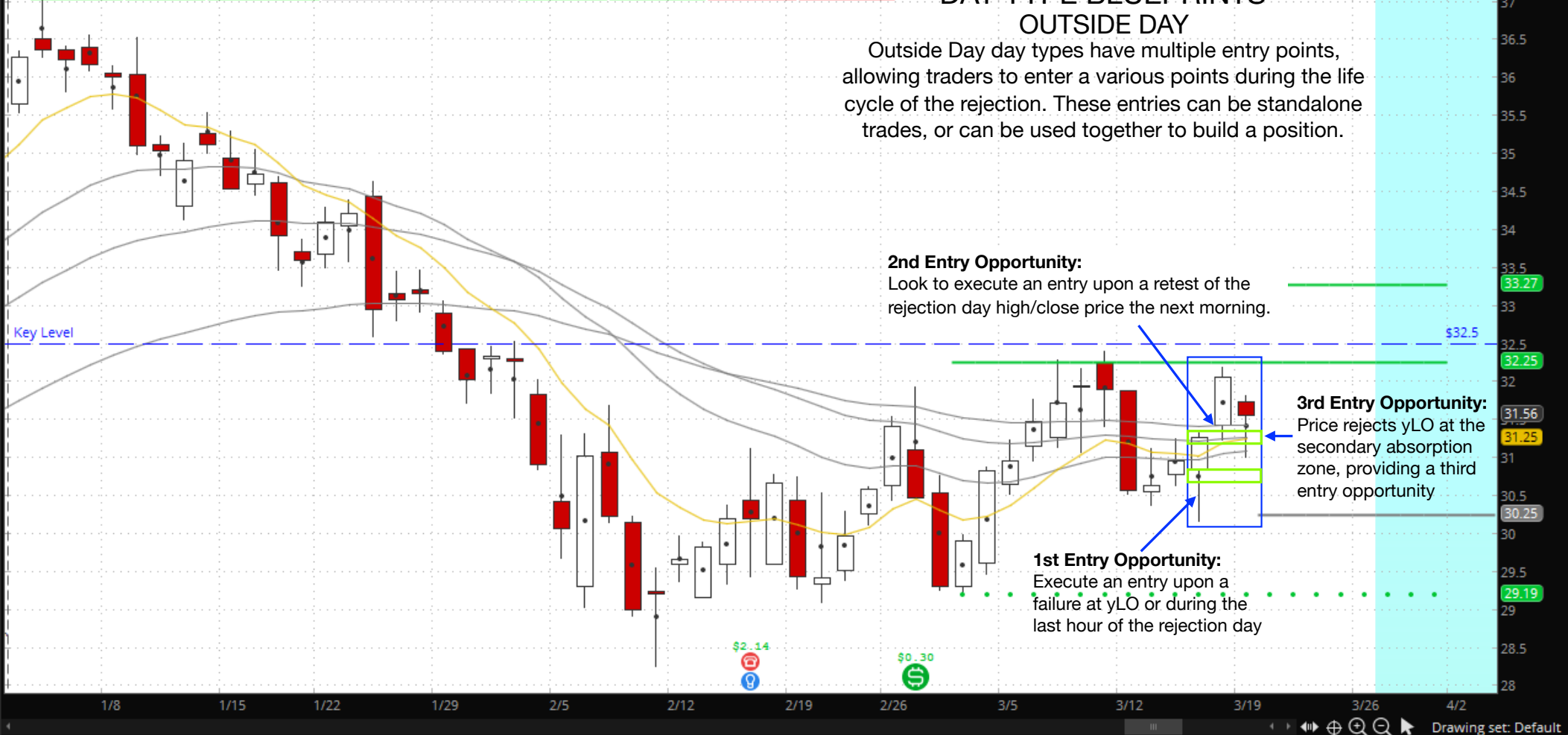
Look to execute an entry upon a retest of the rejection day high/close price the next morning.

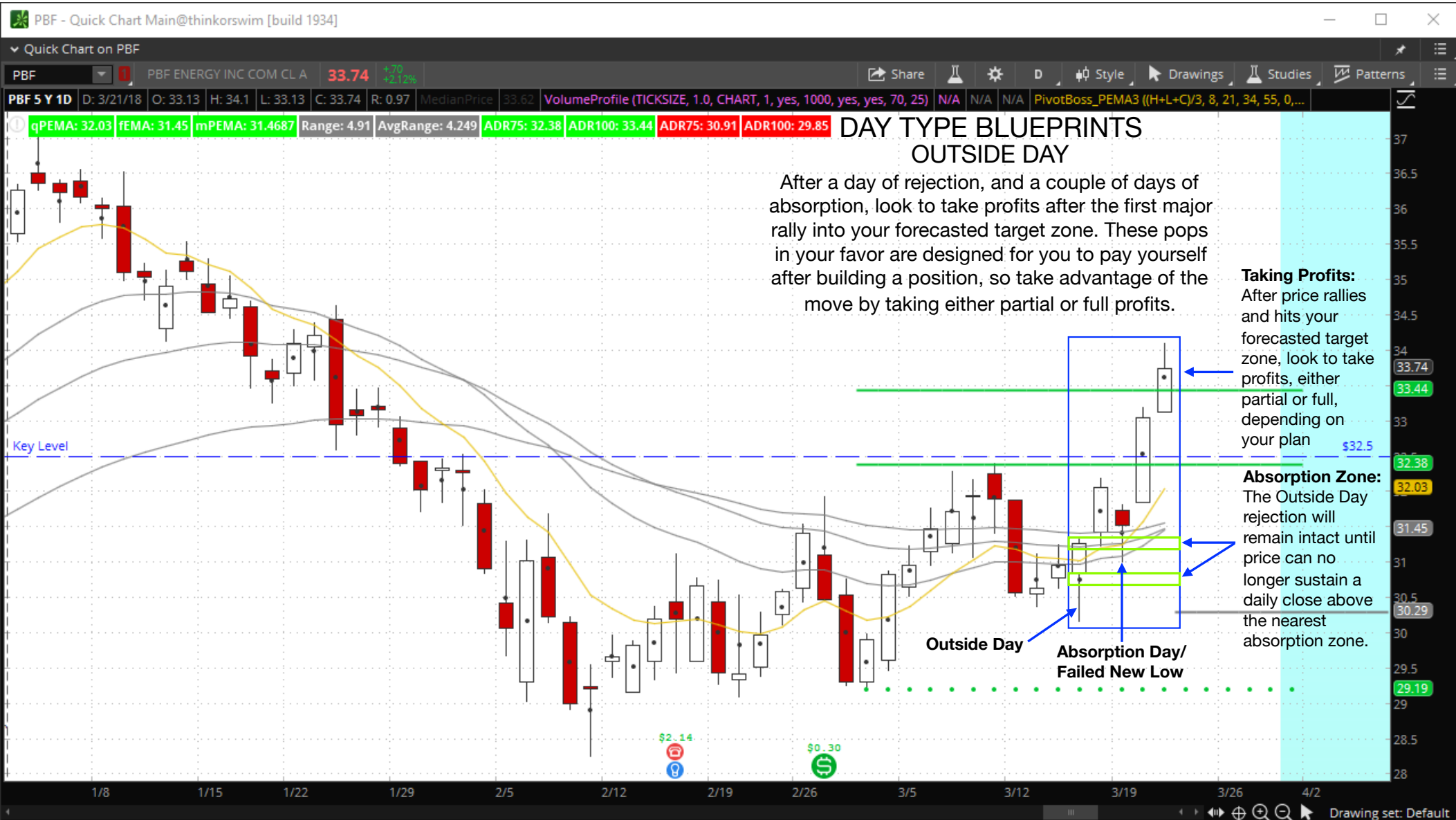
3rd Entry Opportunity:

Price rejects yLO at the secondary absorption zone, providing a third entry opportunity

1st Entry Opportunity:

Execute an entry upon a failure at yLO or during the last hour of the rejection day







STOP RUN DAY BLUEPRINT

ENTRY 2: Acceptance above previous highs triggers the stop run. Look to defend retests of yHI from above. This entry can double as a day trade, or can be used 1-2 days for a swing trade, **UNLESS a daily close occurs below this level**

TARGET: Take the developing stop run day's range below yHI and forecast this measurement higher from yHI

ENTRY 1: Ideal entry is to watch for failed range expansion at yLO. Look to defend yLO from above after rejection

1. **RANGE** > greater than average, ie: > 200% ADR
2. **LOW:** oftentimes the low can coincide with rejection, ie: failed range expansion
3. **CLOSE** > previous session's high (for longs) and usually closes in the upper 10-15% of the day's range
4. **MID** >= recent multiple-day highs/resistance (for longs)
5. **LOCATION:** usually develops after rejection and/or absorption; powerful when paired with CLVNs
6. **ENTRIES:** Ideal entry is yLO on Day 1. On Day 2, price must **OPEN > MID [1]** for entry to be considered at yHI/MID[1]

*Flip for bearish blueprint

PSX PHILLIPS 66 COM 118.37 +1.35 +1.13%

PSX 5 Y 1D D: 8/23/18 O: 116.93 H: 118.41 L: 116.29 C: 118.37 R: 2.13 MedianPrice 117.35 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_PEMA3 ((H+L+C)/3, 8, 21, 34, 55, 0,...)

qPEMA: 117.56 fPEMA: 117.86 mPEMA: 117.1769 Range: 9.57 AvgRange: 11.0045 ADR75: 122.65 ADR100: 125.40 ADR75: 115.72 ADR100: 112.97

DAY TYPE BLUEPRINTS STOP RUN DAY

The Stop Run Day is the most aggressive trend day the market has to offer. The primary objective is to confirm the day as early as possible, usually in the intraday timeframe, and then look to execute an aggressive position to take advantage of the day's forecasted price range, and the subsequent swing move to come. The Stop Run Day can be traded as a day or swing position.

Taking Profits: After price rallies and hits your forecasted SRD target, look to take profits on the entire trade if it's a day trade, and take profits on half the position if it's a swing, with the intention of adding back the next day

Stop Run Day Target:
 $(yHI - L) \sim yHI + (yHI - L)$

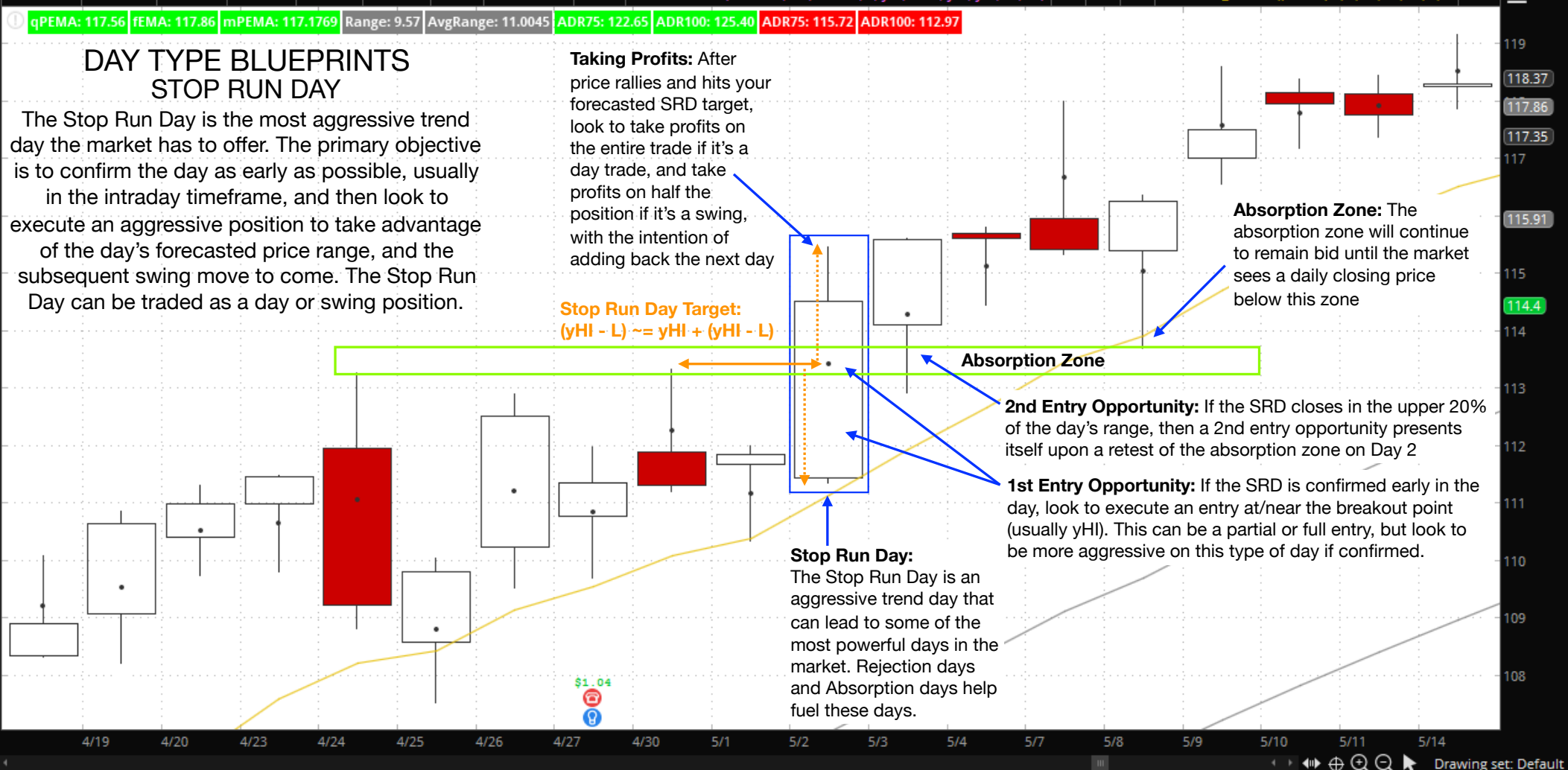
Absorption Zone: The absorption zone will continue to remain bid until the market sees a daily closing price below this zone

Absorption Zone

2nd Entry Opportunity: If the SRD closes in the upper 20% of the day's range, then a 2nd entry opportunity presents itself upon a retest of the absorption zone on Day 2

1st Entry Opportunity: If the SRD is confirmed early in the day, look to execute an entry at/near the breakout point (usually yHI). This can be a partial or full entry, but look to be more aggressive on this type of day if confirmed.

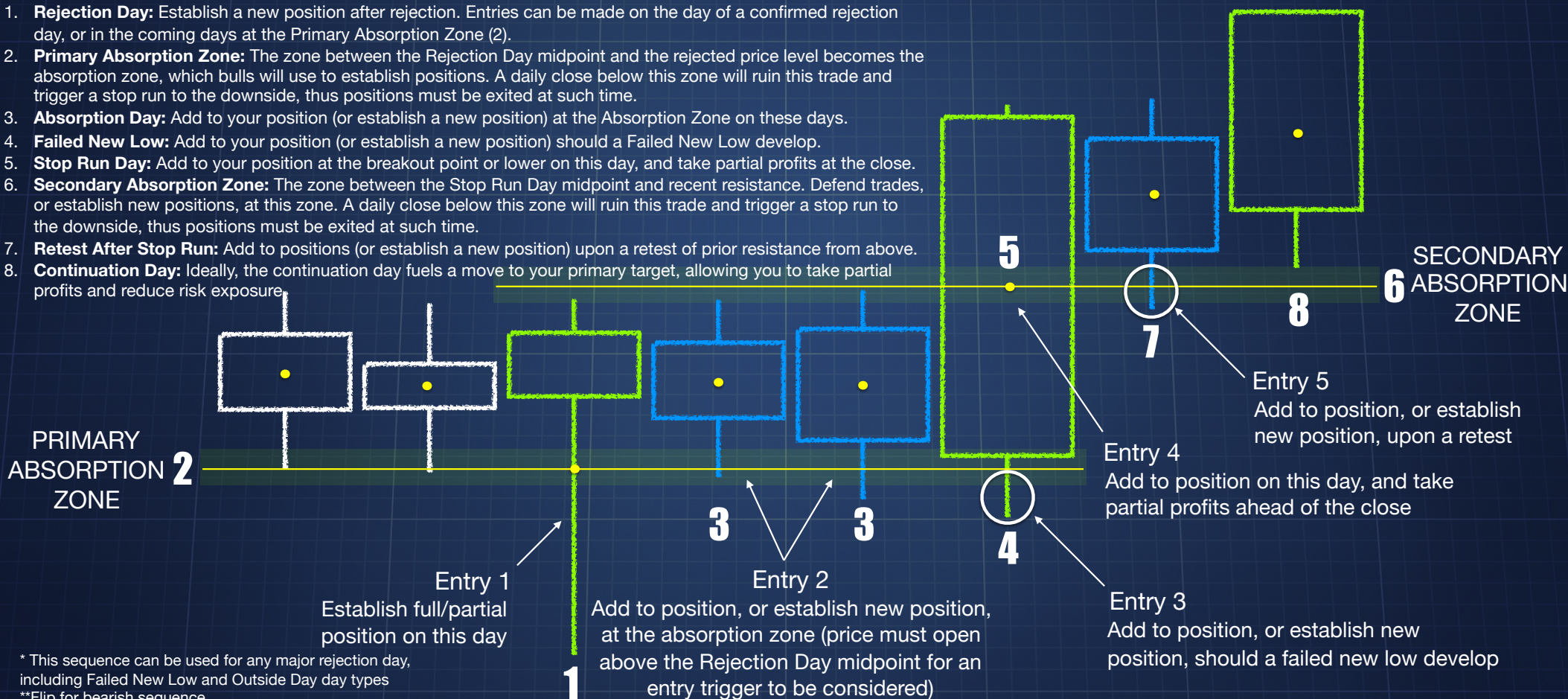
Stop Run Day:
The Stop Run Day is an aggressive trend day that can lead to some of the most powerful days in the market. Rejection days and Absorption days help fuel these days.



THE REJECTION DAY SEQUENCE

This blueprint illustrates the Rejection Day trade sequence, including identifying key absorption zones and entry points. Use this sequence when a Rejection Day develops.

1. **Rejection Day:** Establish a new position after rejection. Entries can be made on the day of a confirmed rejection day, or in the coming days at the Primary Absorption Zone (2).
2. **Primary Absorption Zone:** The zone between the Rejection Day midpoint and the rejected price level becomes the absorption zone, which bulls will use to establish positions. A daily close below this zone will ruin this trade and trigger a stop run to the downside, thus positions must be exited at such time.
3. **Absorption Day:** Add to your position (or establish a new position) at the Absorption Zone on these days.
4. **Failed New Low:** Add to your position (or establish a new position) should a Failed New Low develop.
5. **Stop Run Day:** Add to your position at the breakout point or lower on this day, and take partial profits at the close.
6. **Secondary Absorption Zone:** The zone between the Stop Run Day midpoint and recent resistance. Defend trades, or establish new positions, at this zone. A daily close below this zone will ruin this trade and trigger a stop run to the downside, thus positions must be exited at such time.
7. **Retest After Stop Run:** Add to positions (or establish a new position) upon a retest of prior resistance from above.
8. **Continuation Day:** Ideally, the continuation day fuels a move to your primary target, allowing you to take partial profits and reduce risk exposure.



* This sequence can be used for any major rejection day, including Failed New Low and Outside Day day types

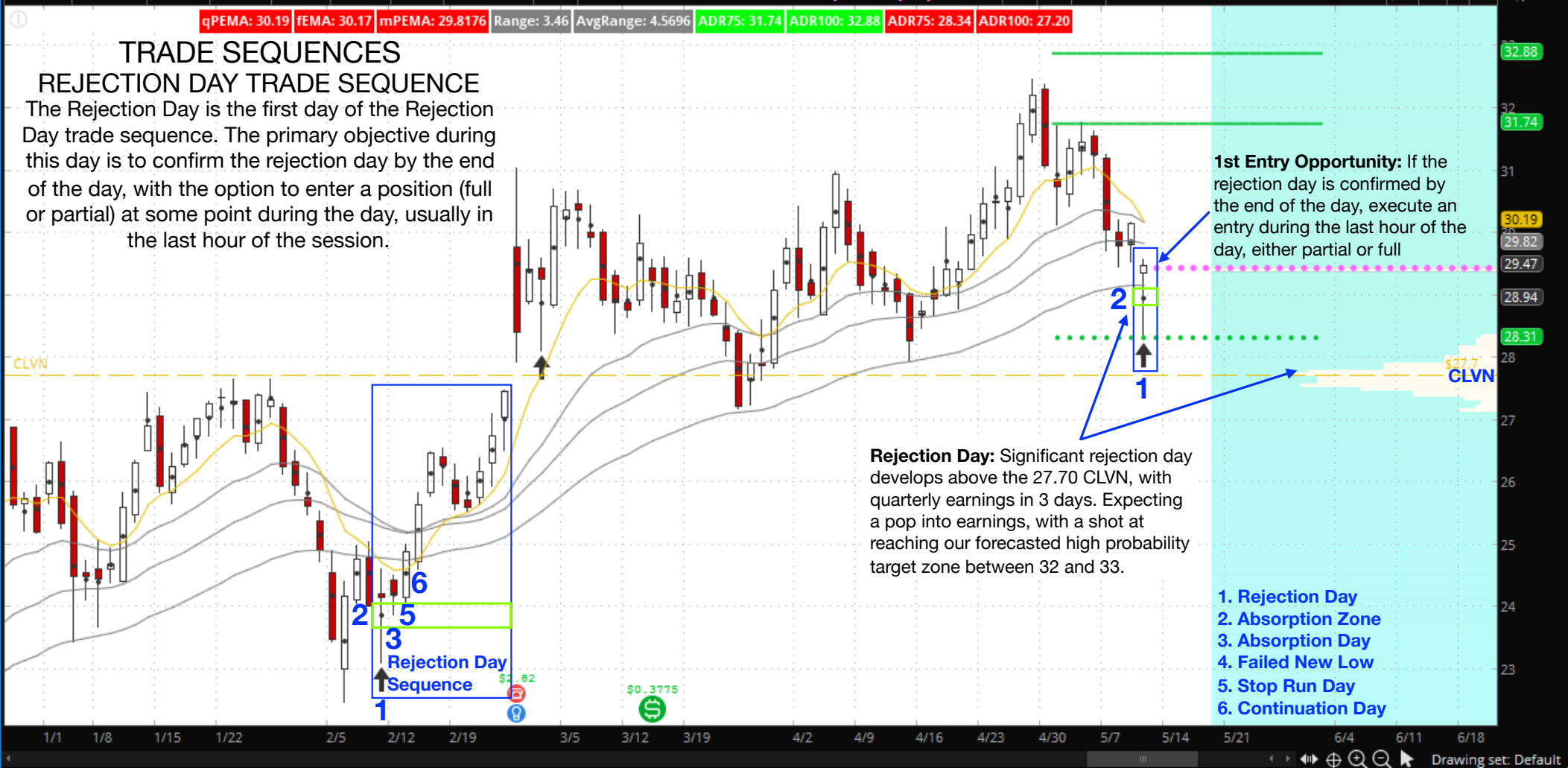
**Flip for bearish sequence

qPEMA: 30.19 fPEMA: 30.17 mPEMA: 29.8176 Range: 3.46 AvgRange: 4.5696 ADR75: 31.74 ADR100: 32.88 ADR75: 28.34 ADR100: 27.20

TRADE SEQUENCES

REJECTION DAY TRADE SEQUENCE

The Rejection Day is the first day of the Rejection Day trade sequence. The primary objective during this day is to confirm the rejection day by the end of the day, with the option to enter a position (full or partial) at some point during the day, usually in the last hour of the session.

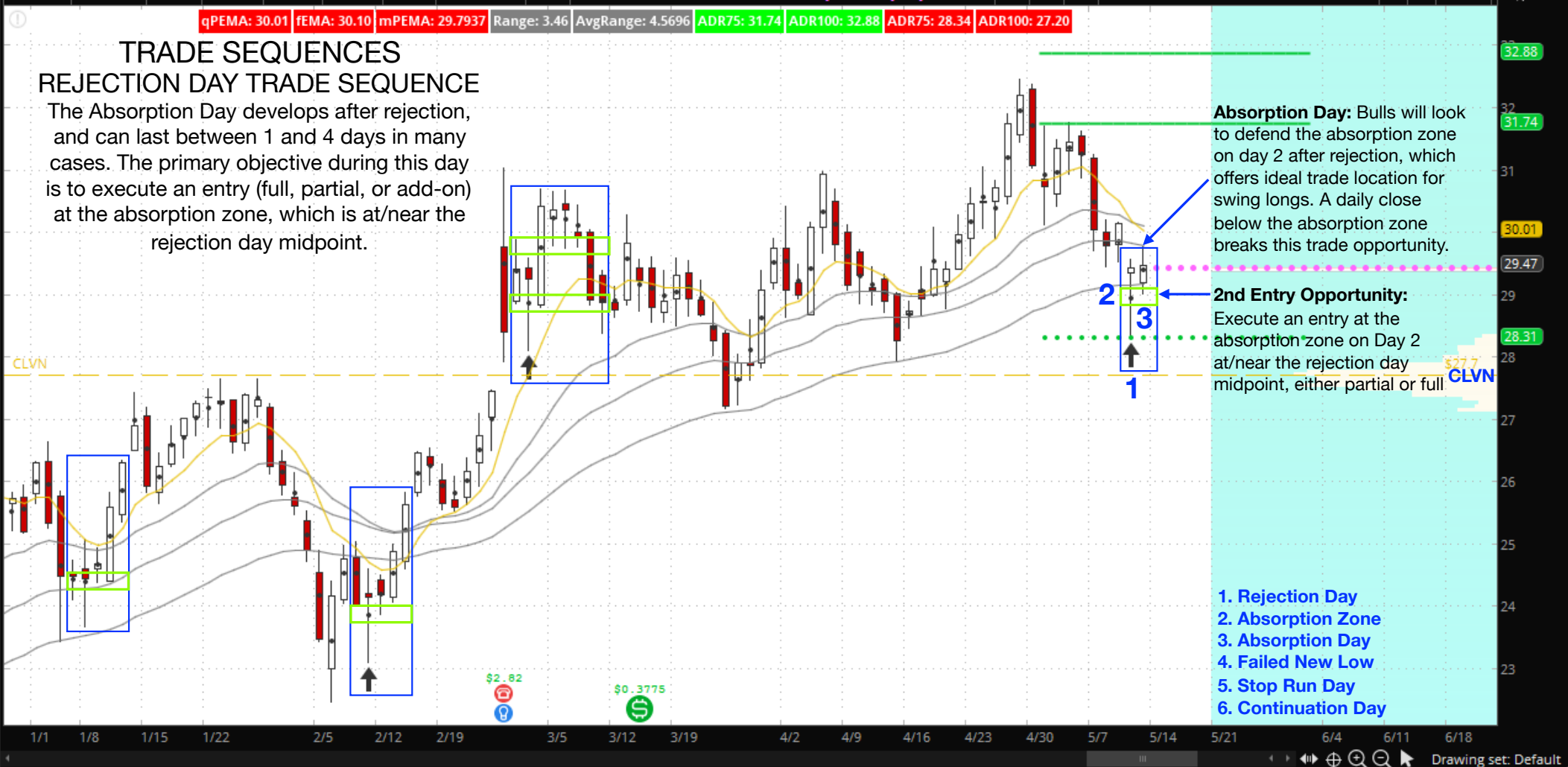


qPEMA: 30.01 fPEMA: 30.10 mPEMA: 29.7937 Range: 3.46 AvgRange: 4.5696 ADR75: 31.74 ADR100: 32.88 ADR75: 28.34 ADR100: 27.20

TRADE SEQUENCES

REJECTION DAY TRADE SEQUENCE

The Absorption Day develops after rejection, and can last between 1 and 4 days in many cases. The primary objective during this day is to execute an entry (full, partial, or add-on) at the absorption zone, which is at/near the rejection day midpoint.

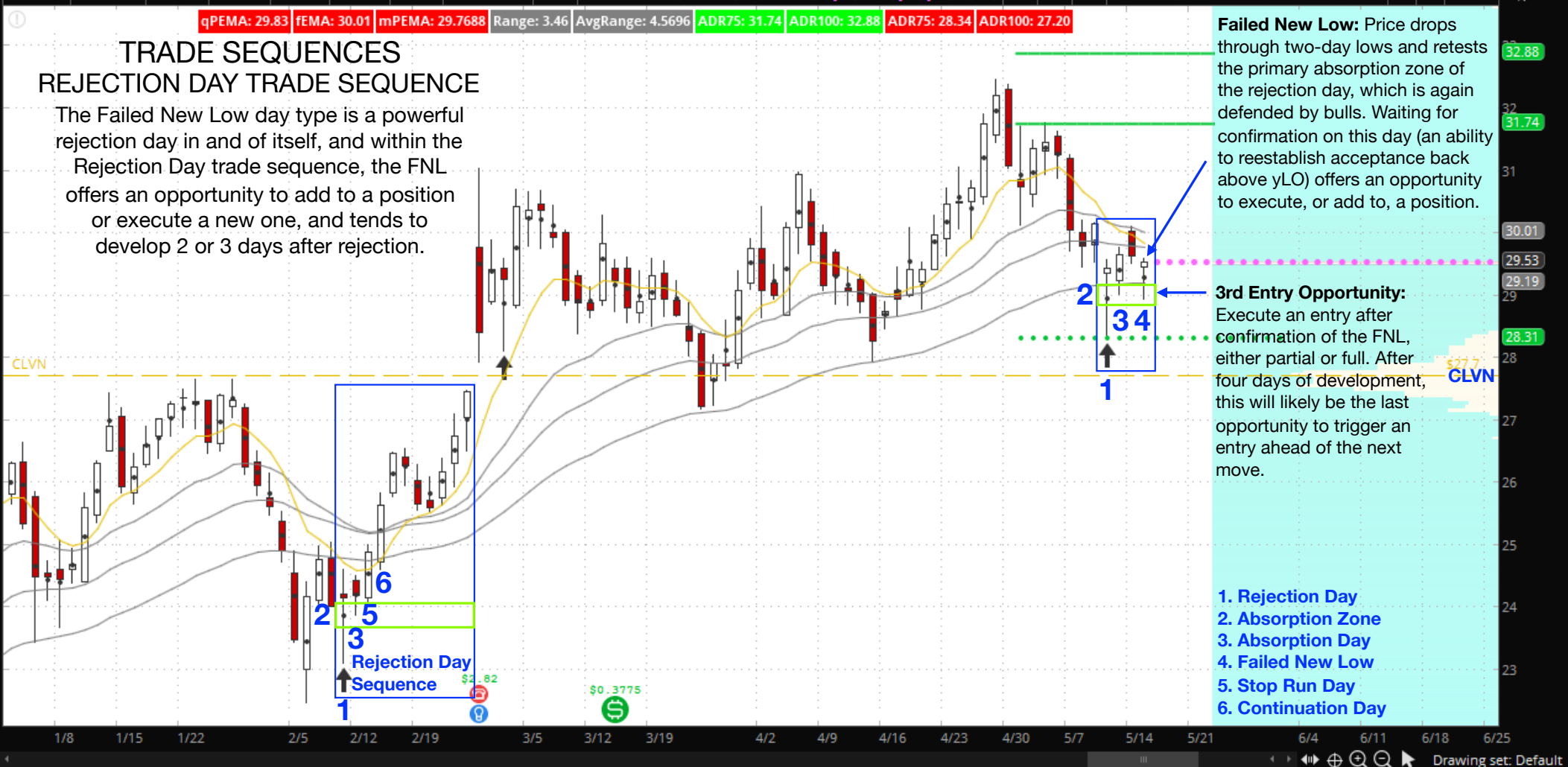


qPEMA: 29.83 fPEMA: 30.01 mPEMA: 29.7688 Range: 3.46 AvgRange: 4.5696 ADR75: 31.74 ADR100: 32.88 ADR75: 28.34 ADR100: 27.20

TRADE SEQUENCES

REJECTION DAY TRADE SEQUENCE

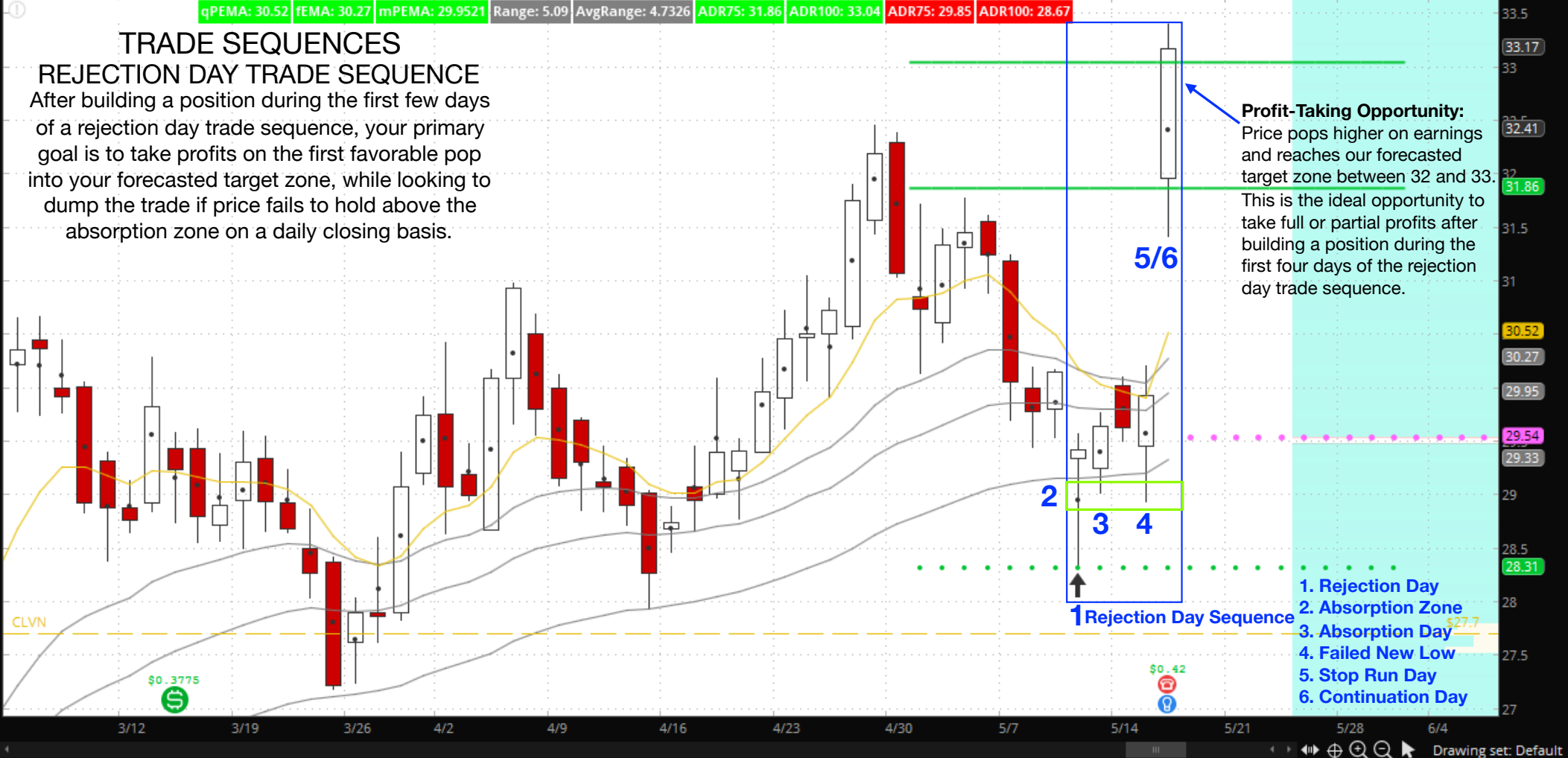
The Failed New Low day type is a powerful rejection day in and of itself, and within the Rejection Day trade sequence, the FNL offers an opportunity to add to a position or execute a new one, and tends to develop 2 or 3 days after rejection.



TRADE SEQUENCES

REJECTION DAY TRADE SEQUENCE

After building a position during the first few days of a rejection day trade sequence, your primary goal is to take profits on the first favorable pop into your forecasted target zone, while looking to dump the trade if price fails to hold above the absorption zone on a daily closing basis.



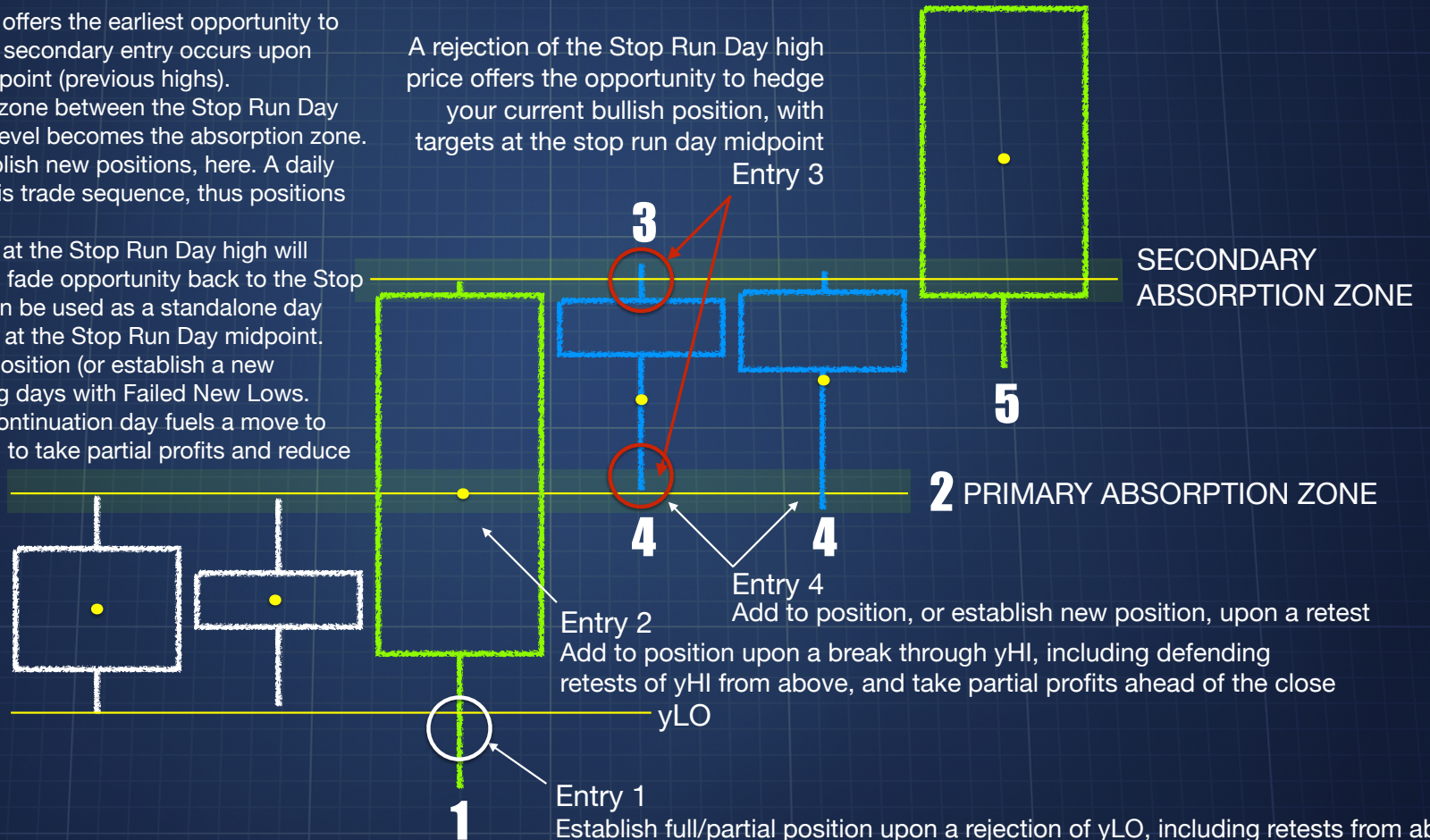


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THE STOP RUN SEQUENCE

This blueprint illustrates the Stop Run trade sequence, wherein the entries can serve as both day and swing trading opportunities. Use this sequence when a Stop Run Day develops.

1. **Stop Run Day:** A failed new low offers the earliest opportunity to establish a new position, while a secondary entry occurs upon expansion through the breakout point (previous highs).
2. **Primary Absorption Zone:** The zone between the Stop Run Day midpoint and the rejected price level becomes the absorption zone. Defend current position, or establish new positions, here. A daily close below this zone will ruin this trade sequence, thus positions must be exited at such time.
3. **Fade After Stop Run:** Rejection at the Stop Run Day high will trigger a short term countertrend fade opportunity back to the Stop Run Day midpoint. This move can be used as a standalone day trade or as a hedge, with targets at the Stop Run Day midpoint.
4. **Absorption Days:** Add to your position (or establish a new position) on these days, including days with Failed New Lows.
5. **Continuation Day:** Ideally, the continuation day fuels a move to your primary target, allowing you to take partial profits and reduce risk exposure.



*Flip for bearish sequence

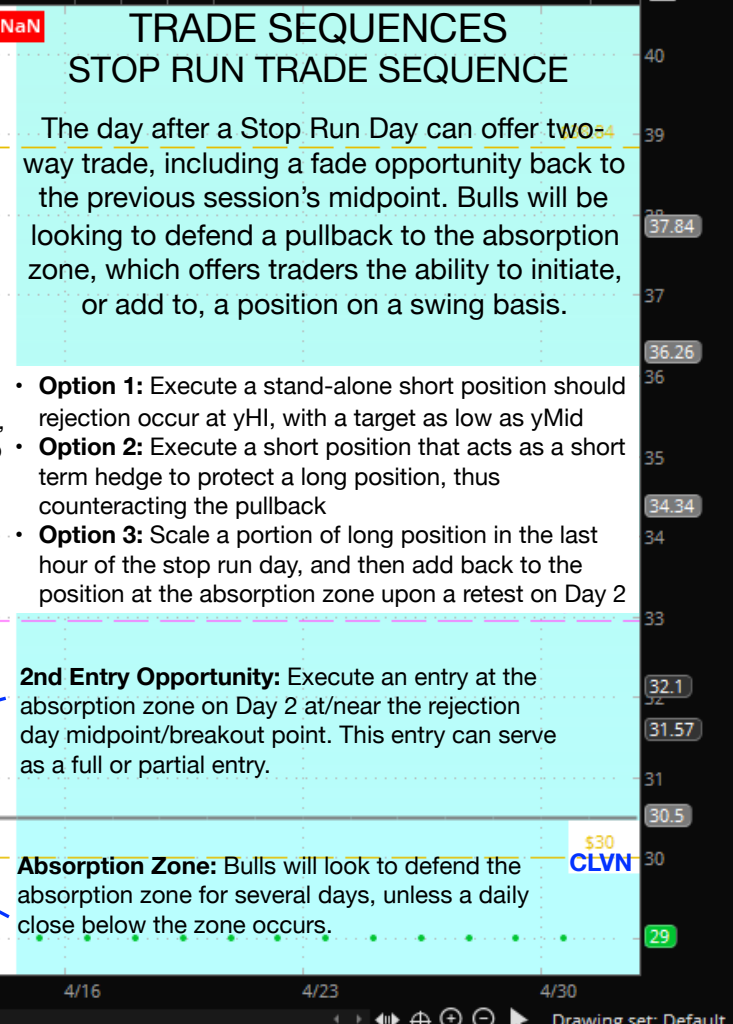
Quick Chart on ROKU

ROKU ROKU INC COM CL A 32.25 +1.96 +6.47%

ROKU 5 Y 1D [NASDAQ] D: 4/4/18 O: 29.03 H: 32.3 L: 29 C: 32.25 R: 3.3 MedianPrice: 30.65 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) no

PivotBoss_WickReversal qPEMA: 31.91 fEMA: 34.58 mPEMA: 36.5230 Range: 3.3 AvgRange: N/A ADR75: NaN ADR100: NaN ADR75: NaN ADR100: NaN





The day after a Stop Run Day can offer two-way trade, including a fade opportunity back to the previous session's midpoint. Bulls will be looking to defend a pullback to the absorption zone, which offers traders the ability to initiate, or add to, a position on a swing basis.

- 2nd Entry Opportunity:** Execute an entry at the absorption zone on Day 2 at/near the rejection day midpoint/breakout point. This entry can serve as a full or partial entry.

CLVN

Quick Chart on ROKU

ROKU ROKU INC COM CL A 31.435 -0.325 -1.02%

ROKU 5 Y 1D [NASDAQ] D: 4/6/18 O: 31.25 H: 31.9 L: 30.69 C: 31.44 R: 1.21 MedianPrice: 31.29 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) ...

PivotBoss_WickReversal qPEMA: 31.80 fPEMA: 34.08 mPEMA: 35.9855 Range: 4.049 AvgRange: N/A ADR75: NaN ADR100: NaN ADR75: NaN ADR100: NaN

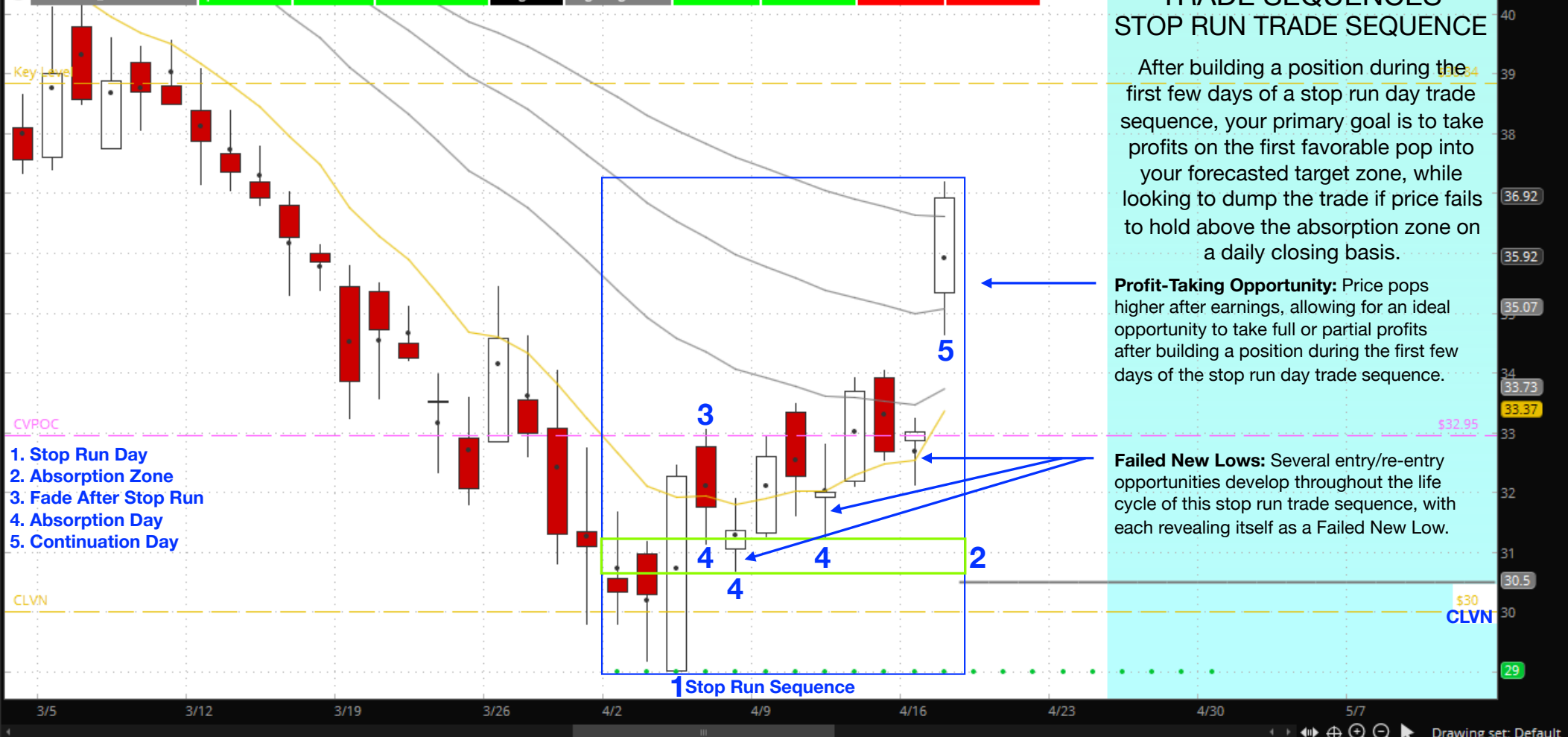


Quick Chart on ROKU

ROKU 36.92 +11.81%

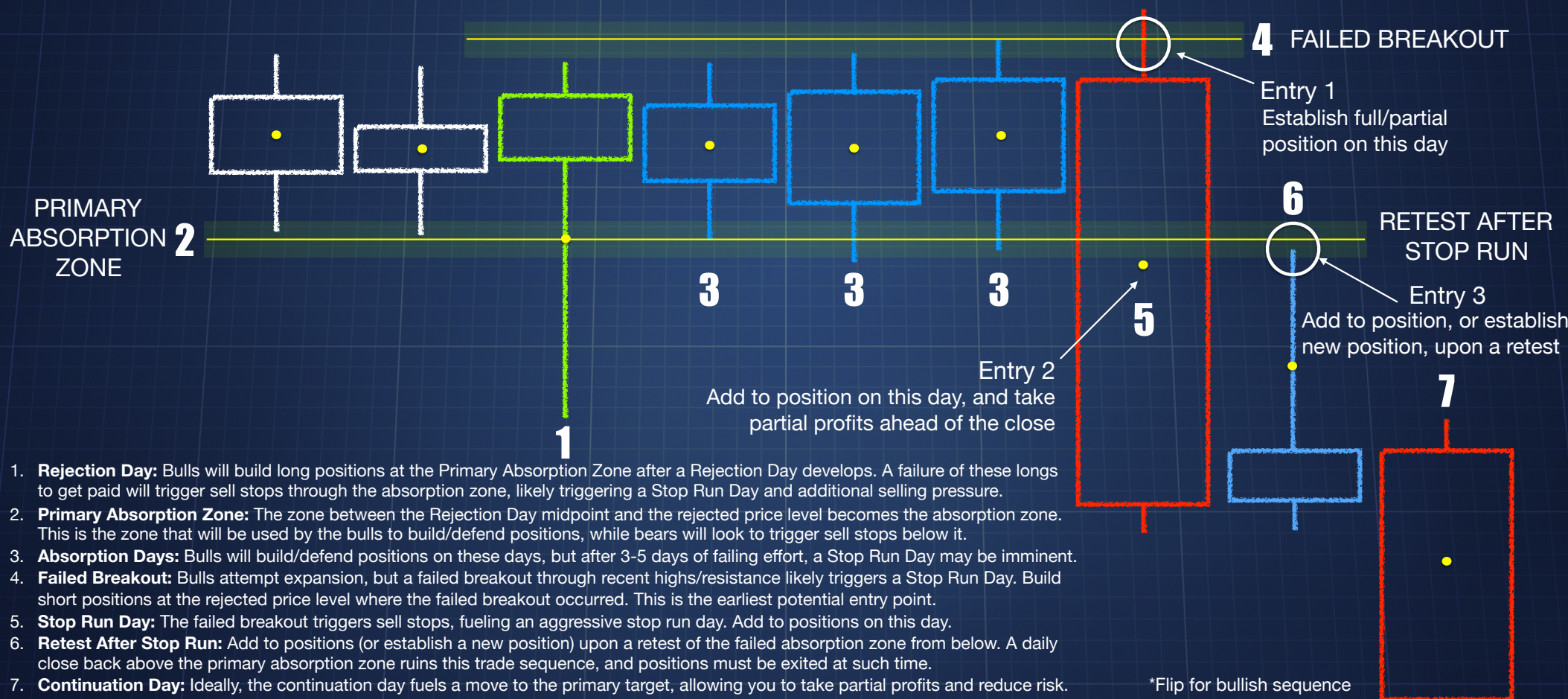
ROKU 5 Y 1D [NASDAQ] D: 4/17/18 O: 35.35 H: 37.2 L: 34.65 C: 36.92 R: 2.55 MedianPrice: 35.92 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1)

PivotBoss_WickReversal qPEMA: 33.37 fPEMA: 33.73 mPEMA: 35.0720 Range: 8.2 AvgRange: N/A ADR75: NaN ADR100: NaN ADR75: NaN ADR100: NaN



FAILED ABSORPTION SEQUENCE

This blueprint illustrates the Failed Absorption trade sequence, including identifying the primary absorption zone and all entry points. Use this sequence when Failed Absorption is suspected to occur.



- 1. Rejection Day:** Bulls will build long positions at the Primary Absorption Zone after a Rejection Day develops. A failure of these longs to get paid will trigger sell stops through the absorption zone, likely triggering a Stop Run Day and additional selling pressure.
- 2. Primary Absorption Zone:** The zone between the Rejection Day midpoint and the rejected price level becomes the absorption zone. This is the zone that will be used by the bulls to build/defend positions, while bears will look to trigger sell stops below it.
- 3. Absorption Days:** Bulls will build/defend positions on these days, but after 3-5 days of failing effort, a Stop Run Day may be imminent.
- 4. Failed Breakout:** Bulls attempt expansion, but a failed breakout through recent highs/resistance likely triggers a Stop Run Day. Build short positions at the rejected price level where the failed breakout occurred. This is the earliest potential entry point.
- 5. Stop Run Day:** The failed breakout triggers sell stops, fueling an aggressive stop run day. Add to positions on this day.
- 6. Retest After Stop Run:** Add to positions (or establish a new position) upon a retest of the failed absorption zone from below. A daily close back above the primary absorption zone ruins this trade sequence, and positions must be exited at such time.
- 7. Continuation Day:** Ideally, the continuation day fuels a move to the primary target, allowing you to take partial profits and reduce risk.

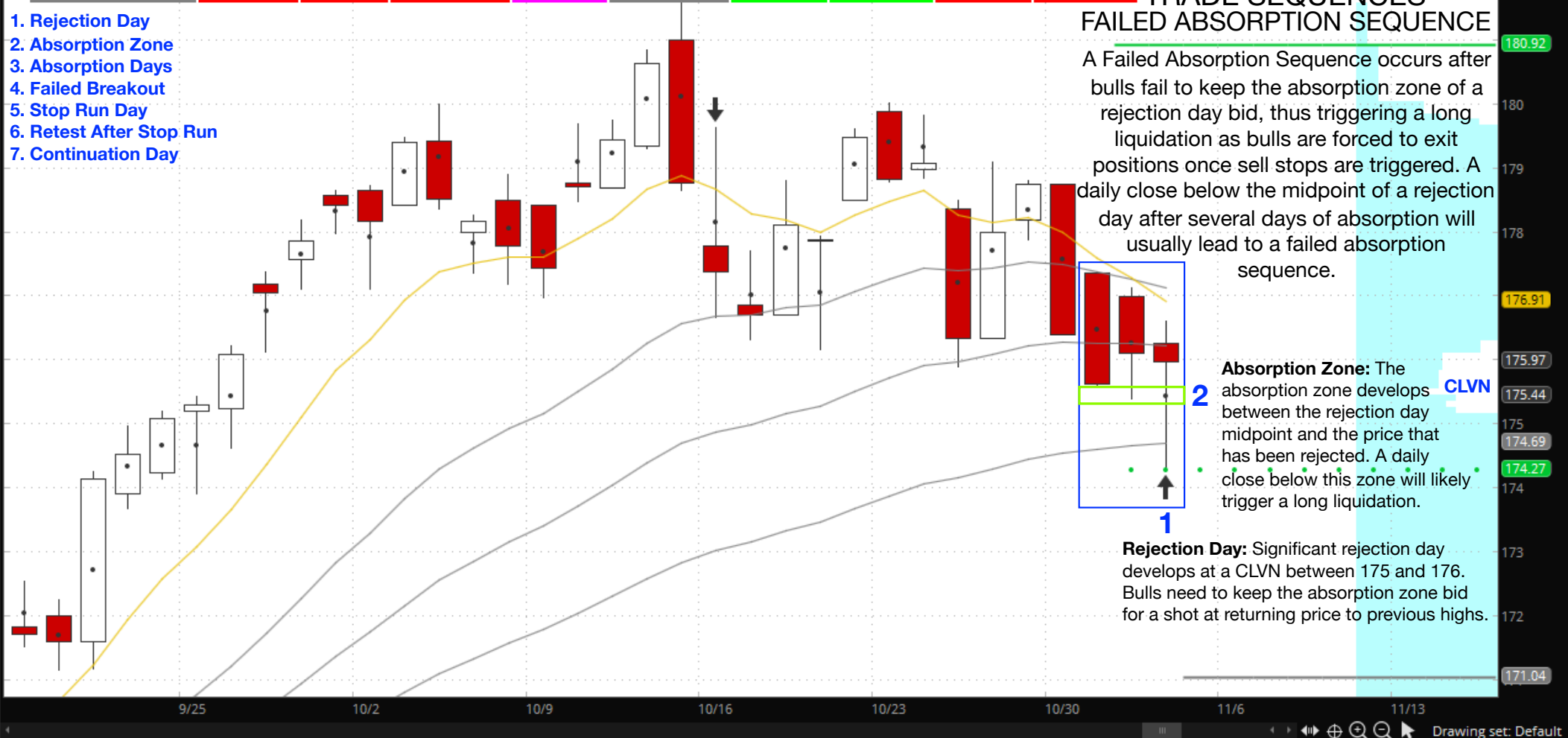
1. Rejection Day
2. Absorption Zone
3. Absorption Days
4. Failed Breakout
5. Stop Run Day
6. Retest After Stop Run
7. Continuation Day

TRADE SEQUENCES FAILED ABSORPTION SEQUENCE

A Failed Absorption Sequence occurs after bulls fail to keep the absorption zone of a rejection day bid, thus triggering a long liquidation as bulls are forced to exit positions once sell stops are triggered. A daily close below the midpoint of a rejection day after several days of absorption will usually lead to a failed absorption sequence.

Absorption Zone: The absorption zone develops between the rejection day midpoint and the price that has been rejected. A daily close below this zone will likely trigger a long liquidation.

Rejection Day: Significant rejection day develops at a CLVN between 175 and 176. Bulls need to keep the absorption zone bid for a shot at returning price to previous highs.



1. Rejection Day
2. Absorption Zone
3. Absorption Days
4. Failed Breakout
5. Stop Run Day
6. Retest After Stop Run
7. Continuation Day

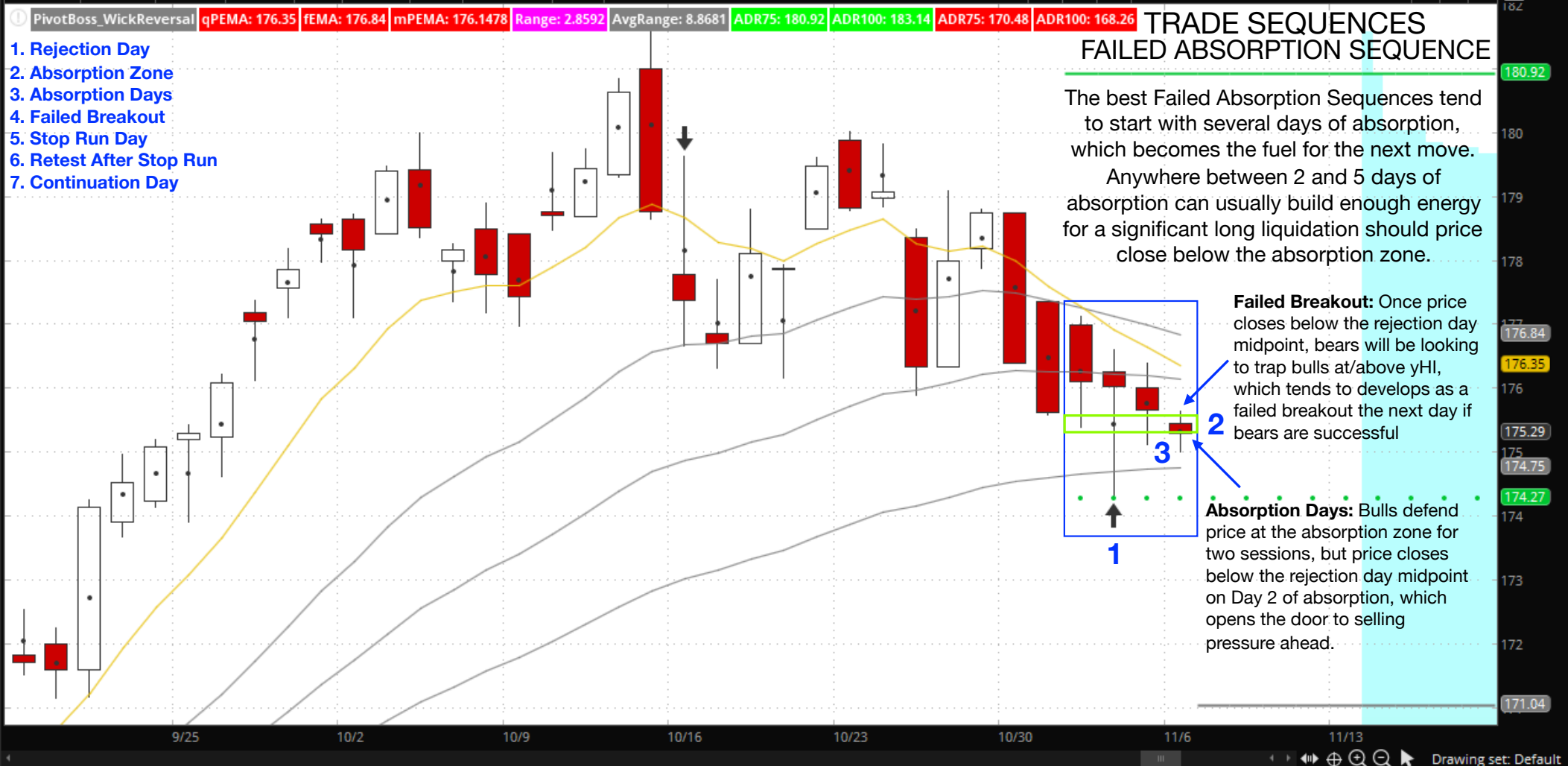
TRADE SEQUENCES FAILED ABSORPTION SEQUENCE

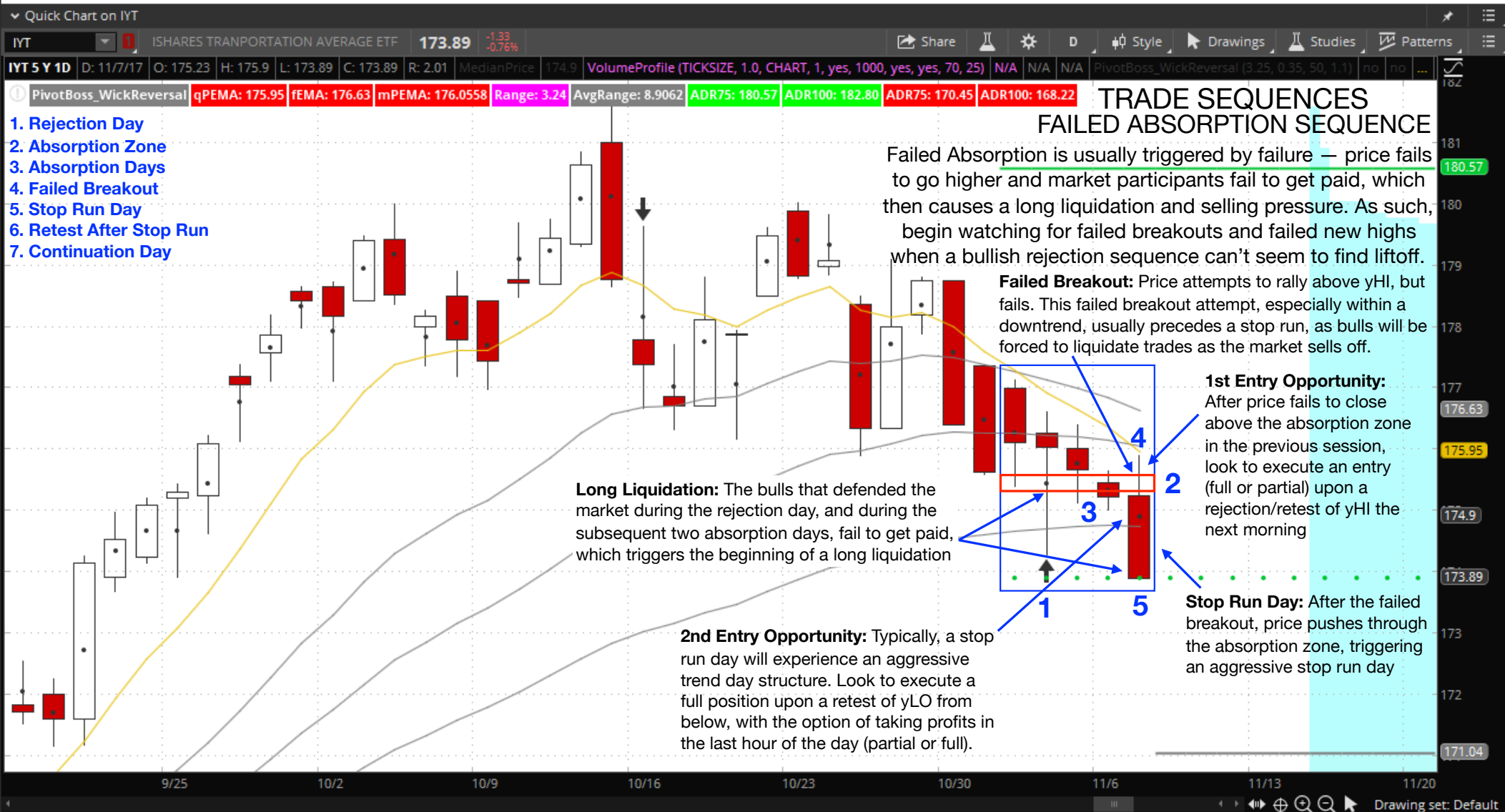
The best Failed Absorption Sequences tend to start with several days of absorption, which becomes the fuel for the next move.

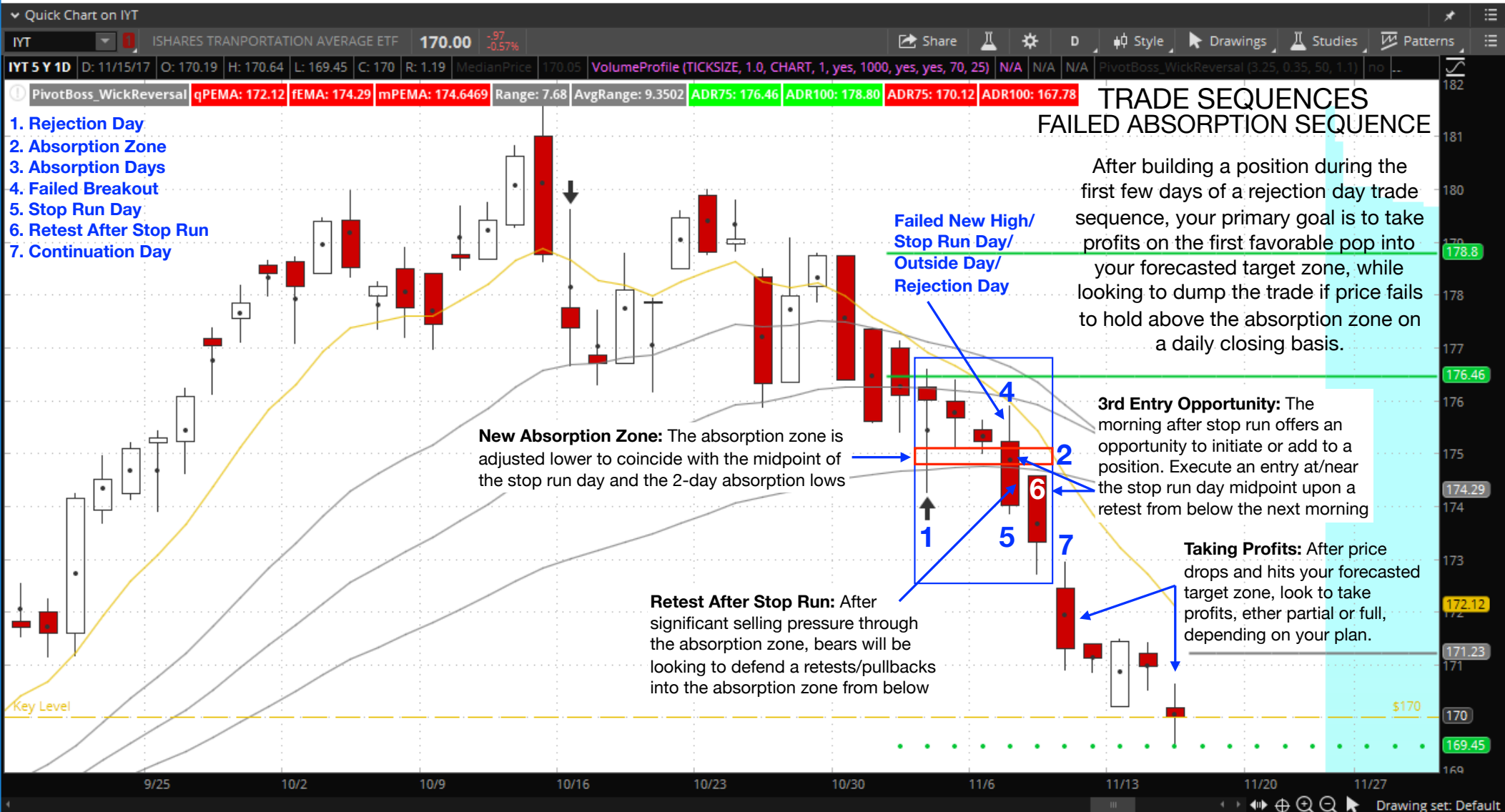
Anywhere between 2 and 5 days of absorption can usually build enough energy for a significant long liquidation should price close below the absorption zone.

Failed Breakout: Once price closes below the rejection day midpoint, bears will be looking to trap bulls at/above yHI, which tends to develop as a failed breakout the next day if bears are successful

Absorption Days: Bulls defend price at the absorption zone for two sessions, but price closes below the rejection day midpoint on Day 2 of absorption, which opens the door to selling pressure ahead.



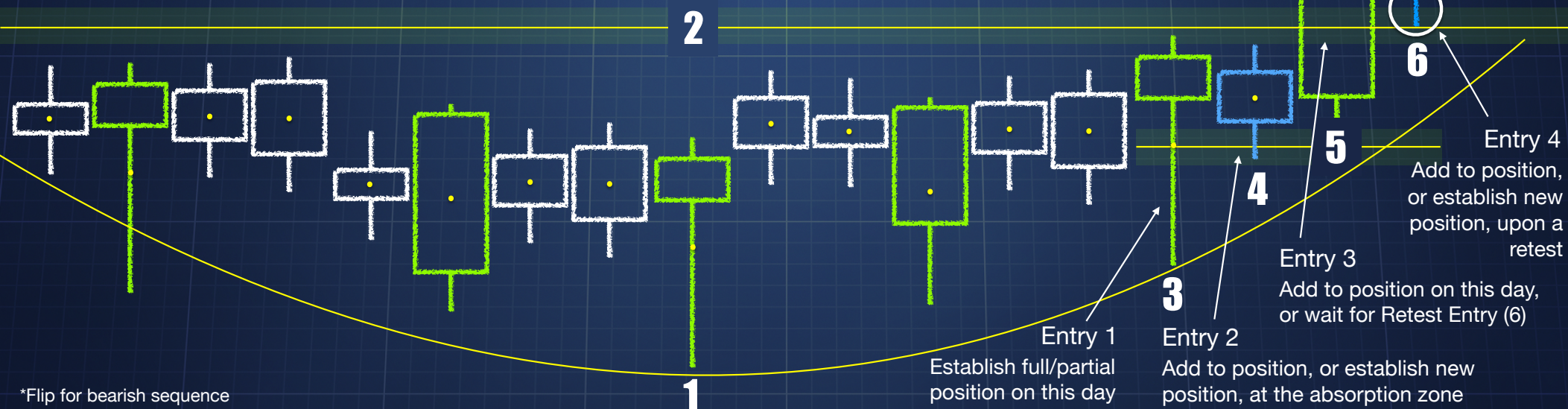


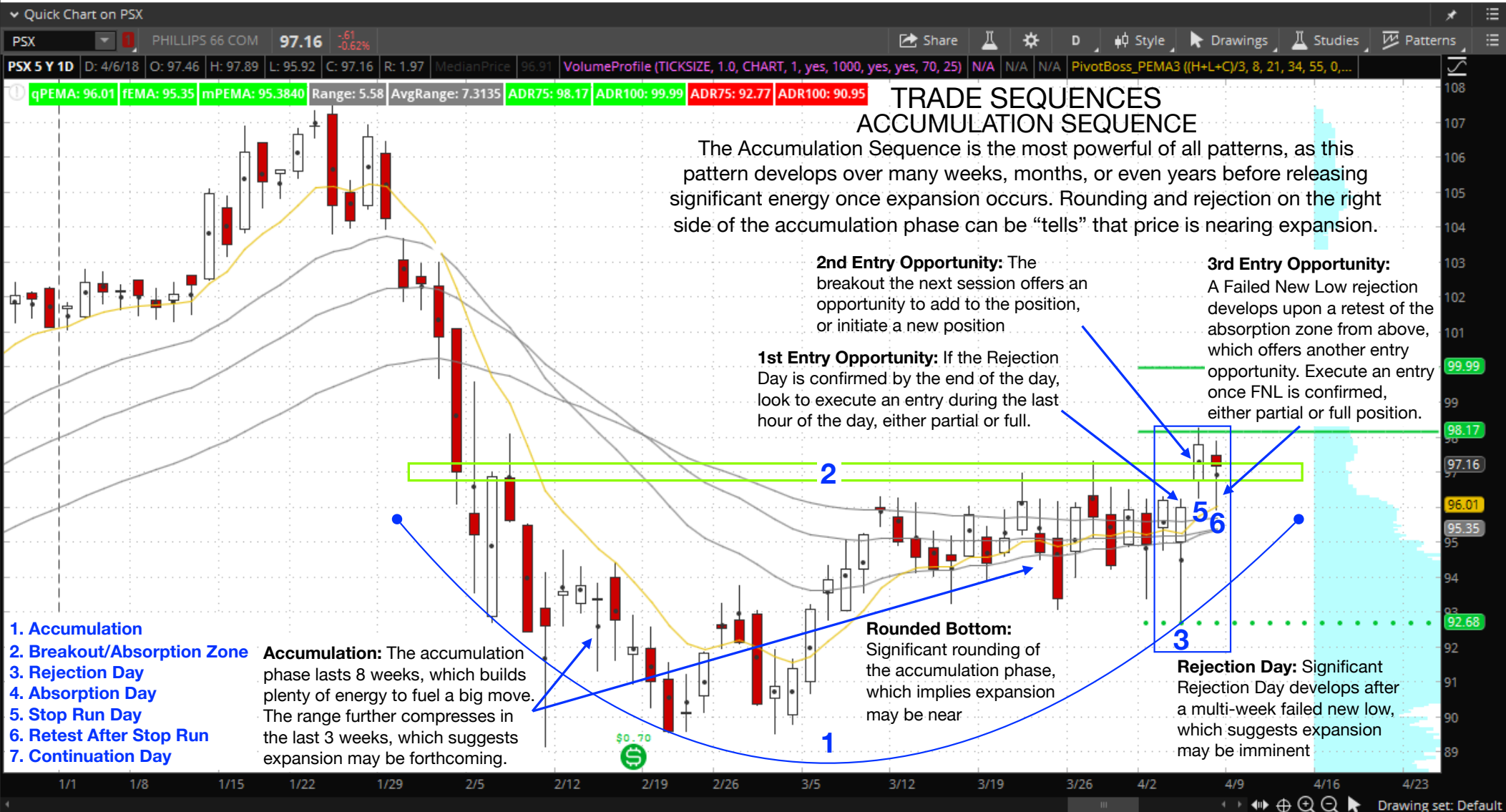


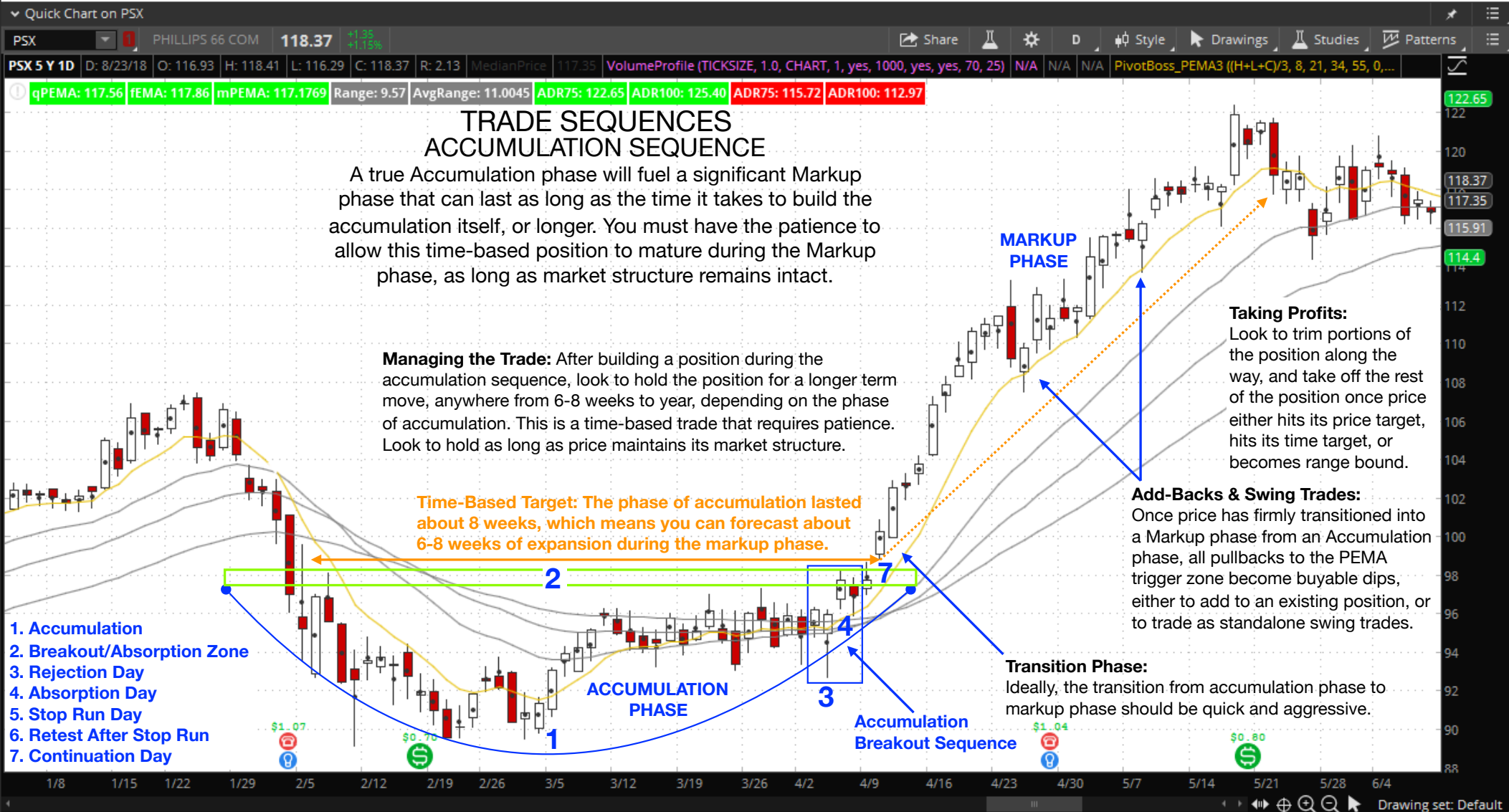
ACCUMULATION SEQUENCE

This blueprint illustrates the Accumulation trade sequence, including identifying tendencies of accumulation and detailing each entry point. Use this sequence when Accumulation develops.

1. **Accumulation:** Accumulation occurs when institutional investors buy substantial supply of a given stock, while simultaneously keeping price within a narrow range for 20+ days, which eventually fuels expansion and a markup phase. Rounded bottoms are extremely reliable patterns of accumulation.
2. **Breakout/Absorption Zone:** The zone between the Stop Run Day midpoint and recent resistance, which bulls will use to defend their trades or establish new positions. A daily close below this zone will ruin this trade and trigger a stop run to the downside, thus positions must be exited at such time.
3. **Rejection Day:** It can be challenging to discern when expansion will occur from the accumulation phase, but Rejection Days on the right side of a rounded bottom can oftentimes precede expansion. Establish a partial position on this day, or the next session at the rejection day midpoint (3).
4. **Absorption Day:** Add to your position (or establish a new position) at the Absorption Zone on these days.
5. **Stop Run Day:** Add to your position on this day, or look to defend your position upon a retest of the breakout point from above in the days moving forward.
6. **Retest After Stop Run:** Defend your position upon a retest of the breakout point from above, or establish new position here. Multiple rotations can be defended at this level. A daily close below this zone will ruin this trade and trigger a stop run to the downside, thus positions must be exited at such time.
7. **Continuation Day:** Ideally, the continuation day fuels a move to your pre-determined high probability target, allowing you to take partial profits and reduce risk, but the position can be held to realize long term targets 6-12 months out, or can be used as a "buy-the-dips" candidate throughout the markup phase.









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PRESENTS

SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

STEP 2: TRADE SEQUENCES



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PRESENTS

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THE 5-STEP SWING TRADING BLUEPRINT

STEP 3: STRATEGY TOOLKIT



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SWING TRADE PRO 2.0

3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

STRATEGY TOOLKIT

BENEFITS OF TRADING OPTIONS

In Step 3: Strategy Toolkit, you will learn about the options strategies that we will use in our strategy toolkit. You will also learn how to choose the right strategy for the opportunity presenting itself. But first, let's discuss the benefits of trading options.

Benefits of Trading Options:

- **Less Capital Required:** You can trade options using a fraction of the capital required to trade stocks or ETFs, which gives you additional capital to deploy.
- **Less Risk:** The risk is built into the options strategy that you choose, which allows you to define your maximum allowable risk, even if the market were to suffer a catastrophic event, like a flash crash.
- **Higher Potential Return:** While less capital is required to trade options, they can return nearly 85% of the potential reward versus owning the stock, which means the potential return on investment is oftentimes much higher than trading options.
- **More Strategies:** Options provide a plethora of ways to strategically engage the market, which is a stark contrast to the long-only or short-only approach to stocks.



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

STRATEGY TOOLKIT: **CHOOSE A TRADING STRATEGY**

The Strategy Toolkit is designed to allow you to choose trading strategies that are categorized by their relative risk profiles, thus allowing you to pick the type of risk that you're willing to take relative to the probability of profit for the opportunity that you're considering trading.

For example, Credit Spreads are at the low end of the risk spectrum, while Neutral Strategies are at the center and Trade the Underlying is at the high end of the risk spectrum.

Look to choose a relatively low-risk strategy, like a Credit or Debit Spread, for an opportunity with good odds of profitability. Choose a more aggressive strategy, like ITM Long Calls or Puts when the opportunity has high odds of success. Your ability to determine which trading strategy is right for the setup that you are trading will go a long way toward building consistency.

3.1 CREDIT SPREADS

- Put Credit Spread (BULLISH)
- Call Credit Spread (BEARISH)

3.2 DEBIT SPREADS

- Call Debit Spread (BULLISH)
- Put Debit Spread (BEARISH)

3.3 NEUTRAL STRATEGIES

- Long Straddle (BREAKOUT)
- Short Iron Butterfly (RANGE)

3.4 ITM OPTIONS

- ITM Long Call (BULLISH)
- ITM Long Put (BEARISH)

3.5 OTM OPTIONS

- OTM Long Call (BULLISH)
- OTM Long Put (BEARISH)

3.6 TRADE THE UNDERLYING

- Covered Call (INCOME)
- Protective Put (HEDGE)
- Collar (HEDGE)



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

- Put Credit Spread (Bullish)
- Call Credit Spread (Bearish)

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

CREDIT SPREADS

Credit Spreads offer a low-risk approach to executing a bias in the market by betting where the market won't go. Credit Spreads are an option strategy that pay out a net credit, as you are selling a higher priced option and buying a lower priced option for protection. This approach allows you to collect premium on the option sold, while limiting your risk with the cheaper bought option.

Credit Spread: Involves selling a higher priced option to collect premium, while buying a lower priced option in the same underlying with the same expiration for risk protection, resulting in a net credit for the trade.

3.1 CREDIT SPREADS

- Put Credit Spread (BULLISH)
- Call Credit Spread (BEARISH)

Benefits of Credit Spreads:

- **Defined Risk:** This strategy allows you to cap your risk for a trade. No matter how the trade turns out, you cannot lose more than your pre-defined risk.
- **Max Profit is Easily Achieved:** As long as price remains beyond the option sold, you will achieve max profit for a trade. In essence, price can go strongly in your favor, mildly in your favor, or remain flat, and you can still collect max profit with this strategy.
- **Time Decay Works in Your Favor:** When selling options, time decay is extremely helpful.



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

- Put Credit Spread (Bullish)
- Call Credit Spread (Bearish)

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

CREDIT SPREADS: PUT CREDIT SPREAD (BULLISH)

OBJECTIVE: The objective of a Put Credit Spread is to execute a bullish income strategy for a net credit while also reducing your maximum risk. The sold puts produce the income element, while the bought puts limit your downside risk.

Direction: Bullish/Neutral

Asset Legs: Short Put (higher strike), Long Put (lower strike)

When to Use: If you think the market will go up or sideways

Profit Characteristics: Retain the net credit if both options expire worthless — **This is the ideal scenario for this trade.**

Loss Characteristics: Difference in strikes less the net credit you received

Decay Characteristics: Time decay is helpful when the position is winning, and harmful when the position is losing

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when you believe price will move higher or stay flat.
- You're selling premium, so you want time decay to work in your favor, therefore trade options with 15 days or less to expiration.
- You want both options to expire worthless. If this happens, you won't have to pay commission to close the position.
- If the trade hits near max profit early in the trade, go ahead and take the windfall profits
- If the stock rises, both puts expire worthless, and you simply retain the entire net credit.
- If the stock falls, then your breakeven is the higher strike minus the net credit you received.



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SWING TRADE PRO 2.0

3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

- **Put Credit Spread (Bullish)**
- **Call Credit Spread (Bearish)**

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

CREDIT SPREADS: PUT CREDIT SPREAD (BULLISH)

EXECUTION: Sell the Put Credit Spread when the underlying reaches your entry trigger.

PUT CREDIT SPREAD EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will close above 100 at expiration:

Sell the Feb 100 put for 2.00

Buy the Feb 95 put for .50

Risk Profile:

- **Net Credit Transaction:** Premium sold - premium bought ($2.00 - .50 = 1.50$)
- **Maximum Risk:** Difference in strikes minus net credit ($(100 - 95) - 1.50 = 3.50$)
- **Maximum Reward:** Net credit received (1.50)
- **Breakeven:** Higher strike minus net credit ($100 - 1.50 = 98.50$)
- Collect 1.50 in Premium, which stays in your account if price closes above 100 at expiration
- If price remains above 100, allow the options to expire worthless to keep the entire credit and to avoid paying commissions
- If price goes against the trade, the breakeven point is the higher strike minus the net credit received
- Look to cover this trade ahead of expiration to avoid assignment if position is losing

qPEMA: 165.41 rPEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

CREDIT SPREADS: PUT CREDIT SPREAD (BULLISH)

The objective of a Put Credit Spread is to execute a bullish income strategy for a net credit while also reducing your maximum risk. The sold puts produce the income element, while the bought puts limit downside risk.

EXECUTION: Short Put (higher strike) and Long Put (lower strike) with the same expiration. Sell the Put Credit Spread when the underlying reaches your entry trigger.

EXAMPLE:

Sell 16 Mar (11): 160 Put for 2.41
Buy 16 Mar (11): 155 Put for 0.35
Net Credit: $2.41 - 0.35 = 2.06$
Max Risk: $5.00 - 2.06 = 2.94$
Max Reward: $2.41 - 0.35 = 2.06$
Breakeven: $160 - 2.06 = 157.94$

Price needs to close above 160 at expiration for max profit

Breakeven 157.94

Sell 160 Put

Buy 155 Put

TIPS:

- Sell when implied volatility is high
- Sell with 15 days or less to expiration
- Time decay works in your favor, even if price doesn't move
- If price closes above the sold put at expiration, allow the position to expire worthless to collect max credit and to avoid paying commission on the exit



Put Credit Spreads are very trader friendly, as price can move up, sideways, or even modestly against the sold put and still finish with a max profit or breakeven trade. Look to execute this trade with 15 days or less to expiration, preferably after a significant rejection.

- Allow the options to expire worthless to collect max credit and to avoid paying commission on the exit
- Should a windfall move occur early in the trade, consider buying back the spread ahead of expiration for .05

16 Mar (0) 160 Put expires for 0.00
16 Mar (0) 155 Put expires for 0.00

Max Profit = Net Credit: 2.06

As long as price closes above 160 at expiration, this trade makes max profit

Sell 160 Put → \$160
Buy 155 Put →

Breakeven 157.94

\$1.4

\$0.50



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

- Put Credit Spread (Bullish)
- Call Credit Spread (Bearish)

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

CREDIT SPREADS: CALL CREDIT SPREAD (BEARISH)

OBJECTIVE: The objective of a Call Credit Spread is to execute a bearish income strategy for a net credit while also reducing your maximum risk. The sold calls produce the income element, while the bought calls limit your upside risk.

Direction: Bearish/Neutral

Asset Legs: Short Call (lower strike), Long Call (higher strike)

When to Use: If you think the market will go down or sideways

Profit Characteristics: Retain the net credit if both options expire worthless — **This is the ideal scenario for this trade.**

Loss Characteristics: Difference in strikes less the net credit

Decay Characteristics: Time decay is helpful when the position is winning, and harmful when the position is losing

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when you believe price will move lower or stay flat.
- You're selling premium, so you want time decay to work in your favor, therefore trade options with 15 days or less to expiration.
- You want both options to expire worthless. If this happens, you won't have to pay commission to close the trade.
- If the trade hits near max profit early in the trade, go ahead and take the windfall profits
- If the stock falls, both calls expire worthless, and you simply retain the entire net credit.
- If the stock rises, then your breakeven is the lower strike plus the net credit you received.



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

- Put Credit Spread (Bullish)
- Call Credit Spread (Bearish)

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

CREDIT SPREADS: CALL CREDIT SPREAD (BEARISH)

EXECUTION: Sell the Call Credit Spread when the underlying reaches your entry trigger.

CALL CREDIT SPREAD EXAMPLE:

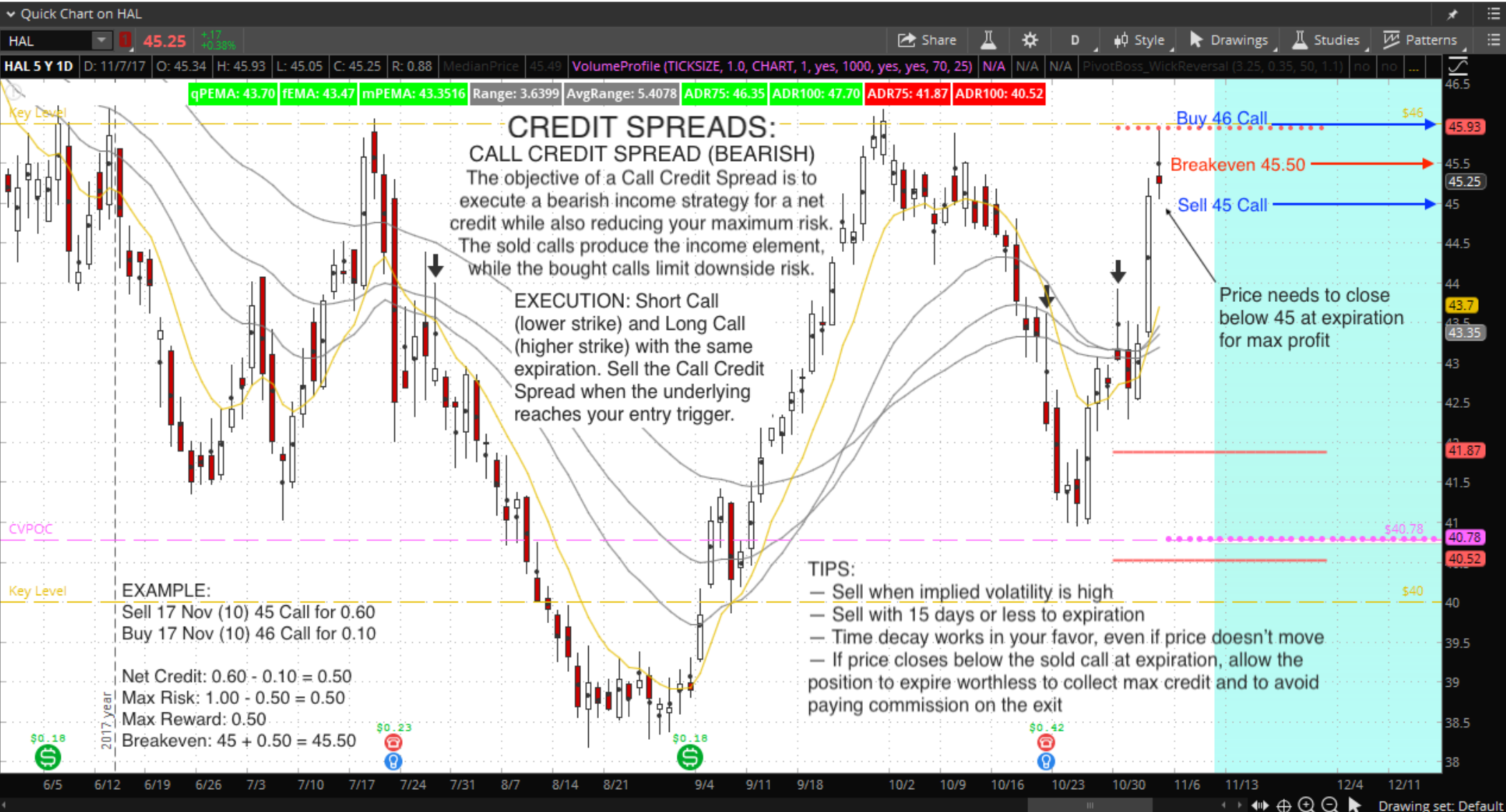
XYZ is trading at 100 in Jan and you believe that price will close below 100 at expiration:

Sell the Feb 100 call for 2.00

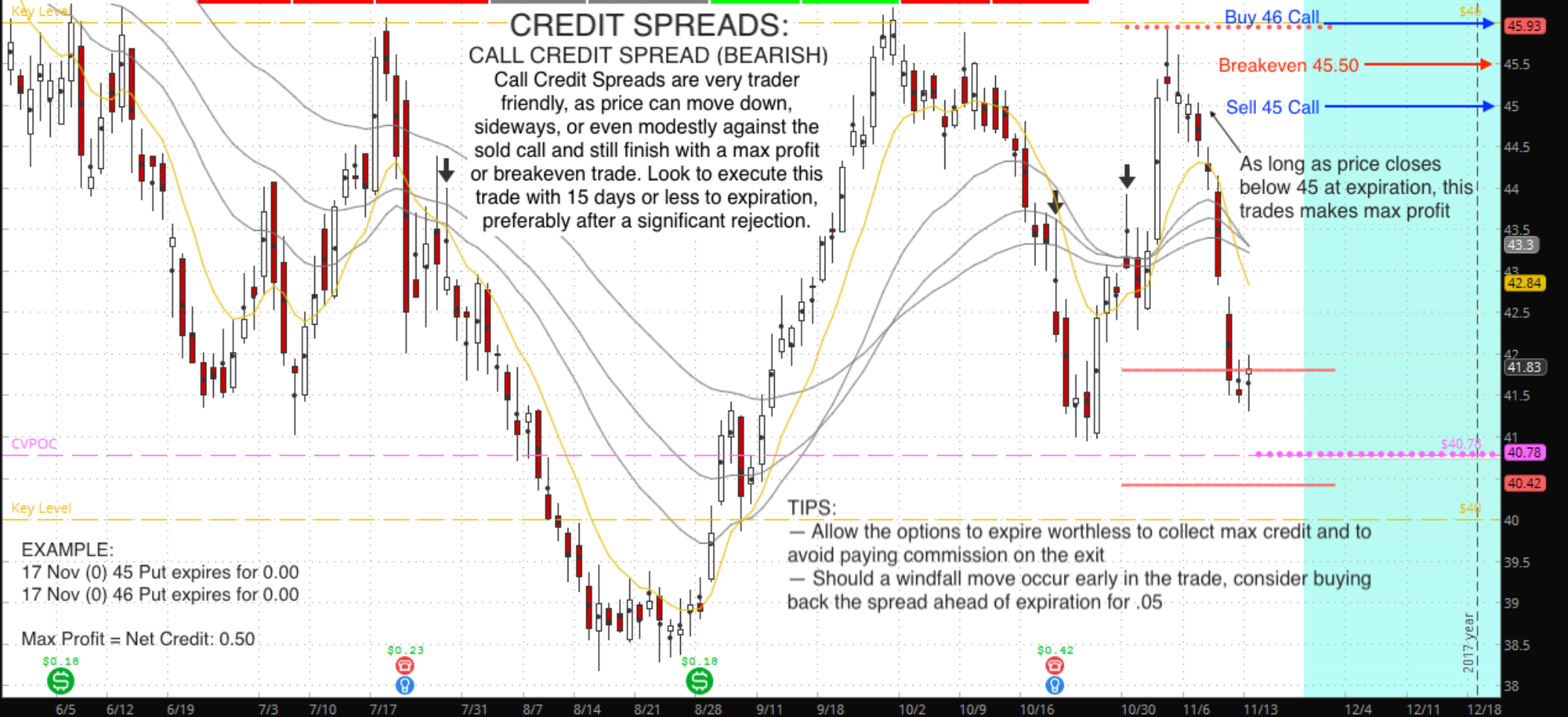
Buy the Feb 105 call for .50

Risk Profile:

- **Net Credit Transaction:** Premium sold - premium bought ($2.00 - .50 = 1.50$)
- **Maximum Risk:** Difference in strikes minus net credit ($(105 - 100) - 1.50 = 3.50$)
- **Maximum Reward:** Net credit received (1.50)
- **Breakeven:** Lower strike plus net credit ($100 + 1.50 = 101.50$)
- Collect 1.50 in Premium, which stays in your account if price closes below 100 at expiration
- If price remains below 100, allow the options to expire worthless to keep the entire credit and to avoid paying commissions
- If price goes against the trade, the breakeven point is the lower strike plus the net credit received
- Look to cover this trade ahead of expiration to avoid assignment if position is losing



qPEMA: 42.84 fEMA: 43.30 mPEMA: 43.3164 Range: 4.6199 AvgRange: 5.5058 ADR75: 45.44 ADR100: 46.82 ADR75: 41.80 ADR100: 40.42





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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

- Call Debit Spread (Bullish)
- Put Debit Spread (Bearish)

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

DEBIT SPREADS

Debit Spreads offer a risk-defined approach to executing a directional bias in the market. Debit Spreads are an option strategy that results in a net debit, as you are buying a higher priced option and selling a lower priced option in order to offset time decay, limit risk, and reduce the cost basis of the trade.

Debit Spreads: Involves buying a higher priced option, while selling a lower priced option in the same underlying with the same expiration in order to offset the effects of time decay and reduce cost, resulting in a net debit for the trade.

3.2 DEBIT SPREADS

- Call Debit Spread (BULLISH)
- Put Debit Spread (BEARISH)

Benefits of Debit Spreads:

- **Defined Risk:** This strategy allows you to cap your risk for a trade. No matter how the trade turns out, you cannot lose more than the amount you paid for the trade.
- **Time Decay is Offset:** Buy selling the lower priced option, you are essentially offsetting the negative effects of time decay.
- **Lower Cost Basis:** By selling the lower priced option, you are reducing the cost basis of the trade, while also improving your breakeven point.



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

- **Call Debit Spread (Bullish)**
- **Put Debit Spread (Bearish)**

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

DEBIT SPREADS: CALL DEBIT SPREAD (BULLISH)

OBJECTIVE: The objective of a Call Debit Spread is to execute a bullish trade by buying calls, while reducing your maximum risk by selling calls at a higher strike. The sold calls cap profit potential, but also reduce your cost basis, risk, and breakeven points.

Direction: Bullish

Asset Legs: Long Call (lower strike), Short Call (higher strike)

When to Use: If you think the market will go up, but with limited upside potential

Profit Characteristics: Max profit is reached if price closes at or above the sold call at expiration — **This is the ideal scenario for this trade.**

Loss Characteristics: Max risk is the net cost of the spread

Decay Characteristics: Time decay is helpful when the position is winning, and harmful when the position is losing

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when you believe price will move higher, but has limited upside potential.
- If the stock rises to the higher (sold) call, you make max profit
- If the stock falls below the lower (bought) call, you take a max loss
- If the stock falls somewhere in between, then you must clear the breakeven point, which is the lower strike plus the net debit.



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

- Call Debit Spread (Bullish)
- Put Debit Spread (Bearish)

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

DEBIT SPREADS: CALL DEBIT SPREAD (BULLISH)

EXECUTION: Buy the Call Debit Spread when the underlying reaches your entry trigger.

CALL DEBIT SPREAD EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will rally, but has limited upside to about 105:

Buy the Feb 100 call for 2.00
Sell the Feb 105 call for .50

Risk Profile:

- **Net Debit Transaction:** Premium bought - premium sold ($2.00 - .50 = 1.50$)
- **Maximum Risk:** Debit paid (1.50)
- **Maximum Reward:** Difference in strikes minus debit paid ($(105 - 100) - 1.50 = 3.50$)
- **Breakeven:** Lower strike plus net debit ($100 + 1.50 = 101.50$)
- Max profit occurs if price rises to the higher (sold) strike
- If price closes below the lower (bought) strike at expiration, you take a max loss
- If price closes somewhere between the two strikes, your breakeven is the lower strike plus the net debit paid

qPEMA: 165.41 fEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

DEBIT SPREADS: CALL DEBIT SPREAD (BULLISH)

The objective of a Call Debit Spread is to execute a bullish trade by buying calls, while reducing your maximum risk by selling calls at a higher strike. The sold calls cap profit potential, but also reduce your cost basis, risk, and breakeven points.

EXECUTION: Long Call (lower strike), Short Call (higher strike) with the same expiration. Buy the Call Debit Spread when the underlying reaches your entry trigger.

EXAMPLE:

Buy 16 Mar (11) 160 Call for 3.59
Sell 16 Mar (11) 170 Call for 0.55
Net Debit: $3.59 - 0.55 = 3.04$
Max Risk: $3.59 - 0.55 = 3.04$
Max Reward: $10 - 3.04 = 6.94$
Breakeven: $160 + 3.04 = 163.04$

Max profit occurs if price closes at 170 at expiration

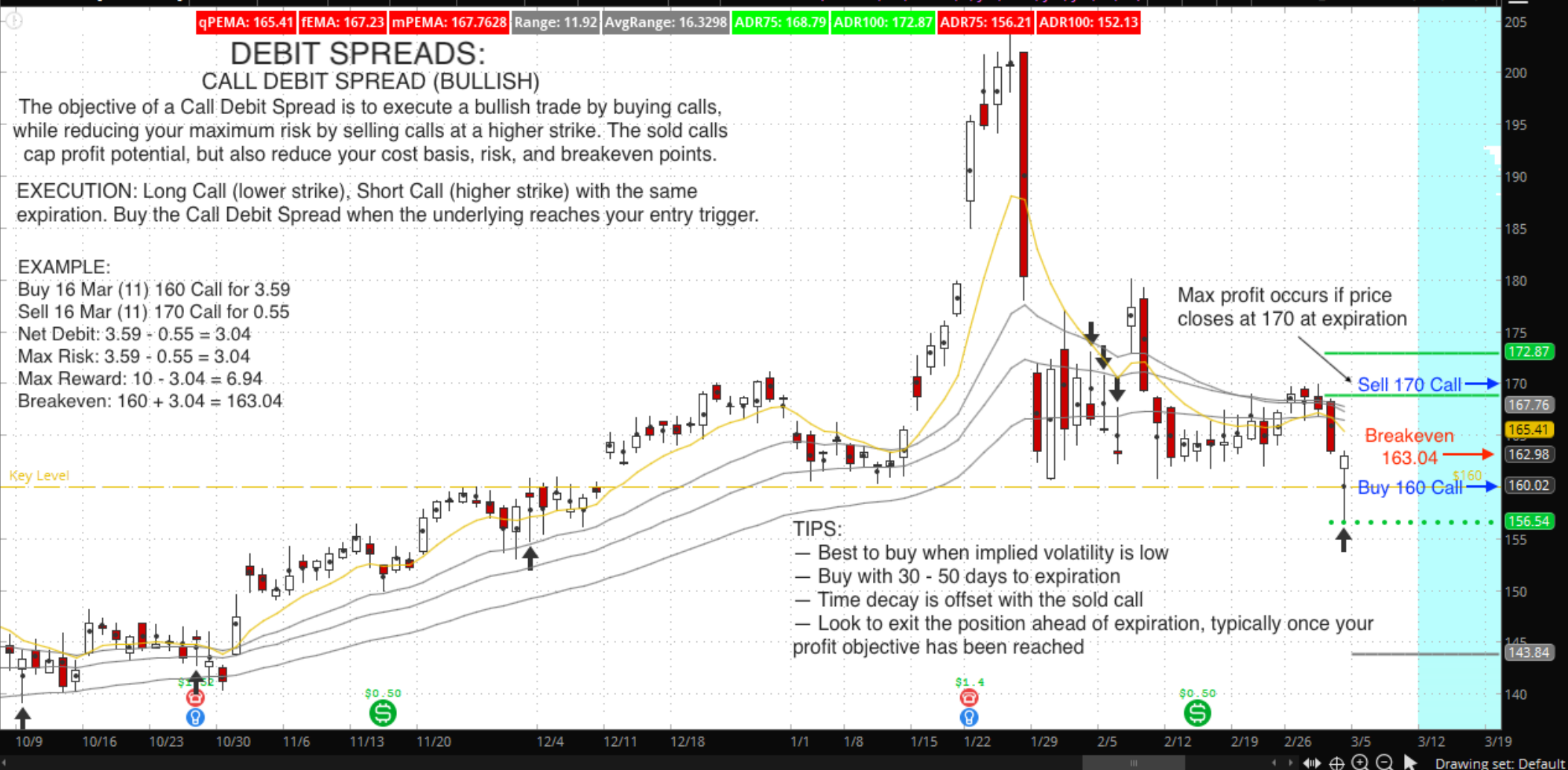
Sell 170 Call

Breakeven 163.04

Buy 160 Call

TIPS:

- Best to buy when implied volatility is low
- Buy with 30 - 50 days to expiration
- Time decay is offset with the sold call
- Look to exit the position ahead of expiration, typically once your profit objective has been reached



Quick Chart on WYNN

WYNN WYNN RESORTS LTD COM 173.15 +2.81% 14.74

WYNN 5 Y 1D [NASDAQ] D: 3/8/18 O: 173.24 H: 174.6 L: 171.6 C: 173.15 R: 3 MedianPrice: 173.1 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1)

qPEMA: 167.36 fEMA: 167.44 mPEMA: 167.7583 Range: 18.06 AvgRange: 16.9438 ADR75: 169.25 ADR100: 173.48 ADR75: 161.89 ADR100: 157.66

DEBIT SPREADS: CALL DEBIT SPREAD (BULLISH)

Call Debit Spreads are trader friendly because risk is clearly defined, costs are lower, and time decay is offset. Ideally, you want to take profits ahead of expiration once your profit objective has been reached.

EXAMPLE:

Cost of Spread on Mar 2 (11 days to expiration): 3.04

Cost of Spread on Mar 8 (7 days to expiration): 8.23

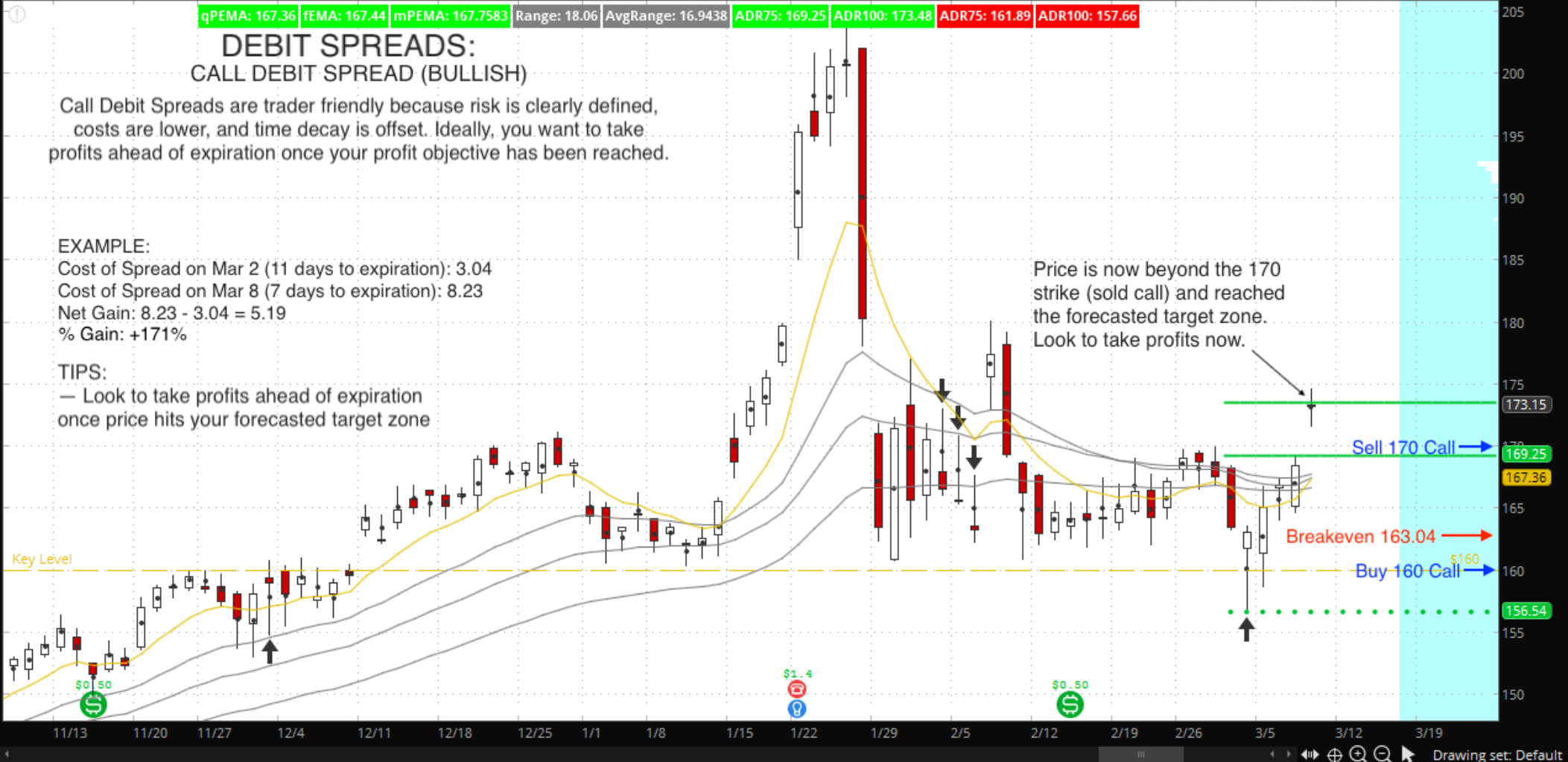
Net Gain: $8.23 - 3.04 = 5.19$

% Gain: +171%

TIPS:

— Look to take profits ahead of expiration once price hits your forecasted target zone

Price is now beyond the 170 strike (sold call) and reached the forecasted target zone. Look to take profits now.





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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

- Call Debit Spread (Bullish)
- Put Debit Spread (Bearish)

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

DEBIT SPREADS: PUT DEBIT SPREAD (BEARISH)

OBJECTIVE: The objective of a Put Debit Spread is to execute a bearish trade by buying puts, while reducing your maximum risk by selling puts at a lower strike. The sold puts cap profit potential, but also reduce your cost basis, risk, and breakeven points.

Direction: Bearish

Asset Legs: Long Put (higher strike), Short Put (lower strike)

When to Use: If you think the market will go down, but with limited downside potential

Profit Characteristics: Max profit is reached if price closes at or below the sold put at expiration — **This is the ideal scenario for this trade.**

Loss Characteristics: Max risk is the net cost of the spread

Decay Characteristics: Time decay is helpful when the position is winning, and harmful when the position is losing

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when you believe price will move lower, but has limited downside potential.
- If the stock falls to the lower (sold) put, you make max profit. If this happens prior to expiration, go ahead and take profits.
- If the sold options loses its value, you can take profits on this leg, and hold the long option as a free trade.
- If the stock rises above the higher (bought) put, you take a max loss
- If the stock falls somewhere in between, then you must clear the breakeven point, which is the higher strike minus the net debit.



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

- Call Debit Spread (Bullish)
- Put Debit Spread (Bearish)

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

DEBIT SPREADS: PUT DEBIT SPREAD (BEARISH)

EXECUTION: Buy the Put Debit Spread when the underlying reaches your entry trigger.

PUT DEBIT SPREAD EXAMPLE:

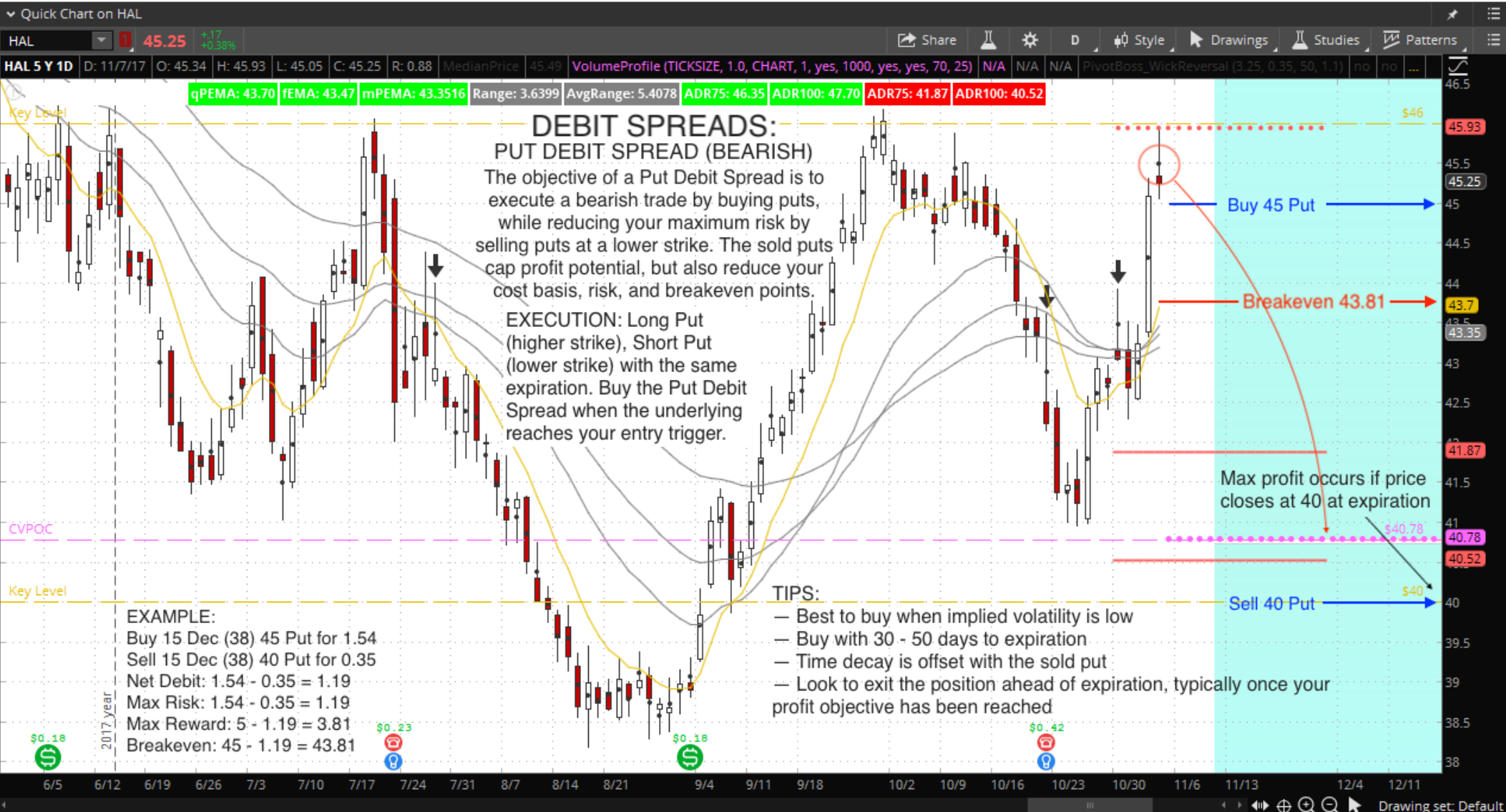
XYZ is trading at 100 in Jan and you believe that price will fall, but has limited downside to about 95:

Buy the Feb 100 put for 2.00

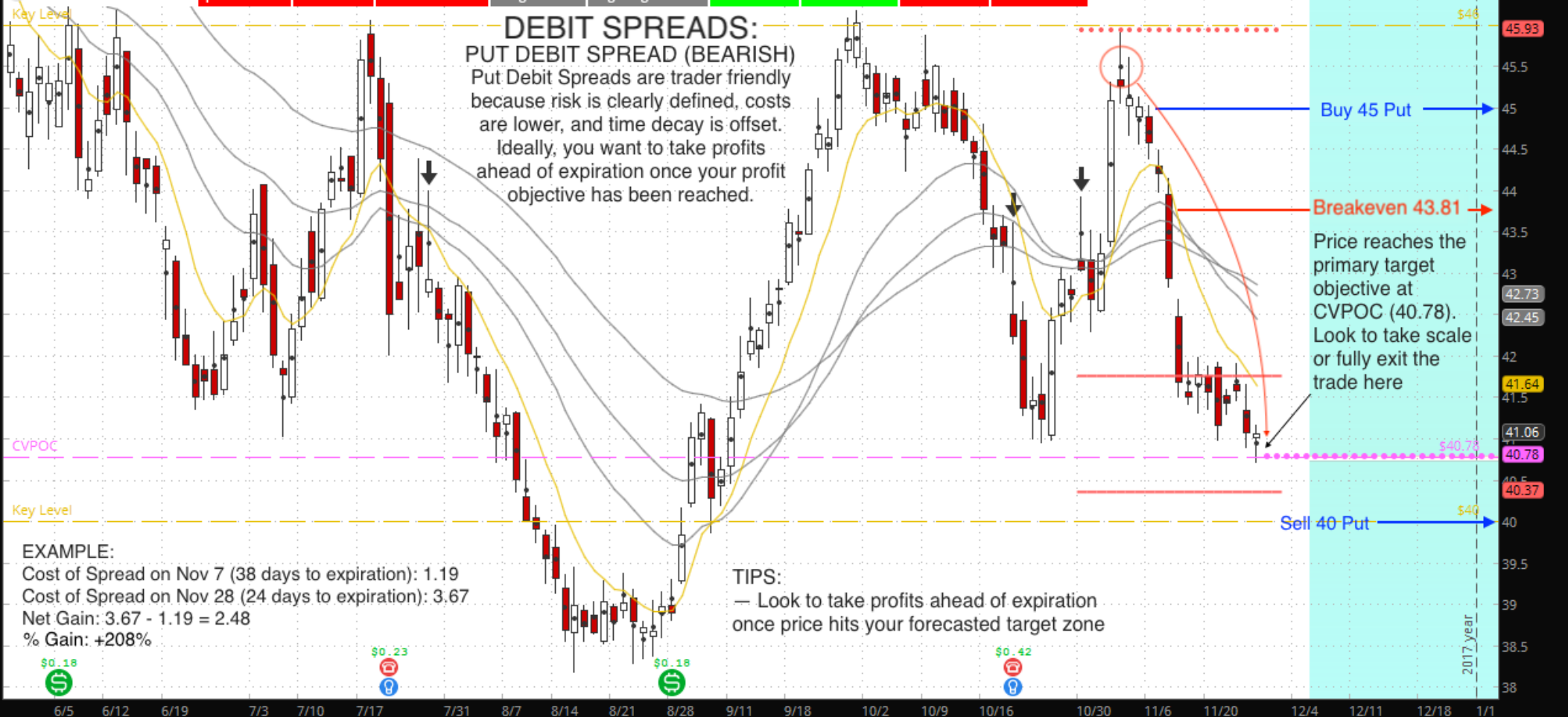
Sell the Feb 95 put for .50

Risk Profile:

- **Net Debit Transaction:** Premium bought - premium sold ($2.00 - .50 = 1.50$)
 - **Maximum Risk:** Debit paid (1.50)
 - **Maximum Reward:** Difference in strikes minus debit paid ($(100 - 95) - 1.50 = 3.50$)
 - **Breakeven:** Higher strike minus net debit ($100 - 1.50 = 98.50$)
-
- Max profit occurs if price falls to the lower (sold) strike. Will take profits if this happens prior to expiration.
 - If price closes above the higher (bought) strike at expiration, you take a max loss. If this happens prior to expiration, there is no harm in holding onto the position, as there is always a chance it could finish with value given there's still time remaining to expiration.
 - If price closes somewhere between the two strikes, your breakeven is the higher strike minus the net debit paid



qPEMA: 41.64 fEMA: 42.45 mPEMA: 42.7328 Range: 5.2099 AvgRange: 5.5648 ADR75: 44.89 ADR100: 46.28 ADR75: 41.76 ADR100: 40.37





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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

- Long Straddle (Breakout)
- Short Iron Butterfly (Range)

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

NEUTRAL STRATEGIES

Neutral Options Strategies are those that allow traders to make money in markets that will either remain range-bound, or have the potential to see significant expansion.

While there are many different strategies for trading a neutral market, we will primarily focus on executing Long Straddles for markets that are poised for expansion and selling Iron Butterflies for collecting premium during range-bound markets.

3.3 NEUTRAL STRATEGIES

- Long Straddle (BREAKOUT)
- Iron Butterfly (RANGE)

Benefits of Neutral Strategies:

- **Make Money When You Don't Know Direction:** Long Straddles allow traders to make money even when you don't know which direction the market will break. However, you need enough of a breakout to cover the cost of executing this strategy.
- **Make Money When the Market is Range Bound:** Short Iron Butterflies allow traders to make money when a market has become range-bound. In essence, you are able to take advantage of situations when the market isn't moving by selling premium. Commission costs can add up quickly with this four-leg trade, so use accordingly.



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

- Long Straddle (Breakout)
- Short Iron Butterfly (Range)

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

NEUTRAL STRATEGIES

LONG STRADDLE (BREAKOUT)

OBJECTIVE: The objective of a Long Straddle is to execute a neutral trade for a capital gain while expecting a surge in volatility. Ideally you are looking for a scenario where Implied Volatility is currently very low, giving you cheaper option prices, but the stock is about to make an explosive move — you just don't know which direction.

Direction: Neutral (Breakout)

Asset Legs: Long Call, Long Put (same strike and expiration)

When to Use: When premiums are low and you think the market is ready for an explosive breakout in either direction

Profit Characteristics: Profit is open-ended in both directions

Loss Characteristics: Limited to the cost of the spread; max loss occurs if the market closes at your strike at expiration

Decay Characteristics: Time decay really works against this position

Max Risk: Capped

Max Reward: Uncapped

Strategy:

- Use this strategy when premiums are low and you believe price will see a breakout in either direction
- This is a high cost trade; needs a big enough move to cover costs
- Consider this trade ahead of earnings or news
- Consider stocks with price ranges that are compressed and ready for range expansion
- Buy puts/calls with 45+ days to expiration
- If the stock hasn't moved, sell your position to avoid holding into the last month (to avoid serious time decay)



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

- Long Straddle (Breakout)
- Short Iron Butterfly (Range)

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

NEUTRAL STRATEGIES

LONG STRADDLE (BREAKOUT)

EXECUTION: Buy the Long Straddle when the price of the underlying is at, or very close, to the strike you wish to straddle, and when volatility is low (to pay cheaper premiums).

LONG STRADDLE EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will experience a significant breakout soon, but direction is unknown:

Buy the Apr 100 call for 2.55

Buy the Apr 100 put for 2.25

Risk Profile:

- **Net Debit Transaction:** Premiums bought ($2.55 + 2.25 = 4.80$)
- **Maximum Risk:** Debit paid (4.80)
- **Maximum Reward:** Unlimited (∞)
- **Breakeven Up:** Strike + net debit ($100 + 4.80 = 104.80$)
- **Breakeven Down:** Strike - net debit ($100 - 4.80 = 95.20$)
- This trade needs a big enough breakout to cover the net debit cost
- Execute this strategy when volatility is low to pay cheaper premiums
- If price doesn't move, look to exit this trade 20-30 days before expiration, as time decay will begin to work doubly against the trade

qPEMA: 92.39 fEMA: 92.68 mPEMA: 92.5955 Range: 2.98 AvgRange: 7.6709 ADR75: 95.18 ADR100: 96.99 ADR75: 87.30 ADR100: 85.49

NEUTRAL STRATEGIES

LONG STRADDLES (BREAKOUT)

The objective of a Long Straddle is to execute a neutral trade for a capital gain while expecting a surge in volatility, but you don't know in which direction. Ideally, you are looking for a scenario where Implied Volatility is currently very low, giving you cheaper options prices, but is on the verge of expansion.

EXECUTION: Long Call and Long Put at the same strike and expiration. Buy the Long Straddle when the price of the underlying is at, or very close, to the strike you wish to straddle, and when volatility is low (in order to pay cheaper premiums).

EXAMPLE:

Buy 18 May (46) 92.50 Call for 3.90
Buy 18 May (46) 92.50 Put for 3.75

Net Debit: $3.90 + 3.75 = 7.65$

Max Risk: 7.65

Max Reward: Unlimited in both directions

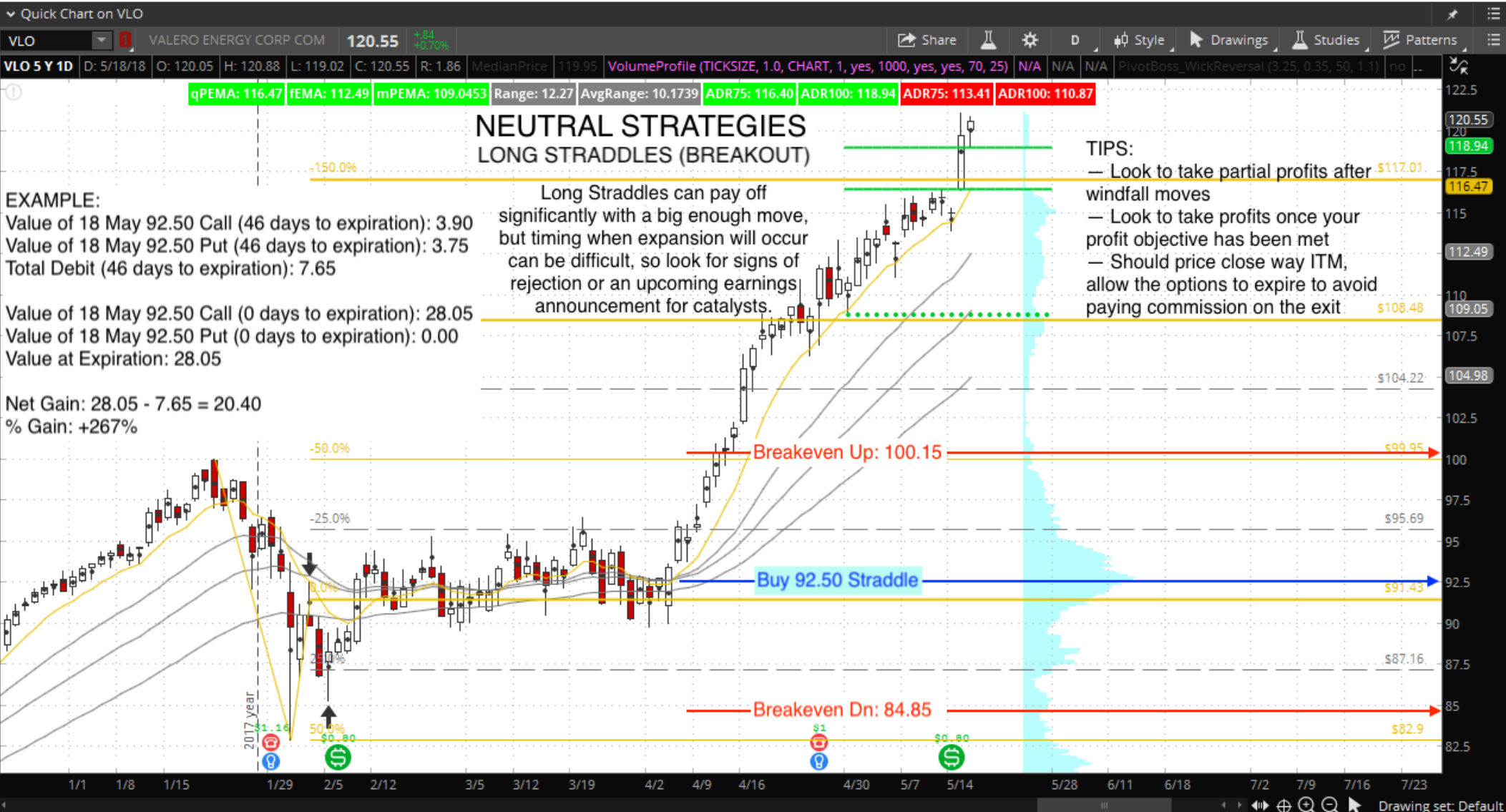
Breakeven Up: $92.50 + 7.65 = 100.15$

Breakeven Dn: $92.50 - 7.65 = 84.85$

TIPS:

- Buy when compression is significant and implied volatility is low
- Buy with 45+ days to expiration
- If price doesn't move, sell your position to avoid time decay
- Breakout must be big enough to cover premium paid for the trade



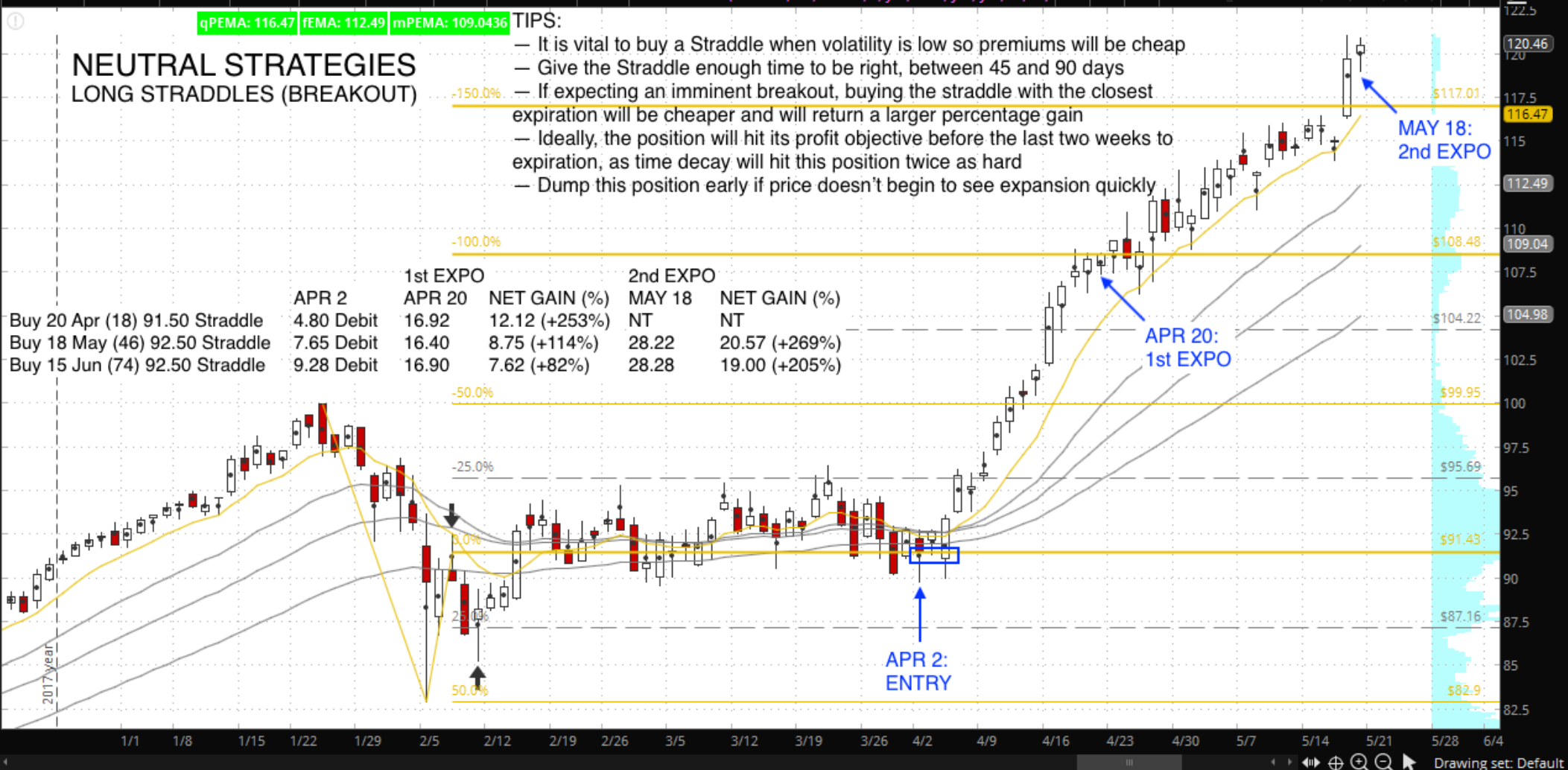


qPEMA: 116.47 fPEMA: 112.49 mPEMA: 109.0436 TIPS:

NEUTRAL STRATEGIES LONG STRADDLES (BREAKOUT)

- It is vital to buy a Straddle when volatility is low so premiums will be cheap
- Give the Straddle enough time to be right, between 45 and 90 days
- If expecting an imminent breakout, buying the straddle with the closest expiration will be cheaper and will return a larger percentage gain
- Ideally, the position will hit its profit objective before the last two weeks to expiration, as time decay will hit this position twice as hard
- Dump this position early if price doesn't begin to see expansion quickly

		1st EXPO		2nd EXPO	
	APR 2	APR 20	NET GAIN (%)	MAY 18	NET GAIN (%)
Buy 20 Apr (18) 91.50 Straddle	4.80 Debit	16.92	12.12 (+253%)	NT	NT
Buy 18 May (46) 92.50 Straddle	7.65 Debit	16.40	8.75 (+114%)	28.22	20.57 (+269%)
Buy 15 Jun (74) 92.50 Straddle	9.28 Debit	16.90	7.62 (+82%)	28.28	19.00 (+205%)





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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

- Long Straddle (Breakout)
- **Short Iron Butterfly (Range)**

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

NEUTRAL STRATEGIES

SHORT IRON BUTTERFLY (RANGE)

OBJECTIVE: The objective of a Short Iron Butterfly is to execute a neutral trade for a capital gain while expecting price to remain mostly range-bound. Ideally you are looking for a scenario where Implied Volatility is currently very high, giving you high option premiums to sell, but price action is likely to become range bound as volatility decreases. This strategy combines Put and Call Credit Spreads.

Direction: Neutral (Range)

Asset Legs: Short ATM Call, Short ATM Put, Long OTM Call, Long OTM Put (same strike and expiration)

When to Use: When premiums are high and you expect the market to become range-bound

Profit Characteristics: Profit is limited to the net credit received; Max profit occurs if the market closes precisely at the sold strike at expiration

Loss Characteristics: Limited to the difference in strikes minus the net credit received

Decay Characteristics: Time decay significantly helps this trade

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when premiums are high and you believe price will become range-bound and volatility will drop
- For a neutral bias, sell the ATM puts and calls. Add a directional bias to the position by selling puts/calls above or below current price.
- Do not trade this strategy ahead of earnings or news
- Consider stocks that have experienced major volatility and are due for compression
- Use this strategy with 30 days or less to expiration, but preferably less than 15 days to expiration
- Look to close out the position just before expo, as most of the profit will be realized closer to expo



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

- Long Straddle (Breakout)
- Short Iron Butterfly (Range)

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

NEUTRAL STRATEGIES

SHORT IRON BUTTERFLY (RANGE)

EXECUTION: Sell the Iron Butterfly when the price of the underlying is at, or very close, to the strike you wish to straddle, and when implied volatility is high (in order to collect higher premiums).

SHORT IRON BUTTERFLY EXAMPLE:

XYZ is trading at 100 in Jan and you believe volatility will decline and that price will remain around 100 by the next expiration.

Buy the Feb 105 call for .40
Sell the Feb 100 call for 2.00
Sell the Feb 100 put for 2.40
Buy the Feb 95 put for .60

Risk Profile:

- **Net Credit Transaction:** Premium sold - premium bought ($4.40 - 1.00 = 3.40$)
- **Maximum Risk:** (Sold strike - bought strike) - net credit ($(100 - 95) - 3.40 = 1.60$)
- **Maximum Reward:** Net credit received (3.40)
- **Breakeven Up:** Sold strike + net credit ($100 + 3.40 = 103.40$)
- **Breakeven Down:** Sold strike - net credit ($100 - 3.40 = 96.60$)

- This trade needs implied volatility to drop and for price to remain near the sold strike
- Execute this strategy when volatility is high to collect higher premiums
- Look to close out this trade ahead of expiration to avoid potential assignment
- This is a high cost trade; use accordingly

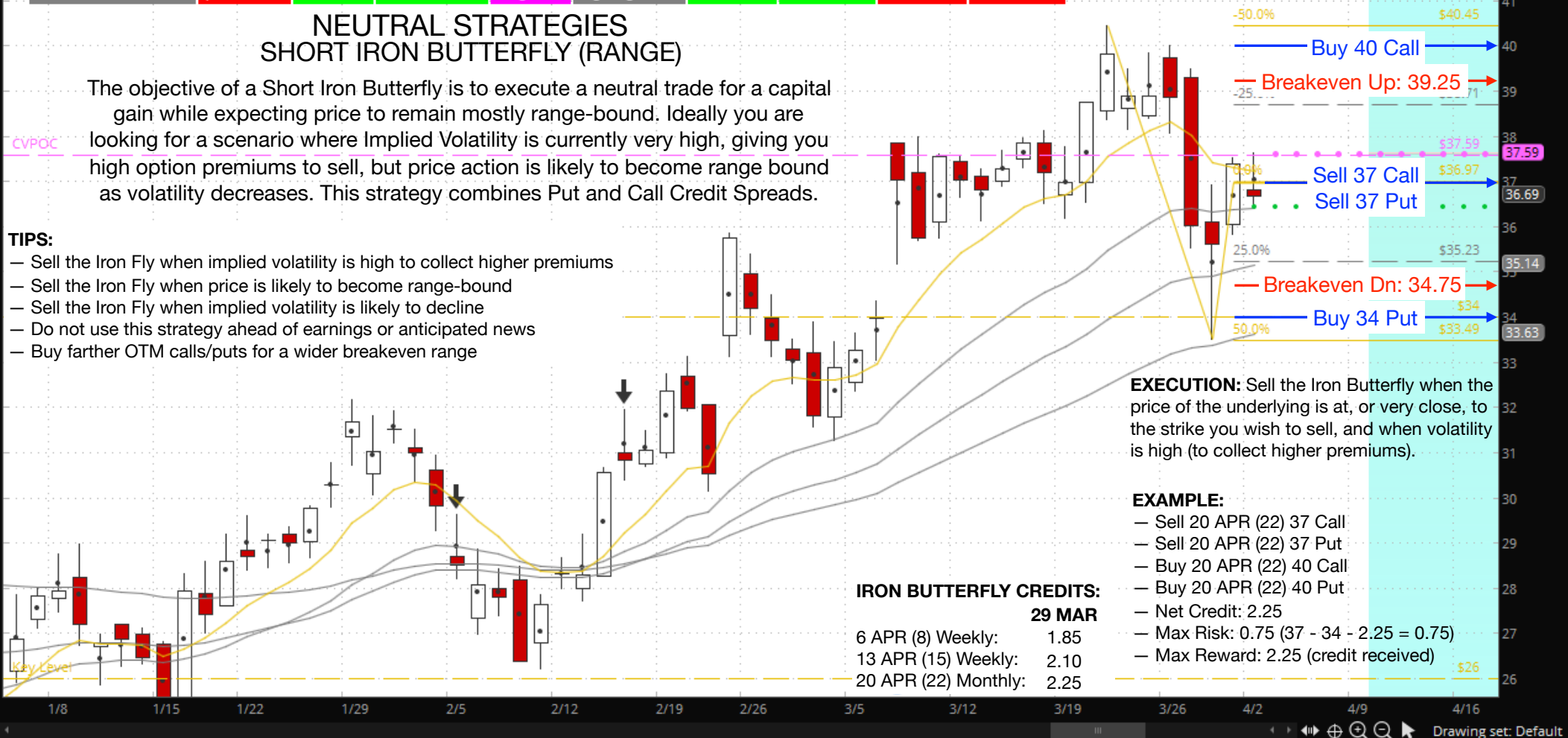
MOMO 36.69 -1.85%
 MOMO 5 Y 1D [NASDAQ] D: 4/2/18 O: 36.8 H: 37.62 L: 36.44 C: 36.69 R: 1.18 MedianPrice: 37.03 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) ...
 PivotBoss_WickReversal qPEMA: 37.22 fEMA: 36.41 mPEMA: 35.1354 Range: 1.18 AvgRange: 8.563 ADR75: 42.41 ADR100: 44.40 ADR75: 31.65 ADR100: 29.66

NEUTRAL STRATEGIES SHORT IRON BUTTERFLY (RANGE)

The objective of a Short Iron Butterfly is to execute a neutral trade for a capital gain while expecting price to remain mostly range-bound. Ideally you are looking for a scenario where Implied Volatility is currently very high, giving you high option premiums to sell, but price action is likely to become range bound as volatility decreases. This strategy combines Put and Call Credit Spreads.

TIPS:

- Sell the Iron Fly when implied volatility is high to collect higher premiums
- Sell the Iron Fly when price is likely to become range-bound
- Sell the Iron Fly when implied volatility is likely to decline
- Do not use this strategy ahead of earnings or anticipated news
- Buy farther OTM calls/puts for a wider breakeven range

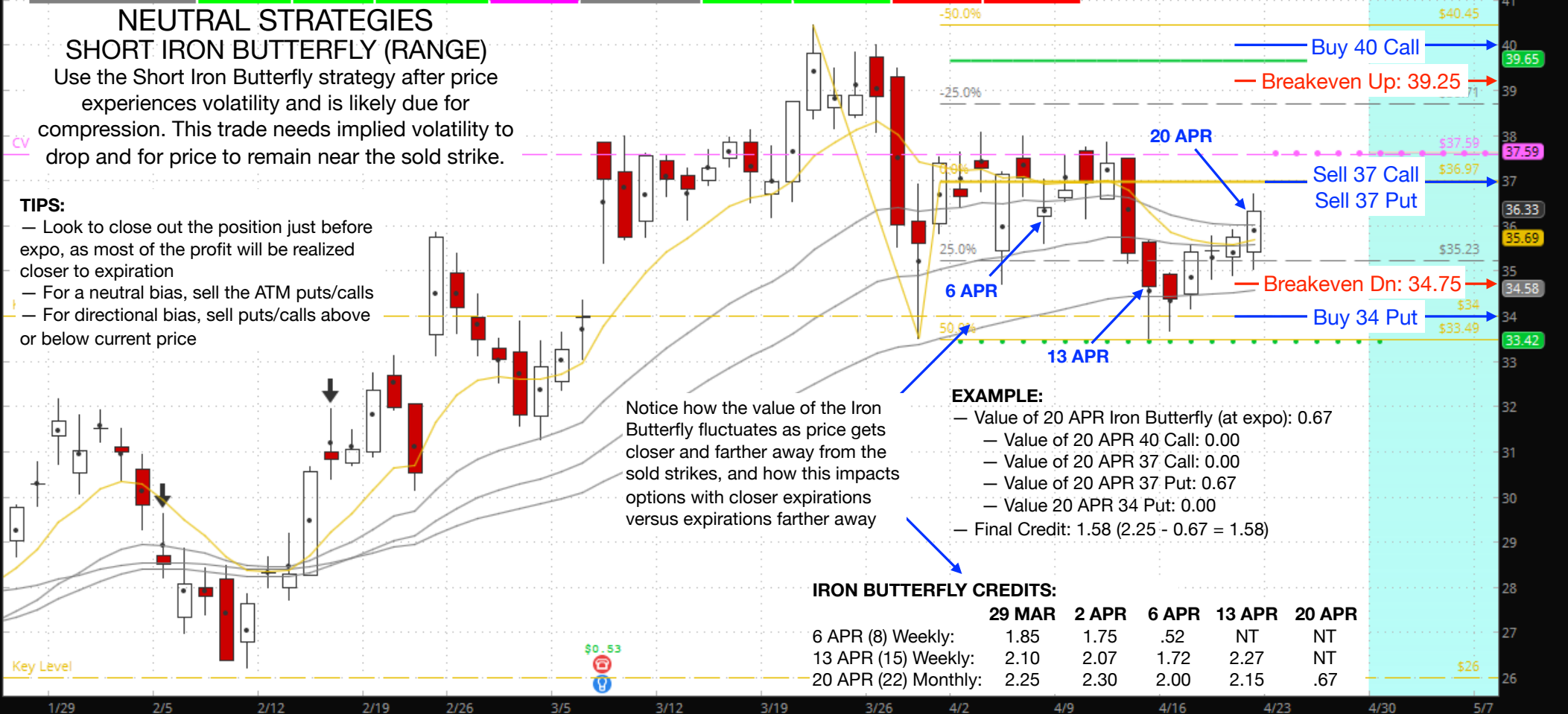


NEUTRAL STRATEGIES SHORT IRON BUTTERFLY (RANGE)

Use the Short Iron Butterfly strategy after price experiences volatility and is likely due for compression. This trade needs implied volatility to drop and for price to remain near the sold strike.

TIPS:

- Look to close out the position just before expo, as most of the profit will be realized closer to expiration
- For a neutral bias, sell the ATM puts/calls
- For directional bias, sell puts/calls above or below current price





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SWING TRADE PRO 2.0

3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

- **ITM Long Calls (Bullish)**
- **ITM Long Puts (Bearish)**

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM Options are options that are “in-the-money,” which means the stock price is above the strike price for calls, and below the strike price for puts, thus giving these options intrinsic and time value. These options are more expensive, and the farther in-the-money they are, the more expensive the options become.

ITM Options: In-the-money options means the stock price is above the strike price (for calls) or below the strike price (for puts), which gives these options intrinsic and time value, thus making them more valuable and expensive.

3.4 ITM OPTIONS

- ITM Long Calls (BULLISH)
- ITM Long Puts (BEARISH)

Benefits of ITM Options:

- **Have More Value:** ITM Options have more value, so you get what you pay for with these options. These options will retain more value if the position begins to go against you due to intrinsic value.
- **Slightly Less Risky:** ITM Options are less risky compared to their OTM counterparts due to having both intrinsic and time value, which means they will be more forgiving should the position begin to go against your desired direction.



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CHOOSE A TRADING STRATEGY

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3.3 Neutral Strategies

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- ITM Long Calls (Bullish)
- ITM Long Puts (Bearish)

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM LONG CALLS (BULLISH)

OBJECTIVE: The objective of using ITM Long Calls is to execute a bullish trade when you are highly bullish and want to be aggressive. This approach improves overall return versus buying the underlying outright, while inherently protecting your downside risk.

Direction: Bullish

Asset Legs: Long Calls (Delta 70 or higher)

When to Use: When you are highly bullish

Profit Characteristics: Profit increases as the market rises, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the calls

Decay Characteristics: Time decay erodes the value of the options as expiration approaches

Max Risk: Capped

Max Reward: Unlimited

Strategy:

- Use this strategy when you are extremely bullish and believe price will move higher
- The cost of the option will be higher, which carries more risk, but being “in the money” gives the option more intrinsic value
- Give yourself enough time to be right before expiration (30-45 days)
- The trade is profitable at expiration if price closes above the breakeven point, which is the strike plus the price paid for the option
- If the stock falls below the strike of the call, you take a max loss



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- ITM Long Calls (Bullish)

- ITM Long Puts (Bearish)

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM LONG CALLS (BULLISH)

EXECUTION: Buy the ITM Long Call options (70 Delta or better) when the price of the underlying reaches your entry trigger.

ITM LONG CALL EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will experience a high probability move to the upside.

Buy the Feb 97.50 call for 3.55

Risk Profile:

- **Net Debit Transaction:** Premium bought (3.55)
- **Maximum Risk:** Debit paid (3.55)
- **Maximum Reward:** Unlimited (∞)
- **Breakeven:** Strike + net debit ($97.50 + 3.55 = 101.05$)
- This trade needs a big enough move to cover the net debit cost
- Execute this strategy when you expect a high probability move higher
- It is not necessary to hold this trade to expiration, especially if your profit target(s) have been reached
- Give yourself enough time in the trade (days to expiration) to be right, ideally 45+ days to expiration

qPEMA: 165.41 fEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

ITM OPTIONS ITM LONG CALLS (BULLISH)

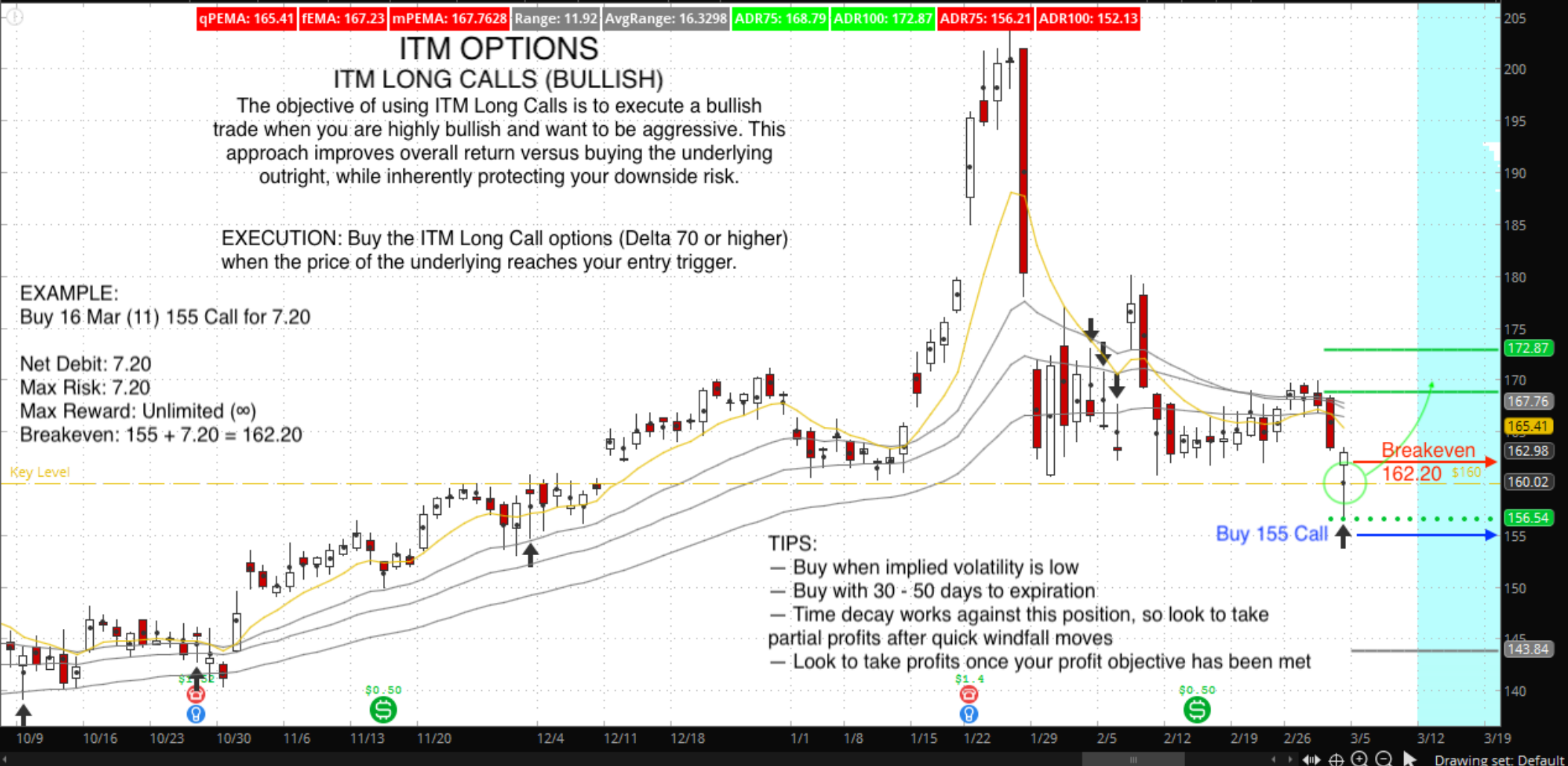
The objective of using ITM Long Calls is to execute a bullish trade when you are highly bullish and want to be aggressive. This approach improves overall return versus buying the underlying outright, while inherently protecting your downside risk.

EXECUTION: Buy the ITM Long Call options (Delta 70 or higher) when the price of the underlying reaches your entry trigger.

EXAMPLE:
Buy 16 Mar (11) 155 Call for 7.20

Net Debit: 7.20
Max Risk: 7.20
Max Reward: Unlimited (∞)
Breakeven: $155 + 7.20 = 162.20$

Key Level



TIPS:

- Buy when implied volatility is low
- Buy with 30 - 50 days to expiration
- Time decay works against this position, so look to take partial profits after quick windfall moves
- Look to take profits once your profit objective has been met

qPEMA: 182.54 fEMA: 176.16 mPEMA: 173.6700 Range: 36.21 AvgRange: 18.7588 ADR75: 170.61 ADR100: 175.30 ADR75: 178.68 ADR100: 173.99

ITM OPTIONS ITM LONG CALLS (BULLISH)

ITM Options are an aggressive play that should only be used when a high probability opportunity presents itself, and when price is looking to make an immediate move.

EXAMPLE:

Value of 16 Mar 155 Call (11 days to expiration): 7.20

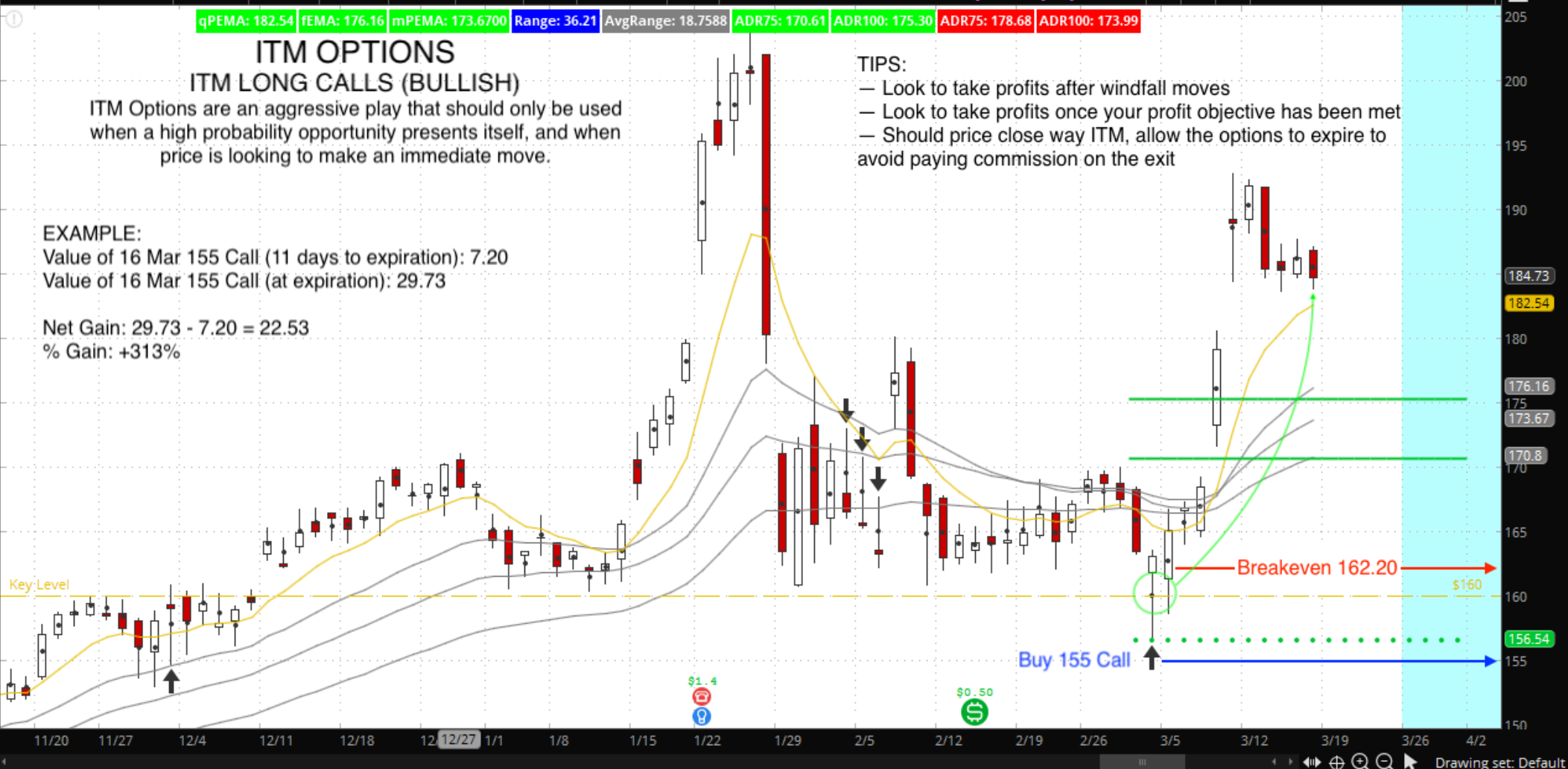
Value of 16 Mar 155 Call (at expiration): 29.73

Net Gain: $29.73 - 7.20 = 22.53$

% Gain: +313%

TIPS:

- Look to take profits after windfall moves
- Look to take profits once your profit objective has been met
- Should price close way ITM, allow the options to expire to avoid paying commission on the exit





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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

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3.2 Debit Spreads

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- ITM Long Calls (Bullish)
- ITM Long Puts (Bearish)

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM LONG PUTS (BEARISH)

OBJECTIVE: The objective of using ITM Long Puts is to execute a bearish trade when you are highly bearish and want to be aggressive. This approach improves overall return versus selling the underlying outright, while inherently protecting your upside risk.

Direction: Bearish

Asset Legs: Long Puts (Delta 70 or higher)

When to Use: When you are highly bearish

Profit Characteristics: Profit increases as the market falls, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the puts

Decay Characteristics: Time decay erodes the value of the options as expiration approaches

Max Risk: Capped

Max Reward: Unlimited (to a stock price of zero)

Strategy:

- Use this strategy when you are extremely bearish and believe price will move lower
- The cost of the option will be higher, which carries more risk, but being “in the money” gives the option more intrinsic value
- Give yourself enough time to be right before expiration (30-45 days)
- The trade is profitable at expiration if price closes below the breakeven point, which is the strike minus the price paid for the put
- If the stock rises above the strike of the put, you take a max loss — in this scenario just allow the puts to expire worthless (pay no commission, and you don’t have to deliver stock)



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- ITM Long Calls (Bullish)

- ITM Long Puts (Bearish)

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM LONG PUTS (BEARISH)

EXECUTION: Buy the ITM Long Put options (70 Delta or better) when the price of the underlying reaches your entry trigger.

ITM LONG PUT EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will experience a high probability move to the downside.

Buy the Feb 102.50 put for 3.55

Risk Profile:

- **Net Debit Transaction:** Premium bought (3.55)
- **Maximum Risk:** Debit paid (3.55)
- **Maximum Reward:** Unlimited (to zero)
- **Breakeven:** Strike - net debit ($102.50 - 3.55 = 98.95$)
- This trade needs a big enough move to cover the net debit cost
- Execute this strategy when you expect a high probability move lower
- It is not necessary to hold this trade to expiration, especially if your profit target(s) have been reached
- Give yourself enough time in the trade (days to expiration) to be right, ideally 45+ days to expiration

qPEMA: 43.70 fPEMA: 43.47 mPEMA: 43.3516 Range: 3.6399 AvgRange: 5.4078 ADR75: 46.35 ADR100: 47.70 ADR75: 41.87 ADR100: 40.52

Buy 47.50 Put

ITM OPTIONS ITM LONG PUTS (BEARISH)

The objective of using ITM Long Puts is to execute a bearish trade when you are highly bearish and want to be aggressive. This approach improves overall return versus shorting the underlying outright, while inherently protecting your upside risk.

EXECUTION: Buy the ITM Long Put options (Delta 70 or higher) when the price of the underlying reaches your entry trigger.

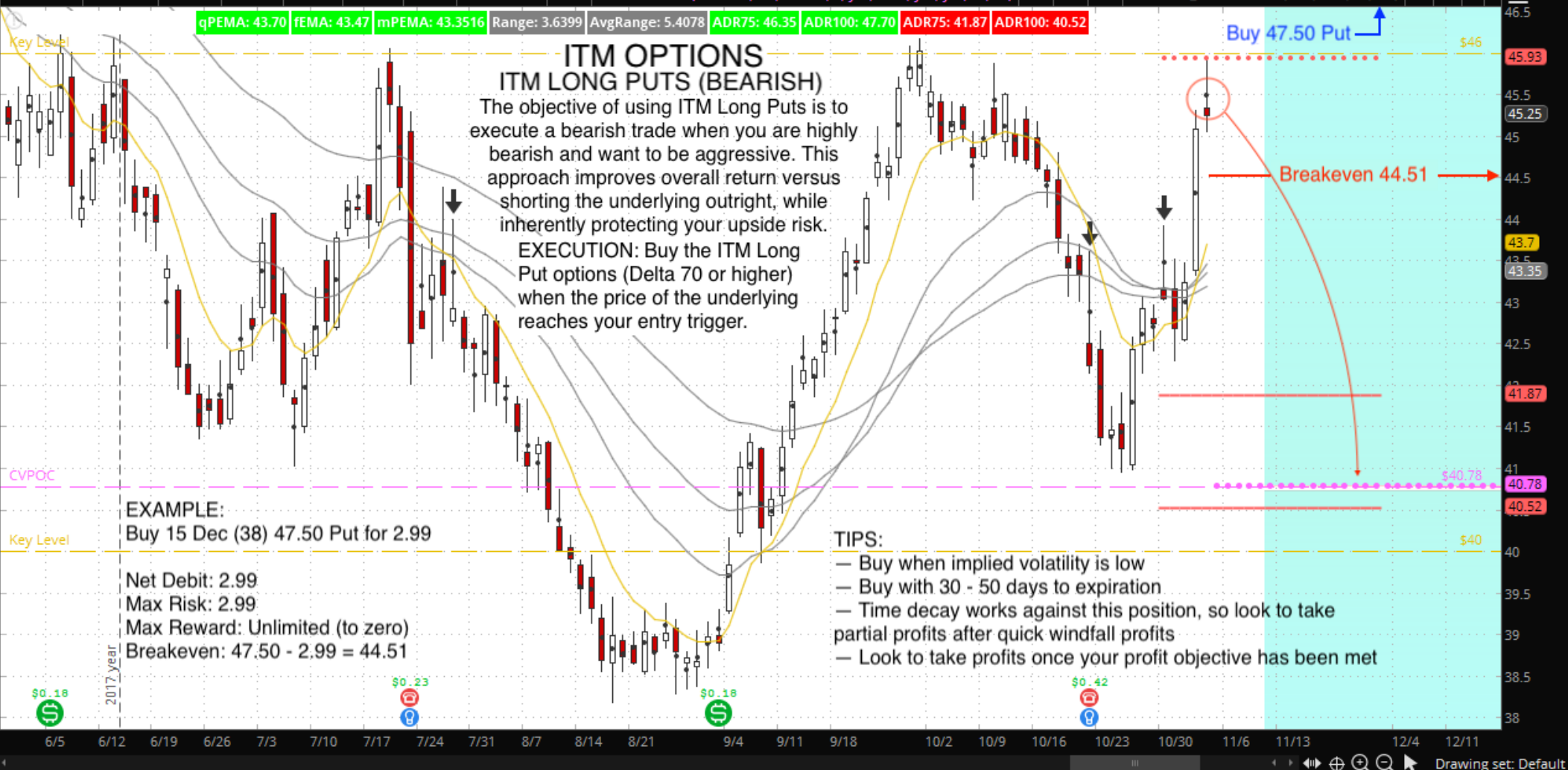
EXAMPLE:
Buy 15 Dec (38) 47.50 Put for 2.99

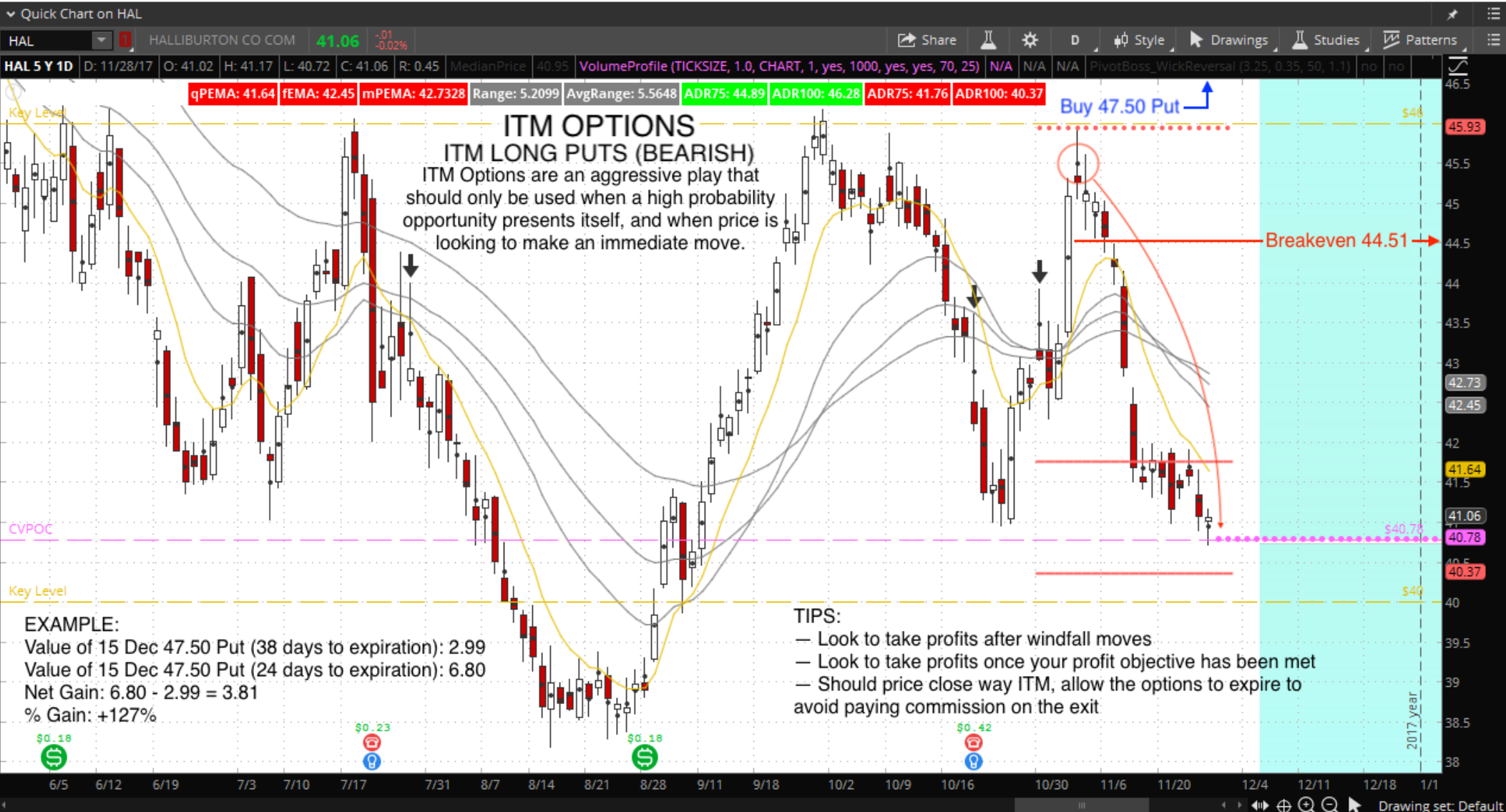
Net Debit: 2.99
Max Risk: 2.99
Max Reward: Unlimited (to zero)
Breakeven: $47.50 - 2.99 = 44.51$

TIPS:

- Buy when implied volatility is low
- Buy with 30 - 50 days to expiration
- Time decay works against this position, so look to take partial profits after quick windfall profits
- Look to take profits once your profit objective has been met

Breakeven 44.51







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3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

- **OTM Long Calls (Bullish)**
- **OTM Long Puts (Bearish)**

3.6 Trade the Underlying

OTM OPTIONS

OTM Options are options that are “out-of-the-money,” which means the stock price is below the strike price for calls, and above the strike price for puts, thus giving these options time value, but not intrinsic value. These options are cheap, and the farther out-of-the-money they are, the cheaper the options become. These options are typically called “lottery tickets” because of potentially explosive percentage gains, but are EXTREMELY risky, and should only be traded sparingly.

OTM Options: Out-of-the-money options means the stock price is below the strike price for calls or above the strike price for puts, which leaves these options with time value, but not intrinsic value, thereby making them less valuable and less expensive.

3.5 ITM OPTIONS

- OTM Long Calls (BULLISH)
- OTM Long Puts (BEARISH)

Benefits of OTM Options:

- **They are Cheap:** It is not uncommon to pay pennies for OTM options, and for good cause — the likelihood of price being ITM at expiration is quite low. So while they’re quite cheap, the risk of losing the entire amount paid for the option is high, unless you are very right on direction and timing.
- **Percentage Gain Can Be Big:** Because of the cheap nature of OTM options, major percentage gains can be seen if price explodes in your desired direction. However, time decay hits OTM options harder than their ITM counterparts, so exercise caution.



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3.4 ITM Options

3.5 OTM Options

- OTM Long Calls (Bullish)

- OTM Long Puts (Bearish)

3.6 Trade the Underlying

OTM OPTIONS

OTM LONG CALLS (BULLISH)

OBJECTIVE: The objective of using OTM Long Calls is to execute a bullish trade when you are either extremely bullish or want a “lottery ticket” approach to a trade. This approach reduces the cost of the trade, and also increases the potential return. However, this play is very risky because OTM options do not have intrinsic value and have greater odds of expiring worthless, thus resulting in complete loss of the trade.

Direction: Bullish

Asset Legs: Long Calls

When to Use: When you are extremely bullish, or want a “lottery ticket”

Profit Characteristics: Profit increases as the market rises, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the calls

Decay Characteristics: Time decay erodes the value of OTM options at a much higher rate than ITM options

Max Risk: Capped

Max Reward: Unlimited

Strategy:

- Use this strategy when you are extremely bullish
- Go slightly OTM to reduce your cost basis
- Go deep OTM when you want a “lottery ticket” approach to a trade
- The cost of the option will be cheap, which carries less capital risk, but the deeper OTM the more risk is incurred
- Give yourself enough time to be right before expiration (45+ days)
- Max risk is the amount paid for the option
- You want a quick move in your desired direction



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- **OTM Long Calls (Bullish)**

- **OTM Long Puts (Bearish)**

3.6 Trade the Underlying

OTM OPTIONS

OTM LONG CALLS (BULLISH)

EXECUTION: Buy the OTM Long Call options (30 Delta or lower) when the price of the underlying reaches your entry trigger.

OTM LONG CALL EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price has the potential to see a major upside move to 115 or beyond.

Buy the Mar 110 call for 0.35

Risk Profile:

- **Net Debit Transaction:** Premium bought (0.35)
- **Maximum Risk:** Debit paid (0.35)
- **Maximum Reward:** Unlimited (∞)
- **Breakeven:** Strike + net debit ($110 + 0.35 = 110.35$)

- Execute this strategy when you anticipate a potentially explosive move to the upside, but would rather risk the small debit paid (lottery ticket)
- You typically want to see price move in your desired direction quickly, otherwise, time decay will begin to erode this position
- It is not necessary to hold this trade to expiration, especially if your profit target(s) have been reached
- Give yourself enough time in the trade (days to expiration) to be right, ideally 45+ days to expiration

qPEMA: 165.41 fEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

OTM OPTIONS OTM LONG CALLS (BULLISH)

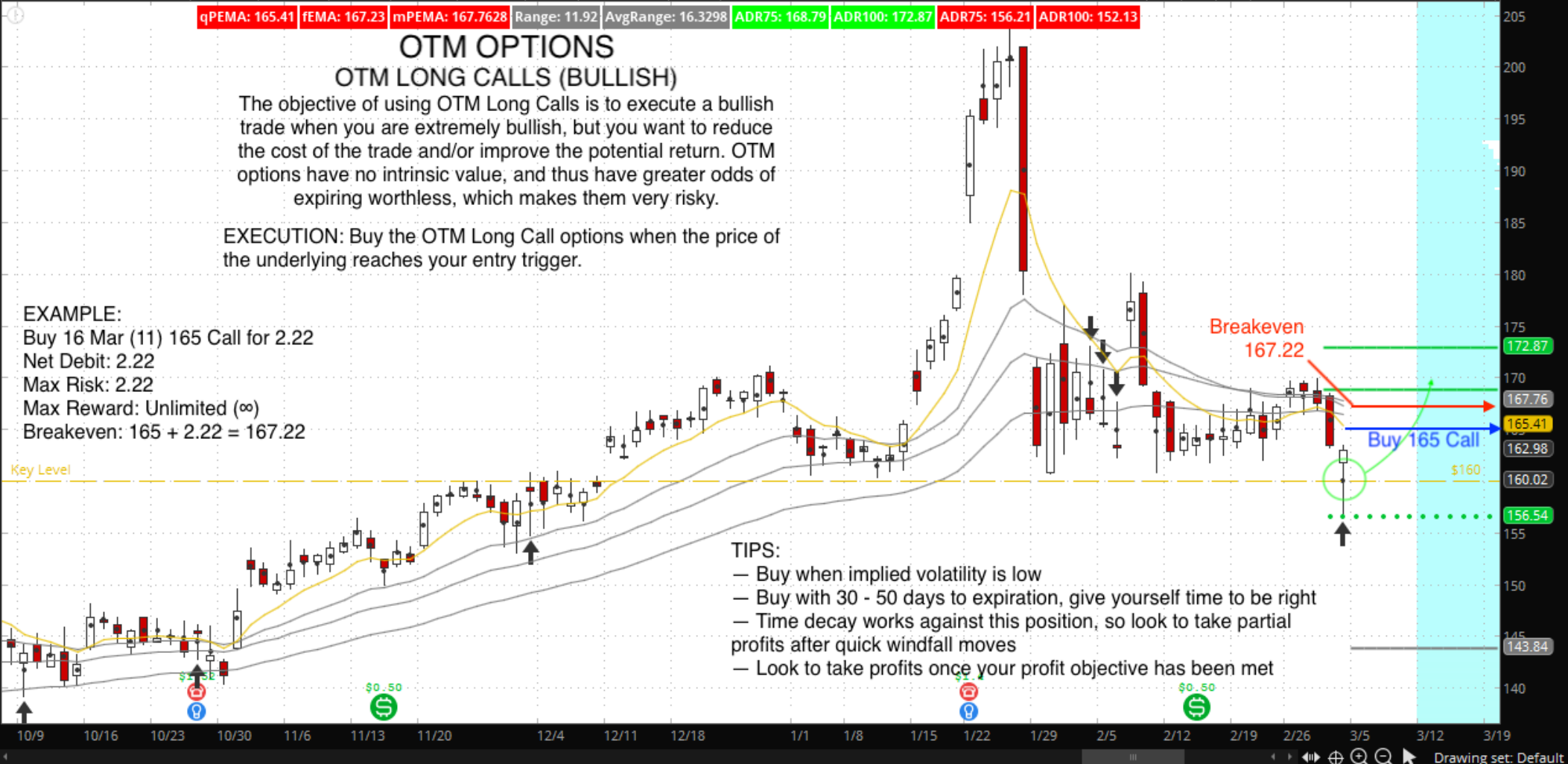
The objective of using OTM Long Calls is to execute a bullish trade when you are extremely bullish, but you want to reduce the cost of the trade and/or improve the potential return. OTM options have no intrinsic value, and thus have greater odds of expiring worthless, which makes them very risky.

EXECUTION: Buy the OTM Long Call options when the price of the underlying reaches your entry trigger.

EXAMPLE:

Buy 16 Mar (11) 165 Call for 2.22
Net Debit: 2.22
Max Risk: 2.22
Max Reward: Unlimited (∞)
Breakeven: $165 + 2.22 = 167.22$

Key Level



TIPS:

- Buy when implied volatility is low
- Buy with 30 - 50 days to expiration, give yourself time to be right
- Time decay works against this position, so look to take partial profits after quick windfall moves
- Look to take profits once your profit objective has been met

qPEMA: 182.54 fEMA: 176.16 mPEMA: 173.6700 Range: 36.21 AvgRange: 18.7588 ADR75: 170.61 ADR100: 175.30 ADR75: 178.68 ADR100: 173.99

OTM OPTIONS OTM LONG CALLS (BULLISH)

OTM Options are an aggressive play that should only be used when a high probability opportunity presents itself, and when price is looking to make an immediate move.

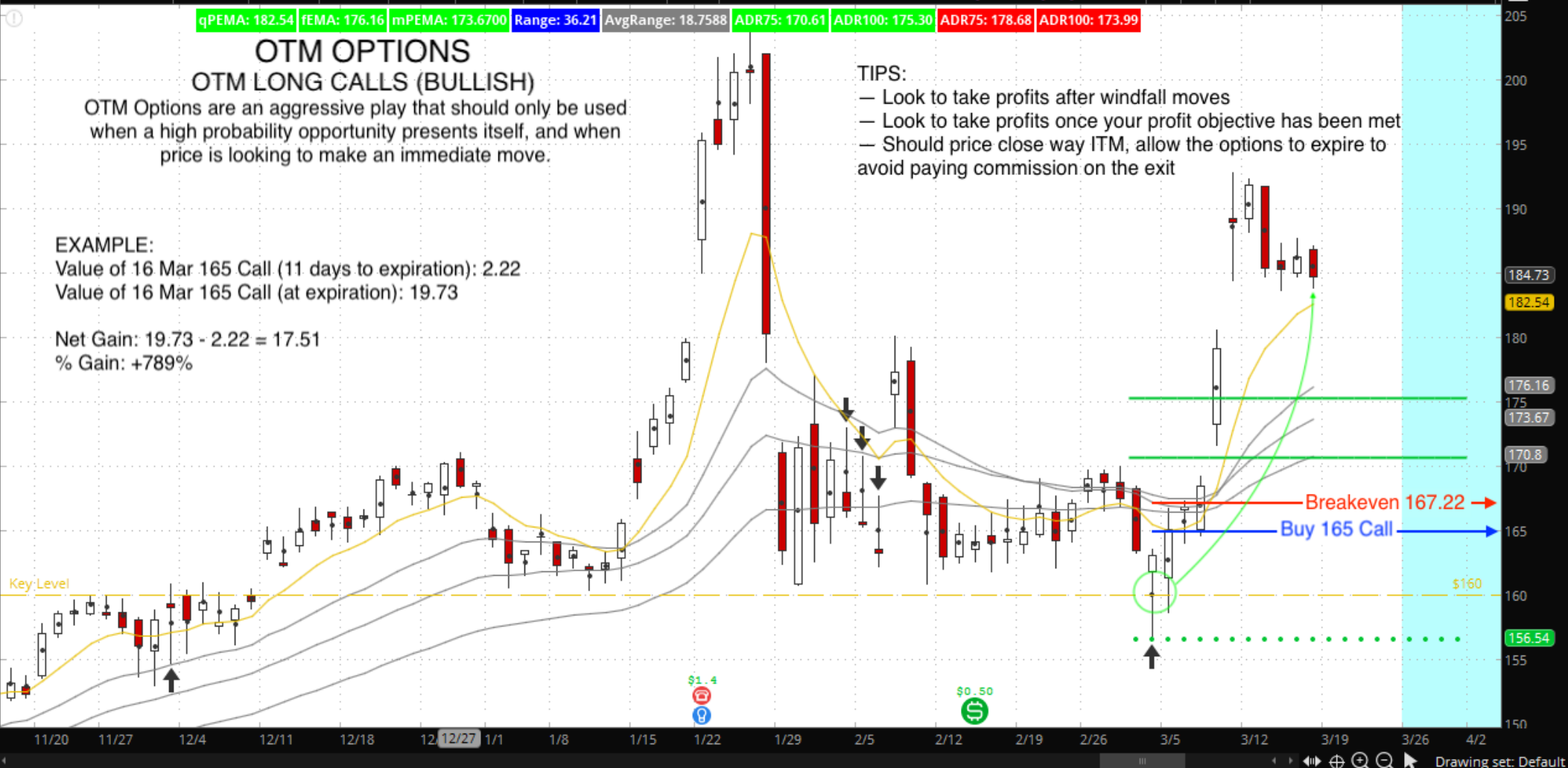
EXAMPLE:

Value of 16 Mar 165 Call (11 days to expiration): 2.22
 Value of 16 Mar 165 Call (at expiration): 19.73

Net Gain: $19.73 - 2.22 = 17.51$
 % Gain: +789%

TIPS:

- Look to take profits after windfall moves
- Look to take profits once your profit objective has been met
- Should price close way ITM, allow the options to expire to avoid paying commission on the exit





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3.5 OTM Options

- OTM Long Calls (Bullish)

- OTM Long Puts (Bearish)

3.6 Trade the Underlying

OTM OPTIONS

OTM LONG PUTS (BEARISH)

OBJECTIVE: The objective of using OTM Long Puts is to execute a bearish trade when you are either extremely bearish or want a “lottery ticket” approach to a trade. This approach reduces the cost of the trade, and also increases the potential return. However, this play is very risky because OTM options do not have intrinsic value and have greater odds of expiring worthless, thus resulting in complete loss of the trade.

Direction: Bearish

Asset Legs: Long Puts

When to Use: When you are extremely bearish, or want a “lottery ticket”

Profit Characteristics: Profit increases as the market falls, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the puts

Decay Characteristics: Time decay erodes the value of OTM options at a much higher rate than ITM options

Max Risk: Capped

Max Reward: Unlimited (to a stock price of zero)

Strategy:

- Use this strategy when you are extremely bearish
- Go slightly OTM to reduce your cost basis
- Go deep OTM when you want a “lottery ticket” approach to a trade
- The cost of the option will be cheap, which carries less capital risk, but the deeper OTM the more risk is incurred
- Give yourself enough time to be right before expiration (45+ days)
- Max risk is the amount paid for the option
- You want a quick move in your desired direction



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- OTM Long Calls (Bullish)

- OTM Long Puts (Bearish)

3.6 Trade the Underlying

OTM OPTIONS

OTM LONG PUTS (BEARISH)

EXECUTION: Buy the OTM Long Put options (30 Delta or lower) when the price of the underlying reaches your entry trigger.

OTM LONG PUT EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price has the potential to see a major downside move to 85 or beyond.

Buy the Mar 90 put for 0.35

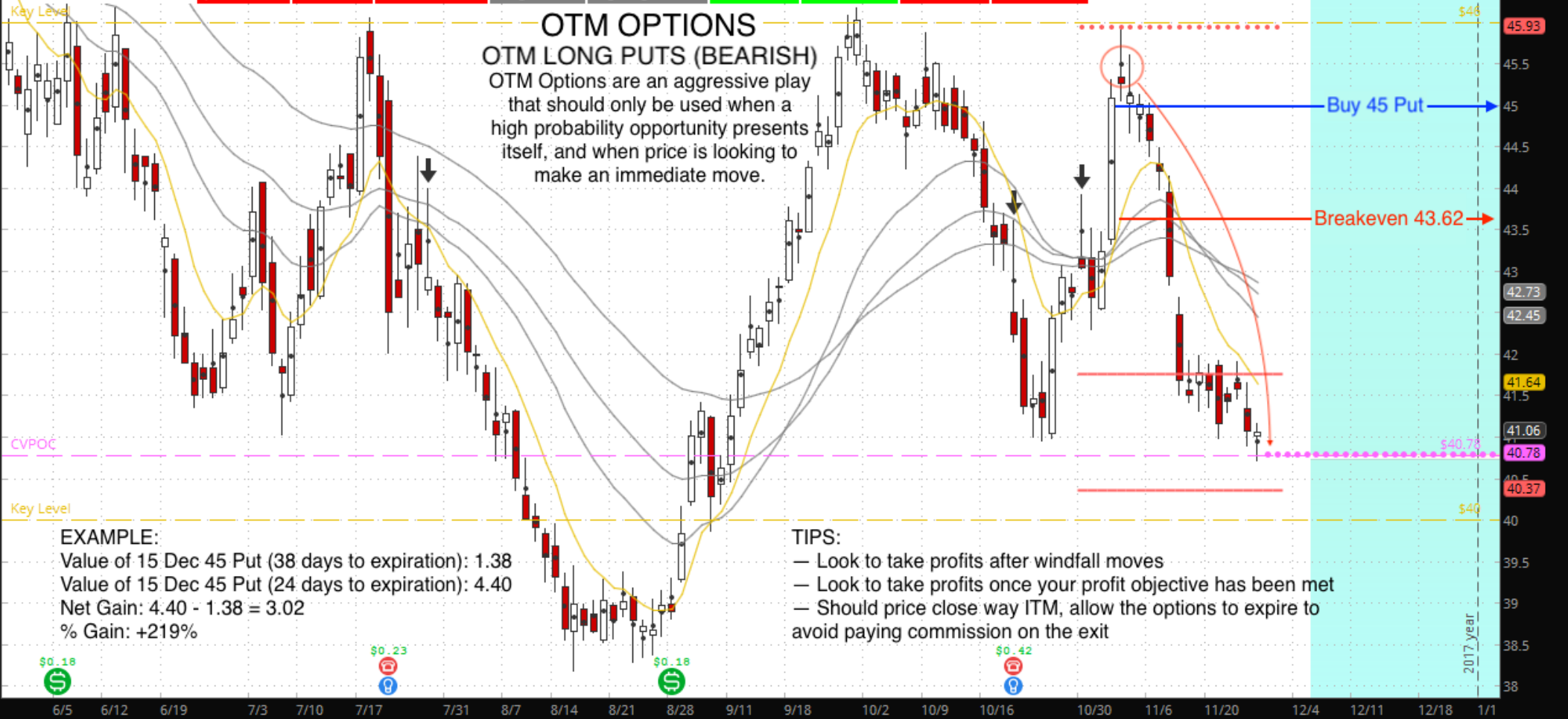
Risk Profile:

- **Net Debit Transaction:** Premium bought (0.35)
- **Maximum Risk:** Debit paid (0.35)
- **Maximum Reward:** Unlimited (∞)
- **Breakeven:** Strike - net debit ($90 - 0.35 = 89.65$)

- Execute this strategy when you anticipate a potentially explosive move to the downside, but would rather risk the small debit paid (lottery ticket) than pay a larger premium
- You typically want to see price move in your desired direction quickly, otherwise, time decay will begin to erode this position
- It is not necessary to hold this trade to expiration, especially if your profit target(s) have been reached
- Give yourself enough time in the trade (days to expiration) to be right, ideally 45+ days to expiration



qPEMA: 41.64 fPEMA: 42.45 mPEMA: 42.7328 Range: 5.2099 AvgRange: 5.5648 ADR75: 44.89 ADR100: 46.28 ADR75: 41.76 ADR100: 40.37





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3.6 Trade the Underlying

- **Covered Call (Income)**
- **Protective Put (Hedge)**
- **Collar (HEDGE)**

TRADE THE UNDERLYING

STOCKS, ETFS, FUTURES, FOREX, CRYPTO

While “trading the underlying” isn’t necessarily an options strategy, sometimes it is the appropriate strategy for the specific opportunity presenting itself. In this section, you’ll learn the benefits of trading the underlying (buying and selling shares/contracts in stocks, futures, etc.) versus trading an options strategy. Additionally, you’ll learn how to generate income from a position, and how to hedge a position, using options.

3.6 TRADE THE UNDERLYING

- Covered Call (INCOME)
- Protective Put (HEDGE)
- Collar (HEDGE)

Benefits of Trading the Underlying:

- **Easy to Understand:** Trading stocks and futures is much easier to understand than trading options, which makes for an easy transition for beginners, as Options can be complex to understand at first.
- **Liquidity:** Volume and liquidity tends to be much better in the equities and futures markets versus options, which is extremely helpful in getting filled on entries/exits.
- **No Time Decay/Constraint:** There is no time constraint on the position, which allows you to hold for longer time periods of time as markets trend for months or years.



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- Covered Call (Income)
- Protective Put (Hedge)
- Collar (HEDGE)

TRADE THE UNDERLYING

COVERED CALL (INCOME)

OBJECTIVE: The objective of using a Covered Call strategy is to generate income from a long position in the underlying that you intend to keep for the long term, but are willing to sell if the underlying reaches a specific price (the call strike price).

Direction: Bullish

Asset Legs: Long Underlying, Short OTM Calls

When to Use: When you are long shares/contracts of the underlying and want to generate income by selling premium

Profit Characteristics: Retain the credit if the call options expire worthless — **This is the ideal scenario for this trade if wanting to generate income**

Decay Characteristics: Time decay erodes the value of OTM options at a much higher rate than ITM options, which is very helpful for this trade

Max Risk: Credit received minus any downside risk from owning shares/contracts

Max Reward: Capped to credit received plus any potential gains from share assignment

Strategy:

- Use this strategy when you are long shares/contracts and want extra income
- Use this strategy after you've enjoyed a profitable move and are okay with selling your shares/contracts should the sold strike price be reached and assigned
- Buy shares/contracts and sell calls at the same time to lower cost ("Buy/Write")
- Sell far OTM Calls to generate income and lessen the odds of assignment
- Use this strategy with weekly and monthly options for generating income frequently

TRADE THE UNDERLYING COVERED CALL (INCOME)

The objective of using a Covered Call strategy is to generate income from a long position in the underlying that you intend to keep for the long term, but are willing to sell if the underlying reaches a specific price (the call strike price).

TIPS:

- Sell calls when implied volatility is high to collect more premium, like before earnings
- Sell farther OTM calls if you don't really intend to sell your shares
- Sell closer OTM calls if you've profited quite a bit in the underlying and are ready to exit the position

EXAMPLE:

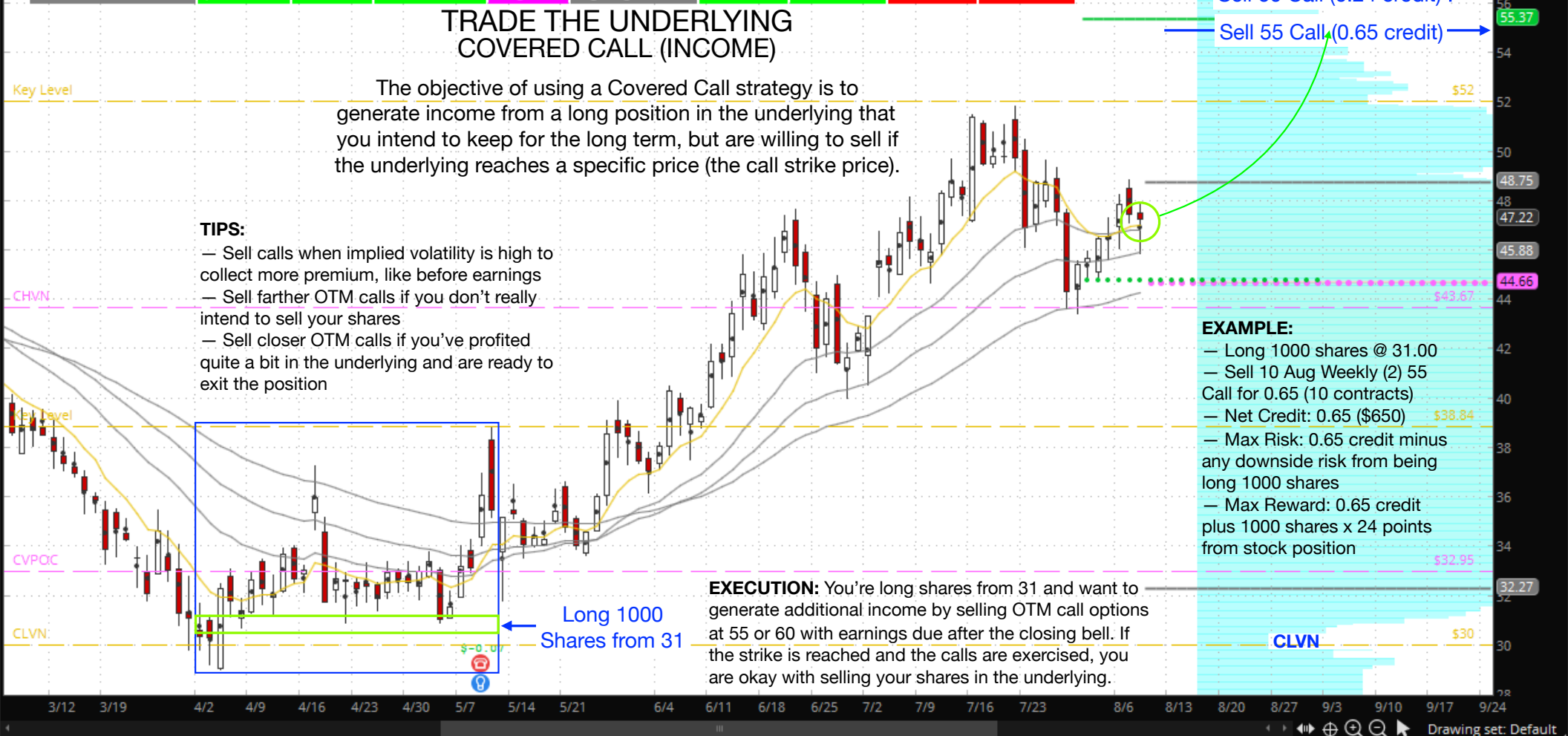
- Long 1000 shares @ 31.00
- Sell 10 Aug Weekly (2) 55 Call for 0.65 (10 contracts)
- Net Credit: 0.65 (\$650) \$38.84
- Max Risk: 0.65 credit minus any downside risk from being long 1000 shares
- Max Reward: 0.65 credit plus 1000 shares x 24 points from stock position \$32.95

EXECUTION: You're long shares from 31 and want to generate additional income by selling OTM call options at 55 or 60 with earnings due after the closing bell. If the strike is reached and the calls are exercised, you are okay with selling your shares in the underlying.

Long 1000
Shares from 31

Sell 60 Call (0.24 credit) ↑

Sell 55 Call (0.65 credit) →



ROKU ROKU INC COM CL A **58.12** +80
+1.40%

ROKU 5 Y 1D [NASDAQ]	D: 8/10/18	O: 57.05	H: 60.65	L: 56.1	C: 58.1	R: 4.55	MedianPrice	58.38	VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25)	N/A	N/A	N/A	PivotBoss_WickReversal (3.25, 0.35, 50, 1.1)	-	15
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PivotBoss_WickReversal	qPEMA: 51.02	fEMA: 48.60	mPEMA: 47.1292	Range: 15.89	AvgRange: 15.3237	ADR75: 56.25	ADR100: 60.08	ADR75: 49.16	ADR100: 45.33
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The Covered Call strategy offers a great way to book consistent income (weekly/monthly) from a long term position in the underlying. This strategy offers a low risk approach to squeezing out extra profit from a position you already intend to hold, but are happy to book profits on.

- Use this strategy weekly or monthly to squeeze more income out of each expiration cycle while you're holding a long term position
- Use this strategy at the entry of a new long term position in the underlying in order to reduce cost upfront by collecting the credit of the sold call ("Buy/Write")

ALTERNATE OPTION: Had the 60 call been selected, it would've expired worthless. The 0.24 credit would be retained, and there would be no need to sell the 1000 share position in the underlying

OPTION EXERCISED: ROKU beats on earnings, triggering a rally the next two days, with price closing at 58.10. The sold 55 call is exercised, and we must sell our 1000 share position in the underlying for 55, giving the trade a 24 point gain.

- Value of 10 Aug 55 Call (at expiration): 3.10
- Net Gain: $(0.65 \text{ credit} \times 10 \text{ contracts}) + (1000 \text{ shares} \times 24 \text{ points gained}) = \$24,650$

Long 1000
Shares from 31

CLVN

Drawing set: Default



PIVOTBOSS
SWING TRADE PRO 2.0

3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

- Covered Call (Income)
- **Protective Put (Hedge)**
- Collar (HEDGE)

TRADE THE UNDERLYING

PROTECTIVE PUT (HEDGE)

OBJECTIVE: The objective of using a Protective Put strategy is to protect a long position in the underlying against a downturn. Execute this strategy when you intend to hold a position in the underlying for the foreseeable future, but want to protect profits in the event of selling pressure ahead of news or earnings.

Direction: Bullish

Asset Legs: Long Underlying, Long OTM Puts

When to Use: When you are bullish, but want downside protection

Profit Characteristics: Profit increases as the market rises, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the puts

Decay Characteristics: Time decay will negatively affect the value of the option

Max Risk: Capped

Max Reward: Unlimited

Strategy:

- Use this strategy when you are bullish and want to protect gains from a downturn
- Buy OTM puts to reduce your cost basis
- Buy ATM or ITM puts if you are confident and want to profit from the downturn
- Ideally, price will rally enough to cover the cost of the protective put, or price will sell off enough to capitalize on the move using the bought puts
- This strategy is a better, although more expensive, alternative to using stop orders

Quick Chart on APRN

APRN 3.1300 +0.19 +6.35%

APRN 5 Y 1D [OTC OTHER] D: 7/25/18 O: 2.94 H: 3.17 L: 2.94 C: 3.13 R: 0.23 MedianPrice: 3.06 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1)

PivotBoss_WickReversal qPEMA: 3.27 fEMA: 3.35 mPEMA: 3.2824 Range: 1.33 AvgRange: 1.1498 ADR75: 3.68 ADR100: 3.97 ADR75: 3.29 ADR100: 3.00

CLVN

TRADE THE UNDERLYING PROTECTIVE PUT (HEDGE)

The objective of using a Protective Put strategy is to protect a long position in the underlying against a downturn. Execute this strategy when you intend to hold a position in the underlying for the foreseeable future, but want to protect profits in the event of selling pressure ahead of news or earnings.

CVPOC Key Level

Long 1000 Shares from 3 Buy 3 Put

TIPS:

- Buy a Protective Put ahead of earnings, but look to buy the option 5 to 10 days ahead of earnings, as options will become more expensive as implied volatility increases the closer earnings gets
- Buy ATM or slightly OTM puts to reduce cost basis
- Buy ITM if you are confident price will move lower and you want to profit from the move

EXECUTION: You're long shares in the underlying from \$3/share and want to protect the position by buying the ATM 3 put ahead of earnings in 9 days.

EXAMPLE:

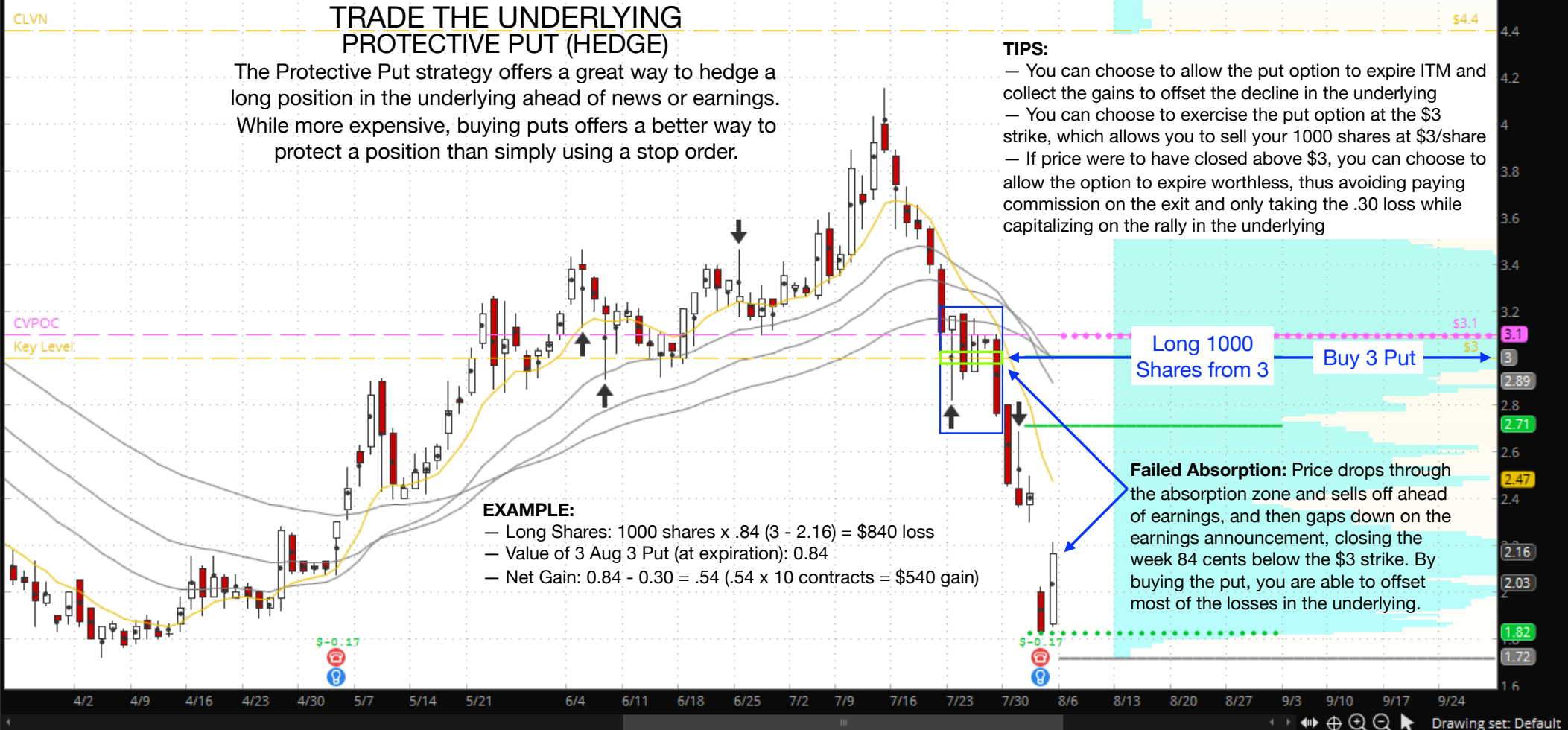
- Long 1000 shares @ 3.00
- Buy 3 Aug Weekly (9) 3 Put for 0.30 (10 contracts)
- Net Debit: 0.30 (\$300)
- Max Risk: 0.30 (\$300)
- Max Reward: Unlimited (∞)

4/2 4/9 4/16 4/23 4/30 5/7 5/14 5/21 6/4 6/11 6/18 6/25 7/2 7/9 7/16 7/23 7/30 8/6 8/13 8/20 8/27 9/3 9/10 9/17

Drawing set: Default

APRN 5 Y 1D [NASDAQ] D: 8/3/18 O: 1.86 H: 2.21 L: 1.85 C: 2.16 R: 0.36 MedianPrice: 2.03 VolumeProfile (TICKSIZE: 1.0, CHART: 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) no ...

PivotBoss_WickReversal qPEMA: 2.47 fEMA: 2.89 mPEMA: 2.9964 Range: 0.675 AvgRange: 1.1838 ADR75: 2.71 ADR100: 3.00 ADR75: 1.61 ADR100: 1.31





PIVOTBOSS
SWING TRADE PRO 2.0

3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

- Covered Call (Income)
- Protective Put (Hedge)
- Collar (HEDGE)

TRADE THE UNDERLYING COLLAR (HEDGE)

OBJECTIVE: The objective of using a Collar strategy is to protect a position in the underlying by buying puts ahead of news or earnings, while selling calls to help offset the cost of the bought puts. You must be okay with selling your shares in the underlying if the calls are exercised.

Direction: Bullish

Asset Legs: Long Underlying, Long OTM Puts, Short OTM Calls

When to Use: When you are long shares/contracts of the underlying and want to protect current profits, but are willing to part with the stock if the calls are assigned

Decay Characteristics: Time decay is mostly offset with this position

Max Risk: Limited to the current stock price minus the strike of the put plus the net debit paid, or minus the net credit received

Max Reward: Capped to credit received plus any potential gains from share assignment

Strategy:

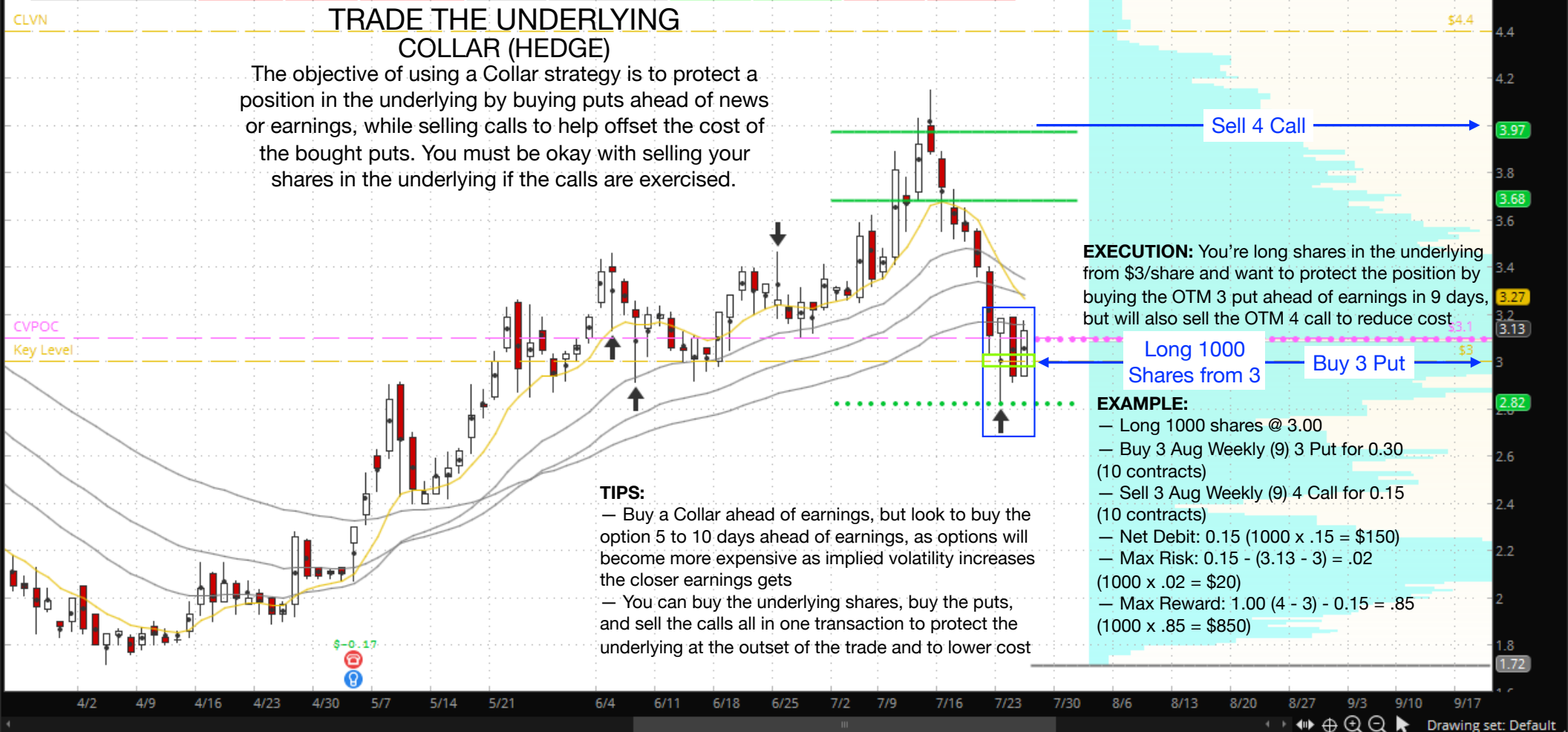
- Use this strategy when you want to protect profits in the underlying ahead of earnings
- Use this strategy to lower the cost of protecting profits
- Use this strategy after you've enjoyed a profitable move and are okay with selling should the sold strike price be reached and assigned
- Buy shares/contracts and sell calls at the same time to lower cost ("Buy/Write")

Quick Chart on APRN

APRN 3.1300 +0.13 +4.35%
 APRN 5 Y 1D [OTC OTHER] D: 7/25/18 O: 2.94 H: 3.17 L: 2.94 C: 3.13 R: 0.23 MedianPrice: 3.06 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1)
 PivotBoss_WickReversal qPEMA: 3.27 fEMA: 3.35 mPEMA: 3.2824 Range: 1.33 AvgRange: 1.1498 ADR75: 3.68 ADR100: 3.97 ADR75: 3.29 ADR100: 3.00

TRADE THE UNDERLYING COLLAR (HEDGE)

The objective of using a Collar strategy is to protect a position in the underlying by buying puts ahead of news or earnings, while selling calls to help offset the cost of the bought puts. You must be okay with selling your shares in the underlying if the calls are exercised.



TIPS:

- Buy a Collar ahead of earnings, but look to buy the option 5 to 10 days ahead of earnings, as options will become more expensive as implied volatility increases the closer earnings gets
- You can buy the underlying shares, buy the puts, and sell the calls all in one transaction to protect the underlying at the outset of the trade and to lower cost

EXECUTION: You're long shares in the underlying from \$3/share and want to protect the position by buying the OTM 3 put ahead of earnings in 9 days, but will also sell the OTM 4 call to reduce cost

EXAMPLE:

- Long 1000 shares @ 3.00
- Buy 3 Aug Weekly (9) 3 Put for 0.30 (10 contracts)
- Sell 3 Aug Weekly (9) 4 Call for 0.15 (10 contracts)
- Net Debit: $0.15 (1000 \times .15 = \$150)$
- Max Risk: $0.15 - (3.13 - 3) = .02$ ($1000 \times .02 = \$20$)
- Max Reward: $1.00 (4 - 3) - 0.15 = .85$ ($1000 \times .85 = \$850$)

APRN 5 Y 1D [NASDAQ] D: 8/3/18 O: 1.86 H: 2.21 L: 1.85 C: 2.16 R: 0.36 MedianPrice: 2.03 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) no

PivotBoss_WickReversal qPEMA: 2.47 fEMA: 2.89 mPEMA: 2.9964 Range: 0.675 AvgRange: 1.1838 ADR75: 2.71 ADR100: 3.00 ADR75: 1.61 ADR100: 1.31

TRADE THE UNDERLYING COLLAR (HEDGE)

The Collar strategy offers a great way to protect a long position in the underlying ahead of news or earnings, while looking to lower costs by selling the OTM call. Add the sold call to a Protective Put to create the Collar when you are okay with selling your position in the underlying should the sold calls be exercised.

EXAMPLE:

- Long Shares: 1000 shares x .84 (3 - 2.16) = \$840 loss
- Value of 3 Aug 3 Put (at expiration): 0.84
- Value of 3 Aug 4 Put (at expiration): 0.00
- Net Gain: 0.84 - 0.15 = .69 (.69 x 10 contracts = \$690 gain)

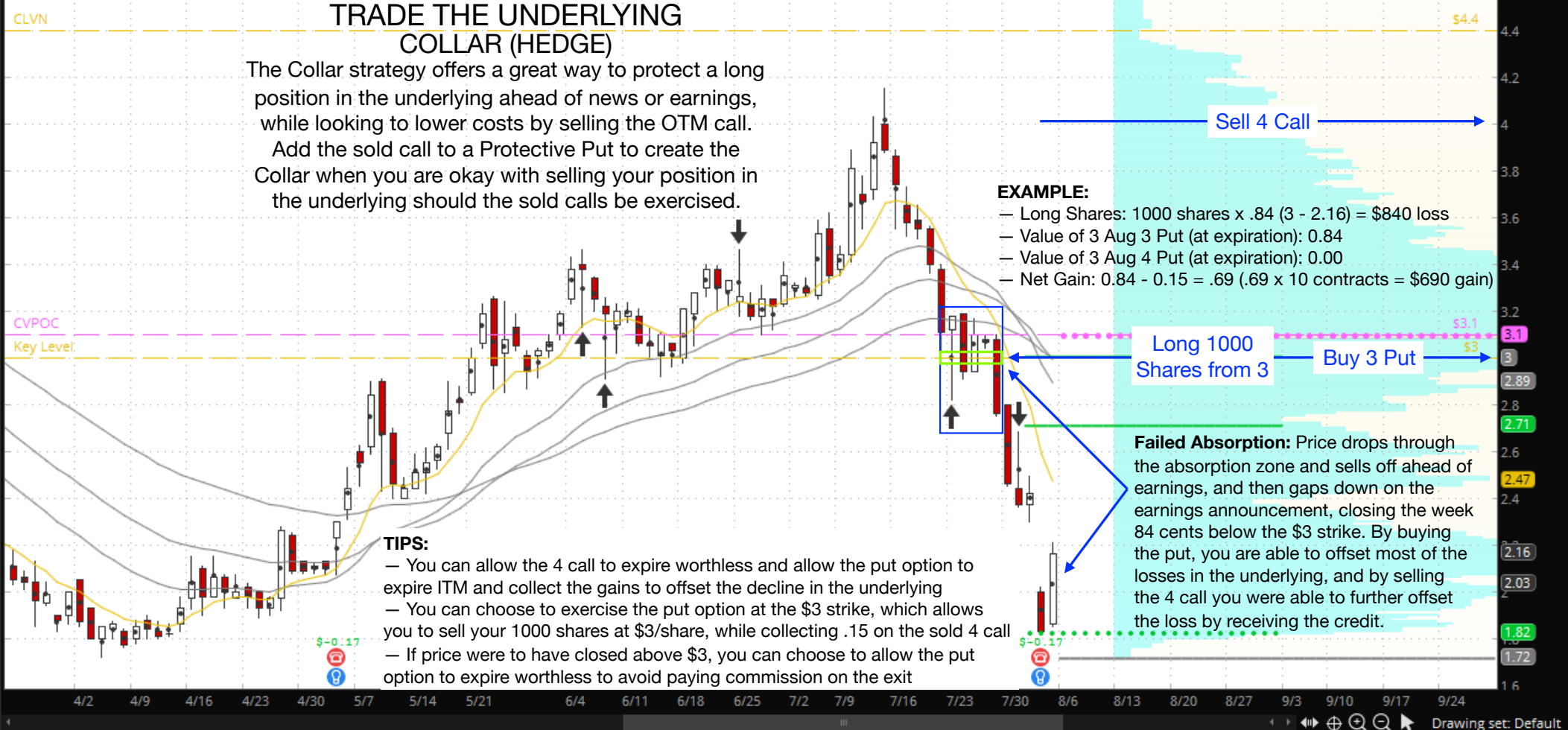
Long 1000
Shares from 3

Buy 3 Put

Failed Absorption: Price drops through the absorption zone and sells off ahead of earnings, and then gaps down on the earnings announcement, closing the week 84 cents below the \$3 strike. By buying the put, you are able to offset most of the losses in the underlying, and by selling the 4 call you were able to further offset the loss by receiving the credit.

TIPS:

- You can allow the 4 call to expire worthless and allow the put option to expire ITM and collect the gains to offset the decline in the underlying
- You can choose to exercise the put option at the \$3 strike, which allows you to sell your 1000 shares at \$3/share, while collecting .15 on the sold 4 call
- If price were to have closed above \$3, you can choose to allow the put option to expire worthless to avoid paying commission on the exit





PIVOTBOSS

PRESENTS

SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

STEP 3: STRATEGY TOOLKIT



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PRESENTS

SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

STEP 4: EXECUTION



PIVOTBOSS SWING TRADE PRO 2.0

4. EXECUTION EXECUTE THE STRATEGY

4.1 1x3 Entry Technique

4.2 1x2 Entry Technique

4.3 11 Scaling Technique

4.4 111 Scaling Technique

4.5 211 Scaling Technique

EXECUTION: EXECUTE THE STRATEGY

While each step in our 5-Step Blueprint is important, perhaps no other step requires more attention to detail, focus, and practice than Step 4: Execution.

Your goal is to be able to execute your bias in the market without error, as execution error is generally the most costly of all trading errors. Practice flawless execution of your strategies for each and every trade.

In this step, you will learn how to scale into positions according to the level of exposure that you're willing to take at the outset of a trade.

Scaling into trades is the process of building a position by first testing the trade with smaller size, and then adding more exposure as the position begins to work in your favor. This approach is quite effective, as traders have the ability to reward winning trades with additional exposure, while limiting losing trades to smaller losses due to smaller starting size.

You will learn two entry techniques that will give you the ability to scale into positions, thereby giving you an additional lever to adjust in terms of risk management, alongside trade allocation.

You will also learn three techniques for scaling out of positions as a powerful form of trade management.

Scaling out of trades is the process of gradually taking profits as a position moves in your favor, or reducing exposure should a position move against you. These techniques are designed to provide consistency, reduce risk exposure, and offer flexibility while in trade.

Your goal is to be able to execute entries and exits in any market by using, and combining, the following entry and scaling techniques:

Techniques for Scaling Into a Position:

- 1x3 Entry Technique
- 1x2 Entry Technique

Techniques for Scaling Out of a Position:

- 11 Scaling Technique
- 111 Scaling Technique
- 211 Scaling Technique



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4. EXECUTION

EXECUTE THE STRATEGY

4.1 1x3 Entry Technique

4.2 1x2 Entry Technique

4.3 11 Scaling Technique

4.4 111 Scaling Technique

4.5 211 Scaling Technique

EXECUTION: 1x3 ENTRY TECHNIQUE

1x3 Entry Technique: A 3-part technique used for scaling into a position by thirds. Each scale-in splits the maximum allowable trade allocation by 1/3 and can have multiple contracts/shares per scale-in.

1x3 Entry Technique:

- **1st Entry (33% of Trade Allocation):** Execute a starting position by scaling into a third of your maximum allowable trade allocation.
- **2nd Entry (33% of Trade Allocation):** Look to add 33% more exposure should price move in your favor, or if you want to defend your trade.
- **3rd Entry (33% of Trade Allocation):** Look to add the final 33% of allowable exposure should price move in your favor, or if you want to defend your trade.
- **Additional Option:** A 1x3 entry technique variation is to execute 50% of allowable trade allocation on the 1st entry, and then adding 25% additional exposure on both the 2nd and 3rd entries.

1x3 ENTRY TECHNIQUE EXAMPLE:

CORE EQUITY	\$100,000
TRADE ALLOCATION @ 1.5%	\$1,500
1ST ENTRY	\$500 Trade Allocation ($\$1,500 / 3$)
2ND ENTRY	\$500 Trade Allocation ($\$1,500 / 3$)
3RD ENTRY	\$500 Trade Allocation ($\$1,500 / 3$)
TOTAL RISK	\$1500 ($\500×3)

EXECUTION 1x3 ENTRY TECHNIQUE

The 1x3 Entry Technique allows traders to build a position in three parts, first by first testing the trade with smaller size (33%), and then adding more exposure if necessary (66%). This approach allows traders to reward winning trades with additional exposure, while limiting losses due to smaller starting position size.

1x3 Entry Technique: Allows traders to conservatively scale into a position using 33% of allowable trade allocation. Winners get rewarded with additional exposure, and trades that underperform do so on smaller position size.

2nd Entry (33%): Add to the position by executing an entry at/near the absorption zone on Day 2 with 33% of trade allocation

1st Entry (33%): Start an initial position by executing an entry with 33% of trade allocation during the last hour of a rejection day

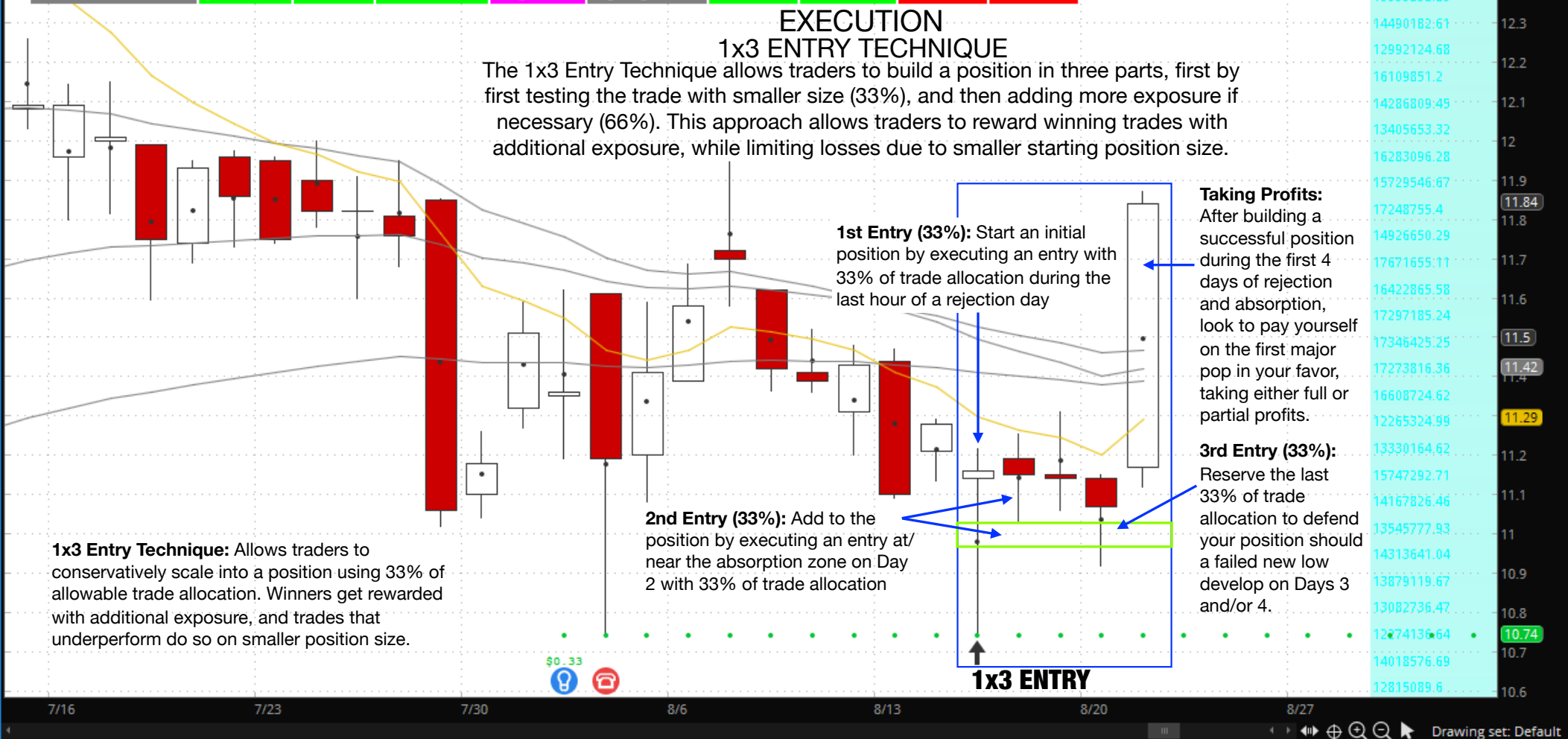
Taking Profits:

After building a successful position during the first 4 days of rejection and absorption, look to pay yourself on the first major pop in your favor, taking either full or partial profits.

3rd Entry (33%):

Reserve the last 33% of trade allocation to defend your position should a failed new low develop on Days 3 and/or 4.

1x3 ENTRY





PIVOTBOSS SWING TRADE PRO 2.0

4. EXECUTION

EXECUTE THE STRATEGY

4.1 1x3 Entry Technique

4.2 1x2 Entry Technique

4.3 11 Scaling Technique

4.4 111 Scaling Technique

4.5 211 Scaling Technique

EXECUTION:

1x2 ENTRY TECHNIQUE

1x2 Entry Technique: A 2-part technique used for scaling into a position by halves. Each scale-in splits the maximum allowable trade allocation by 1/2 and can have multiple contracts/shares per scale-in.

1x2 Entry Technique:

- **1st Entry (50% of Trade Allocation):** Execute a starting position by scaling into half of your maximum allowable trade allocation.
- **2nd Entry (50% of Trade Allocation):** Look to add the final 50% of allowable exposure should price move in your favor, or if you want to defend your trade.

1x2 ENTRY TECHNIQUE EXAMPLE:

CORE EQUITY	\$100,000
TRADE ALLOCATION @ 1.5%	\$1,500
1ST ENTRY	\$750 Trade Allocation ($\$1,500 / 2$)
2ND ENTRY	\$750 Trade Allocation ($\$1,500 / 2$)
TOTAL RISK	\$1500 ($\750×2)

EXECUTION 1x2 ENTRY TECHNIQUE

The 1x2 Entry Technique allows traders to build a position in two parts, first by first testing the trade with smaller size (50%), and then adding more exposure if necessary (50%). This approach allows traders to reward winning trades with additional exposure, while limiting losses due to smaller starting position size.

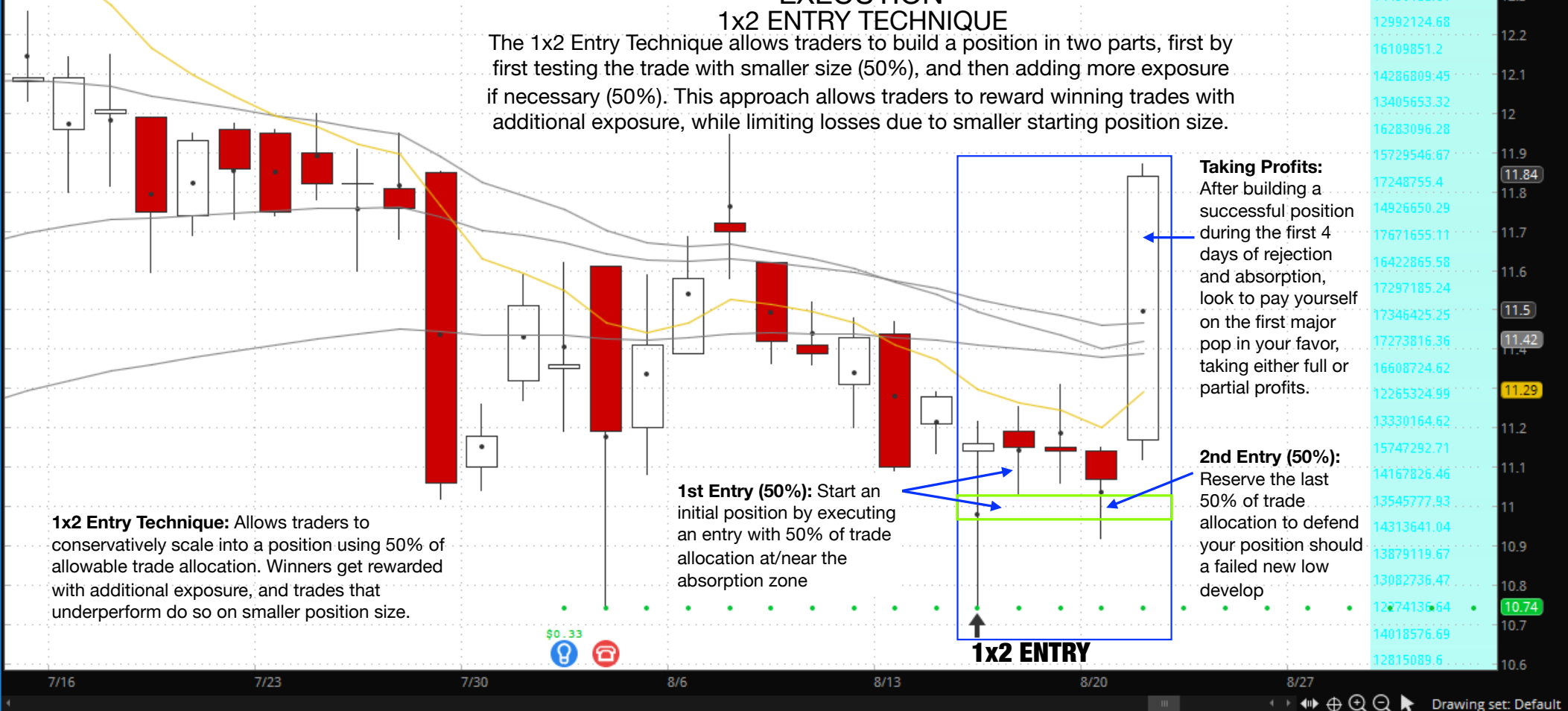
1x2 Entry Technique: Allows traders to conservatively scale into a position using 50% of allowable trade allocation. Winners get rewarded with additional exposure, and trades that underperform do so on smaller position size.

1st Entry (50%): Start an initial position by executing an entry with 50% of trade allocation at/near the absorption zone

Taking Profits: After building a successful position during the first 4 days of rejection and absorption, look to pay yourself on the first major pop in your favor, taking either full or partial profits.

2nd Entry (50%): Reserve the last 50% of trade allocation to defend your position should a failed new low develop

1x2 ENTRY

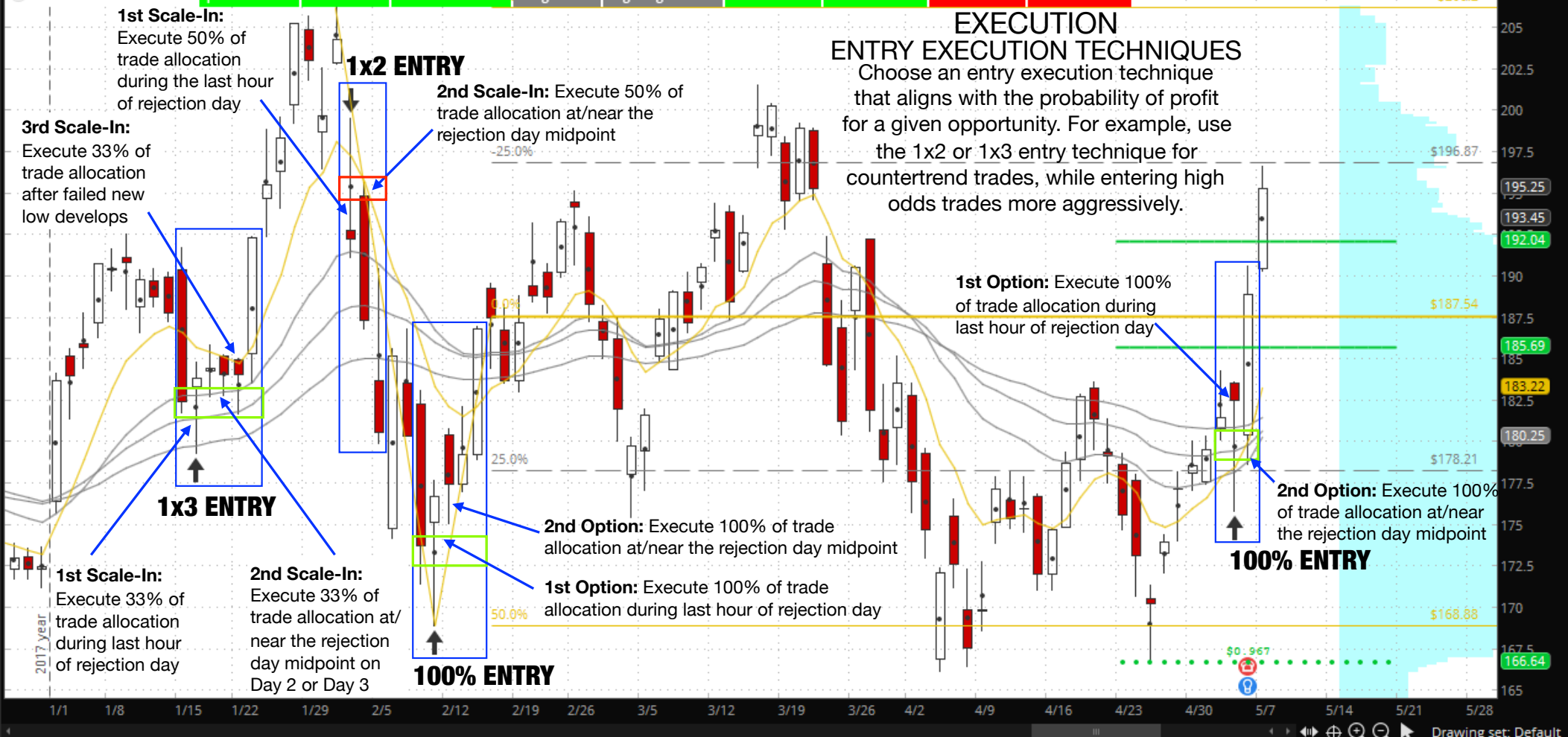


Quick Chart on BABA

BABA ALIBABA GROUP HLDG LTD ADR 195.25

BABA 5 Y 1D [NASDAQ] D: 5/7/18 O: 190.41 H: 196.6 L: 190.3 C: 195.25 R: 6.3 MedianPrice: 193.45 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A

qPEMA: 183.22 fEMA: 180.25 mPEMA: 180.5970 Range: 29.96 AvgRange: 25.402 ADR75: 185.69 ADR100: 192.04 ADR75: 177.55 ADR100: 171.20



qPEMA: 328.67 fPEMA: 332.35 mPEMA: 332.5549 Range: 64.9 AvgRange: 53.9599 ADR75: 335.23 ADR100: 348.72 ADR75: 319.19 ADR100: 305.70

1x2 ENTRY

EXECUTION

1x2 SCALE-IN TECHNIQUE

The 1x2 Scale-In Technique is a 2-part technique used for scaling into a position by halves. Each scale-in splits the maximum allowable trade allocation by 1/2 and can have multiple contracts/shares per scale-in.

1st Scale-In:

Execute 50% of trade allocation during the last hour of rejection day

2nd Scale-In:

Execute 50% of trade allocation at/ near the rejection day midpoint

2nd Scale-In:

Execute 50% of trade allocation at/ near the rejection day midpoint

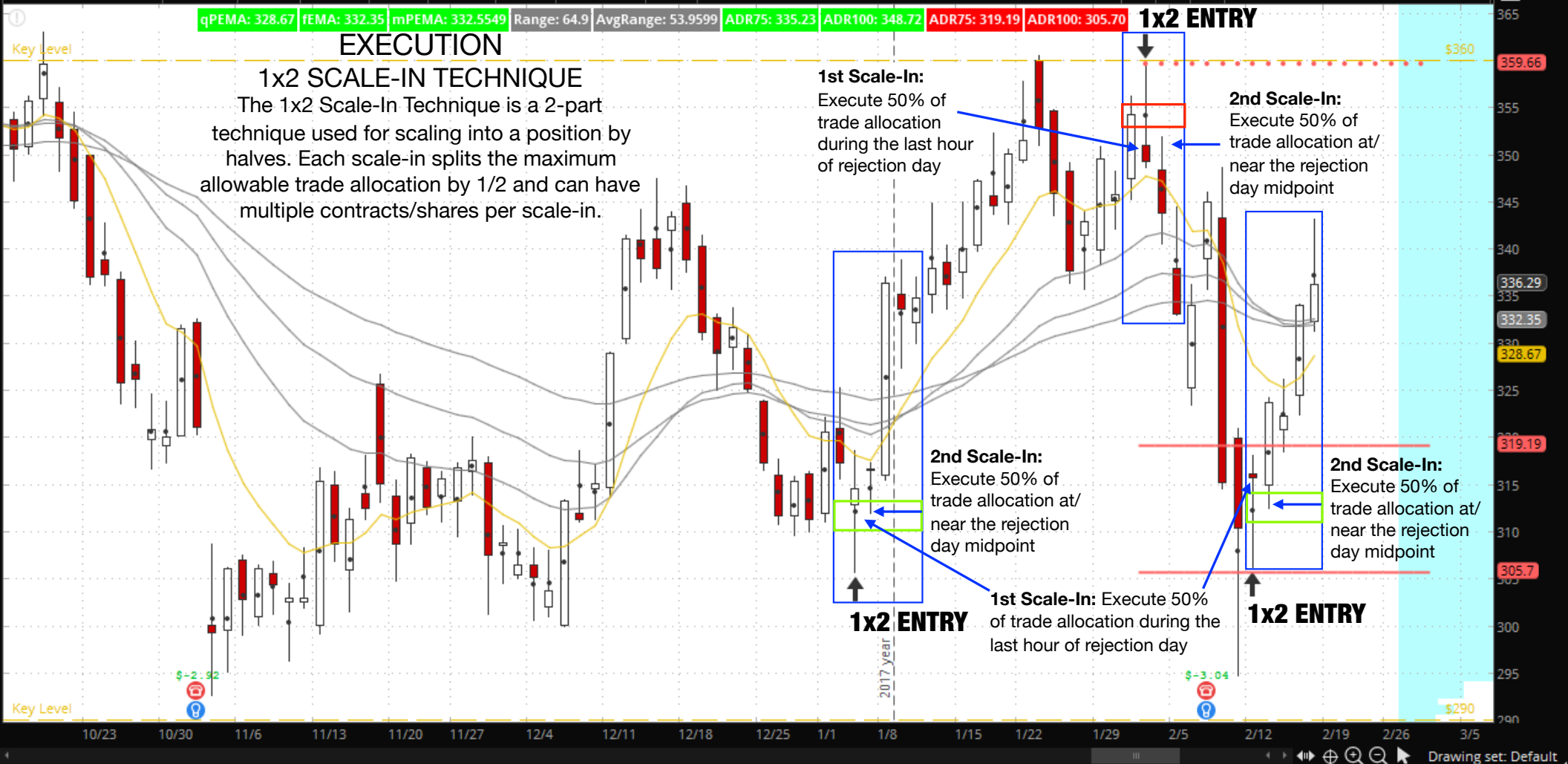
2nd Scale-In:

Execute 50% of trade allocation at/ near the rejection day midpoint

1st Scale-In: Execute 50% of trade allocation during the last hour of rejection day

1x2 ENTRY

1x2 ENTRY





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SWING TRADE PRO 2.0

4. EXECUTION

EXECUTE THE STRATEGY

4.1 1x3 Entry Technique

4.2 1x2 Entry Technique

4.3 11 Scaling Technique

4.4 111 Scaling Technique

4.5 211 Scaling Technique

EXECUTION:

11 SCALING TECHNIQUE

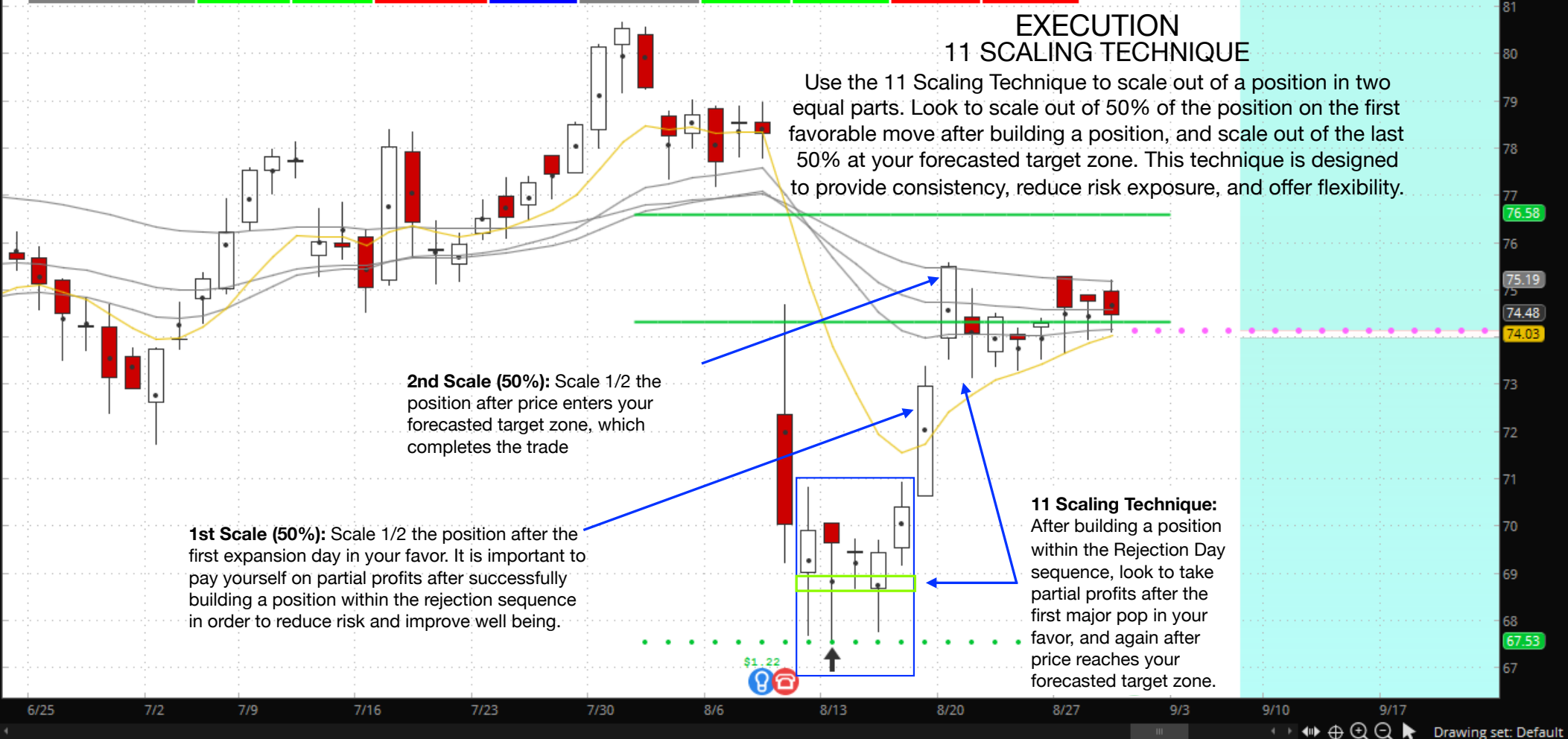
11 Scaling Technique: a 2-part technique used for scaling out of a position by halves. Each scale-out can have multiple contracts/shares, but ideally there are the same number of units for each scale-out.

11 Scaling Technique:

- **1st Scale:** Scale out of half of the position at your first target (T1).
- **2nd Scale:** Scale out of the last half of the position at your second target (T2).

11 SCALING TECHNIQUE EXAMPLE:

TRADE ALLOCATION	20 contracts
1ST SCALE	Scale 1/2 (10 contracts) at T1
2ND SCALE	Scale 1/2 (10 contracts) at T2





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4. EXECUTION

EXECUTE THE STRATEGY

4.1 1x3 Entry Technique

4.2 1x2 Entry Technique

4.3 11 Scaling Technique

4.4 111 Scaling Technique

4.5 211 Scaling Technique

EXECUTION:

111 SCALING TECHNIQUE

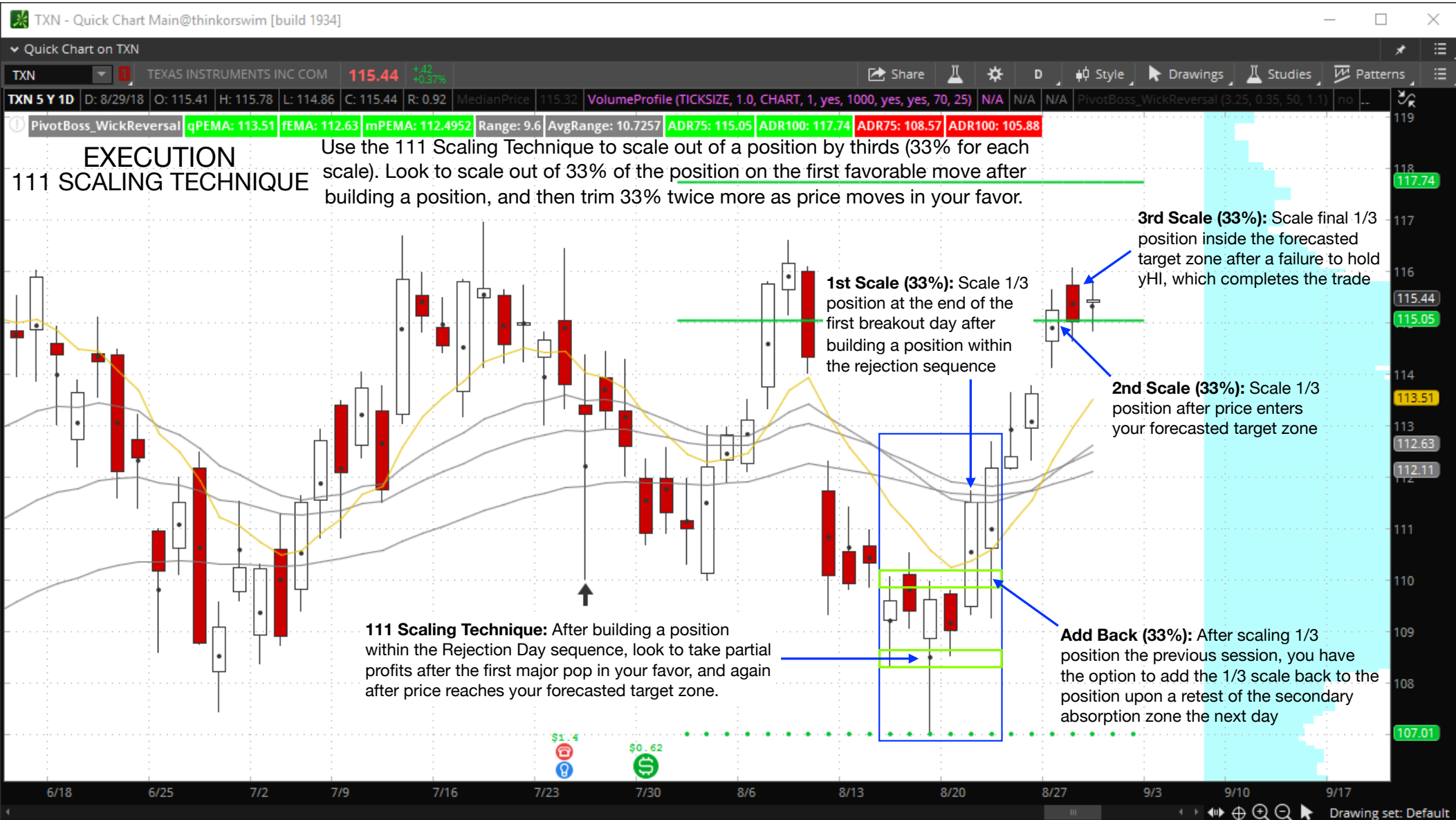
111 Scaling Technique: a 3-part technique used for scaling out of a position by thirds. Each scale-out can have multiple contracts/shares, but ideally there are the same number of units for each scale-out.

111 Scaling Technique:

- **1st Scale:** Scale out of a third of the position at your first target (T1).
- **2nd Scale:** Scale out of second third of the position at your second target (T2).
- **3rd Scale:** Scale out of the last third of the position at your third target (T3).

111 SCALING TECHNIQUE EXAMPLE:

TRADE ALLOCATION	300 shares
1ST SCALE	Scale 1/3 (100 shares) at T1
2ND SCALE	Scale 1/3 (100 shares) at T2
3RD SCALE	Scale 1/3 (100 shares) at T3





PIVOTBOSS
SWING TRADE PRO 2.0

4. EXECUTION

EXECUTE THE STRATEGY

4.1 1x3 Entry Technique

4.2 1x2 Entry Technique

4.3 11 Scaling Technique

4.4 111 Scaling Technique

4.5 211 Scaling Technique

EXECUTION:

211 SCALING TECHNIQUE

211 Scaling Technique: a 3-part technique that is used for scaling out of a position by half at first, and then by quarters. Each scale-out can have multiple contracts/shares, but ideally the first scale has twice the size as the second and third scales.

211 Scaling Technique:

- **1st Scale:** Scale out of half of the position at your first target (T1).
- **2nd Scale:** Scale out of a quarter of the position at your second target (T2).
- **3rd Scale:** Scale out of the last quarter of the position at your third target (T3).

211 SCALING TECHNIQUE EXAMPLE:

TRADE ALLOCATION	4 contracts
1ST SCALE	Scale 1/2 (2 contracts) at T1
2ND SCALE	Scale 1/4 (1 contract) at T2
3RD SCALE	Scale 1/4 (1 contract) at T3

qPEMA: 56.23 fPEMA: 54.62 mPEMA: 53.6286 Range: 11.48 AvgRange: 5.173 ADR75: 54.17 ADR100: 55.46 ADR75: 57.89 ADR100: 56.60

EXECUTION 211 SCALING TECHNIQUE

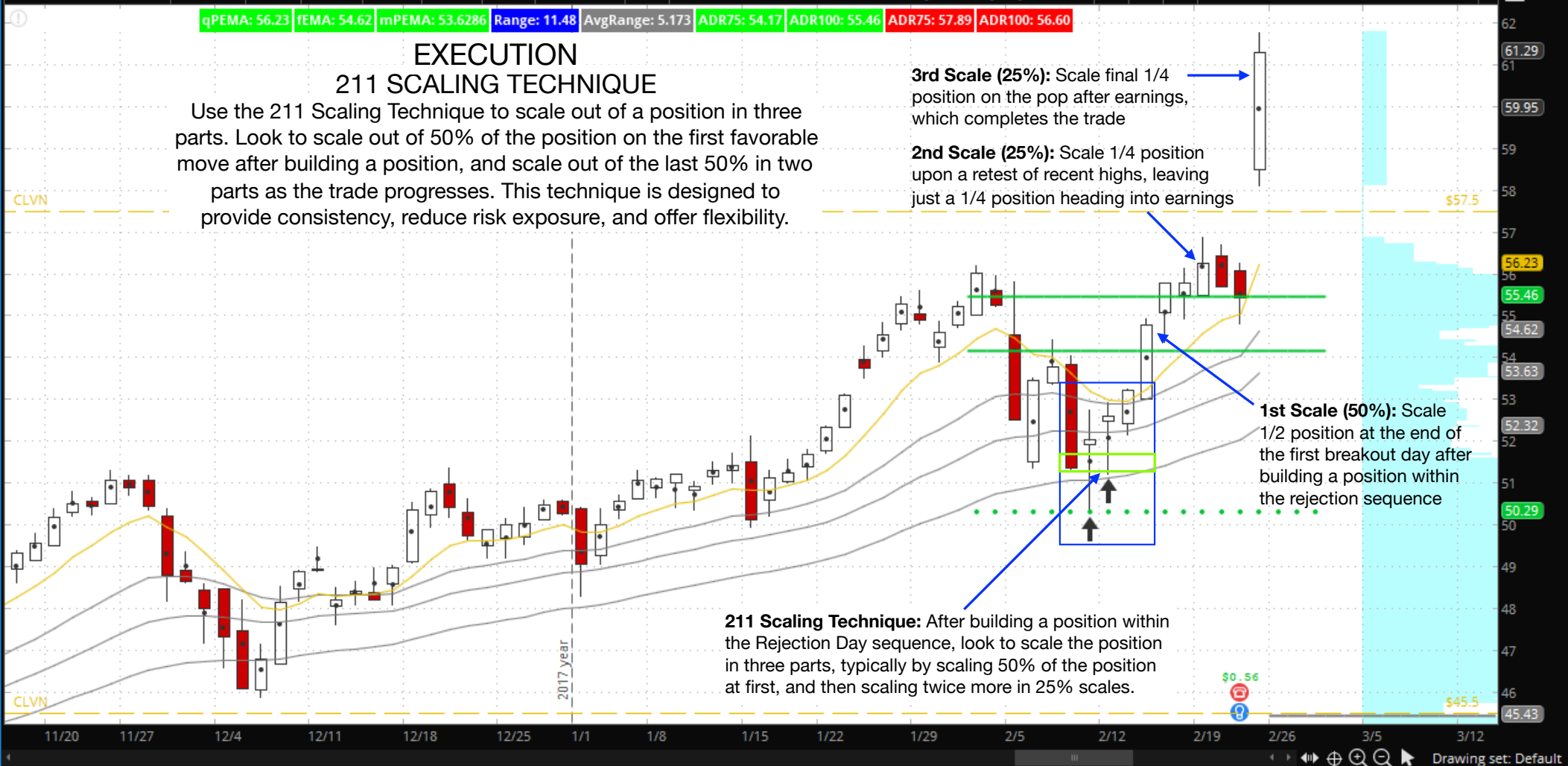
Use the 211 Scaling Technique to scale out of a position in three parts. Look to scale out of 50% of the position on the first favorable move after building a position, and scale out of the last 50% in two parts as the trade progresses. This technique is designed to provide consistency, reduce risk exposure, and offer flexibility.

3rd Scale (25%): Scale final 1/4 position on the pop after earnings, which completes the trade

2nd Scale (25%): Scale 1/4 position upon a retest of recent highs, leaving just a 1/4 position heading into earnings

1st Scale (50%): Scale 1/2 position at the end of the first breakout day after building a position within the rejection sequence

211 Scaling Technique: After building a position within the Rejection Day sequence, look to scale the position in three parts, typically by scaling 50% of the position at first, and then scaling twice more in 25% scales.





PIVOTBOSS

PRESENTS

SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

STEP 4: EXECUTION



PIVOTBOSS

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THE 5-STEP SWING TRADING BLUEPRINT

STEP 5: DOCUMENTATION



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SWING TRADE PRO 2.0

5. DOCUMENTATION

DOCUMENT THE RESULTS

- 5.1 Entry Documentation**
- 5.2 Exit Documentation**
- 5.3 Trade Log & Review**

DOCUMENTATION:

DOCUMENT THE RESULTS

Step 5 of our 5-Step Blueprint captures the importance of proper and routine Documentation, including periodic review of such documentation. In order to improve as a trader, you must learn from experience, including learning from losing and winning trades alike. This process allows you to identify patterns from your performance history that may reveal strengths you can build upon, or weaknesses to improve upon. While documentation is an often overlooked aspect of trading, it is a vital and necessary routine for serious traders.

In this section, you'll learn how to properly document your trades, including entry and exit documentation. Remember, it is not enough to simply document the results, you must also periodically review your documentation and results in order to reveal tendencies that may be helping or hindering your trading.

DOCUMENTATION:

- **Entry Documentation:** You'll learn how to document a trade at the entry
- **Exit Documentation:** You'll learn how to document a trade after the final exit
- **Trade Log & Review:** You'll learn what to include in a trade log and trade journal, and also learn about the importance of periodic performance review.



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SWING TRADE PRO 2.0

5. DOCUMENTATION

DOCUMENT THE RESULTS

5.1 Entry Documentation

5.2 Exit Documentation

5.3 Trade Log & Review

DOCUMENTATION: ENTRY DOCUMENTATION

In this section, you'll learn how to properly document your trades at the outset of a position — at the entry. An efficient approach to entry documentation is to take a screenshot of the chart, followed by annotating the chart with notes that include the following information:

1. TRADE ALLOCATION: Note the trade allocation that you have chosen for the trade.

2. SETUP: Note the setup that you have chosen to trade.

3. STRATEGY: Note the strategy that you will be executing from the toolkit.

4. ENTRY ALLOCATION: Note the execution technique that you will be using to enter and manage the trade.

5. TARGETS: Note the profit targets that you have forecasted for the trade

6. ENTRY PRICE: Note the entry price for the trade, including taking a screenshot of the option chain if need be

7. TRADE NOTES: Jot down pertinent notes for the trade, including current or foreseen market conditions, confluence zones, general trade thoughts, etc.

Quick Chart on AMZN

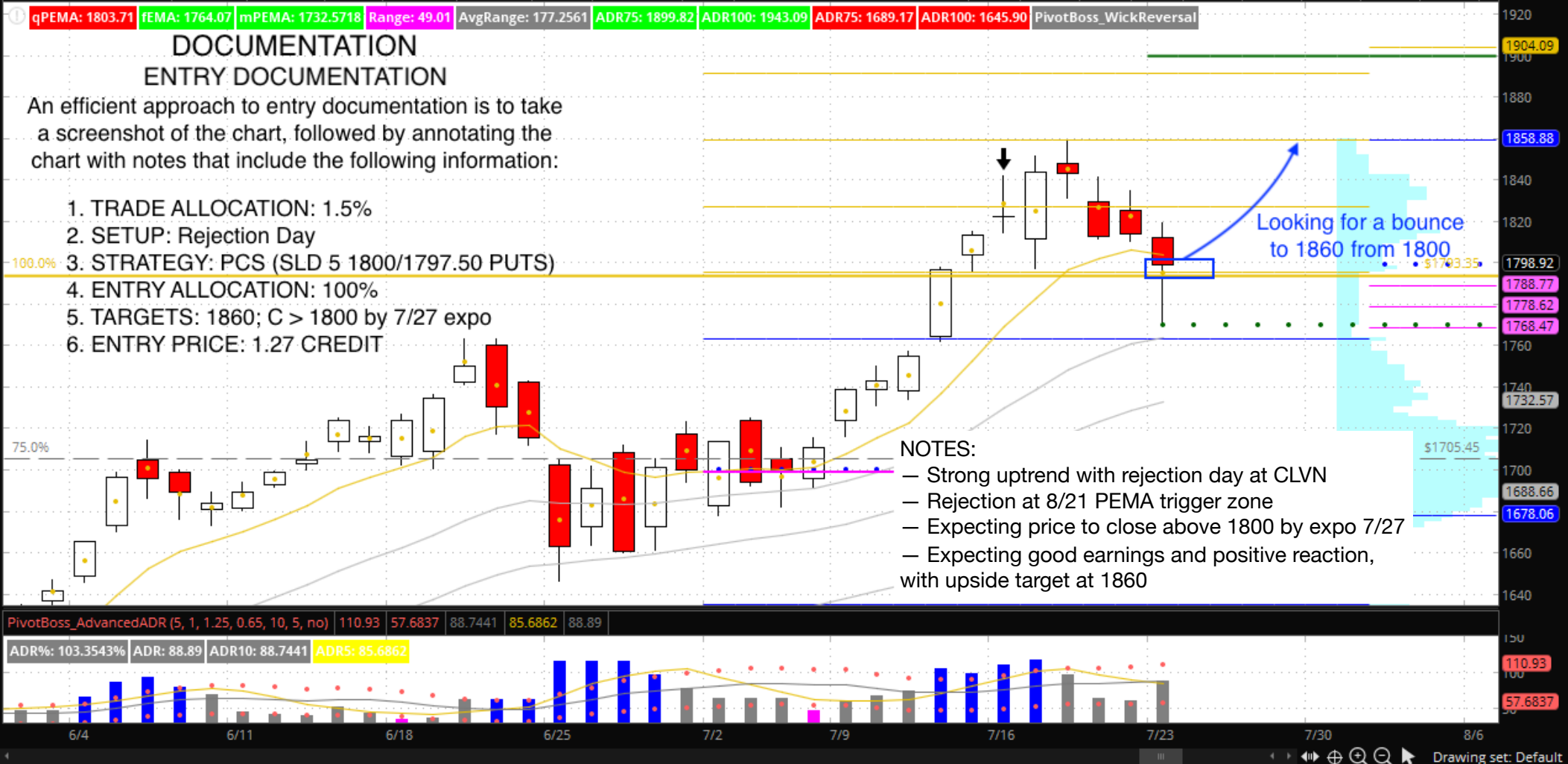
AMZN 5 Y 1D [NASDAQ] D: 7/23/18 O: 1812.21 H: 1819 L: 1769.99 C: 1798.92 R: 49.01 MedianPrice: 1794.5 PivotBoss_Pivots (MONTH, yes, no) 1763.1 1635.09 1699.8 1795.1 1827.11 1859.11 1891.11 1603.09 1571.09 ...

qPEMA: 1803.71 fEMA: 1764.07 mPEMA: 1732.5718 Range: 49.01 AvgRange: 177.2561 ADR75: 1899.82 ADR100: 1943.09 ADR75: 1689.17 ADR100: 1645.90 PivotBoss_WickReversal

DOCUMENTATION ENTRY DOCUMENTATION

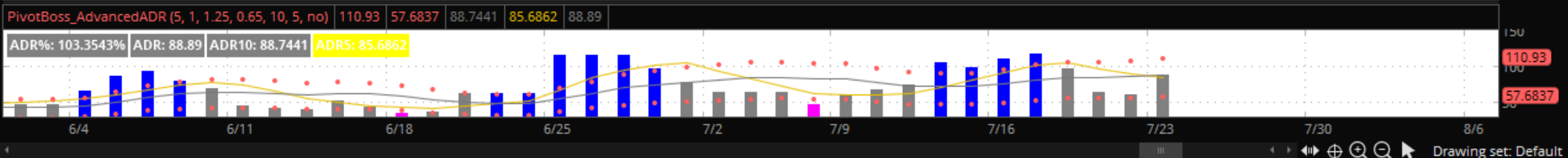
An efficient approach to entry documentation is to take a screenshot of the chart, followed by annotating the chart with notes that include the following information:

1. TRADE ALLOCATION: 1.5%
2. SETUP: Rejection Day
3. STRATEGY: PCS (SLD 5 1800/1797.50 PUTS)
4. ENTRY ALLOCATION: 100%
5. TARGETS: 1860; C > 1800 by 7/27 expo
6. ENTRY PRICE: 1.27 CREDIT



NOTES:

- Strong uptrend with rejection day at CLVN
- Rejection at 8/21 PEMA trigger zone
- Expecting price to close above 1800 by expo 7/27
- Expecting good earnings and positive reaction, with upside target at 1860





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5. DOCUMENTATION DOCUMENT THE RESULTS

5.1 Entry Documentation

5.2 Exit Documentation

5.3 Trade Log & Review

DOCUMENTATION: EXIT DOCUMENTATION

In this section, you'll learn how to properly document your trades at the conclusion of a position. For the sake of efficiency, take a screenshot of the chart once you've completely exited the position, and then annotate the chart with notes that include the following information:

1.EXIT PRICE: Document the exit price(s) for the trade, including all scales

2.PROFIT/LOSS (PNL): Document the PNL for the trade

3.PERCENT ROI: Document the gain/loss as a percentage of initial investment (ROI)

4.DAYS IN TRADE: Document the number of days in trade

5.MAX ADVERSE EXCURSION (MAE): Document the farthest price went against your entry price while the position was still in trade

6.MAX FAVORABLE EXCURSION (MFE): Document the farthest price went in your favor from the entry price while the position was still in trade

7.TRADE NOTES:

- Document what went well for the trade
- Document what could have been improved for the trade
- Document any market conditions that may have positively (or adversely) affected the trade

DOCUMENTATION 1004.73

Take a screenshot of the chart once you've completely exited the position, and then annotate the chart with notes that include the following information:

- 75.0%

- Price hit 1860 target in 2 days, but I held trade for a shot at max profit (close above 1800)
- Could have bought back the credit spread for .05 two days into the trade
- Instead I bought back the spread for .05 51 minutes before expo, and had to sweat the pullback after earnings
- Overall a great trade

Drawing set: Default



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SWING TRADE PRO 2.0

5. DOCUMENTATION

DOCUMENT THE RESULTS

5.1 Entry Documentation

5.2 Exit Documentation

5.3 Trade Log & Review

DOCUMENTATION:

TRADE LOG & REVIEW

In this section, you'll learn what to include in a proper trade log and journal, including suggestions for periodic trade and performance review. Here's what to include:

- 1. TRADE LOG (SPREADSHEET):** It is important to keep a log of all trades, including any and all pertinent information as it relates to the trade.
- 2. TRADE JOURNAL:** It is important to keep a trade journal, either handwritten or digital (or both), that will allow you to jot down notes on the market, for trades, market insights, etc, which should be reviewed periodically.
 - HANDWRITTEN NOTEBOOK
 - DIGITAL NOTEBOOK (EVERNOTE, ONE NOTE, ETC)
- 3. TRADE REVIEW:** Periodic trade review is extremely important, as it allows you to improve upon weaknesses, and build upon strengths.
 - DAILY REVIEW
 - WEEKLY REVIEW
 - MONTHLY REVIEW
 - MILESTONE REVIEW (e.g. EVERY 100 TRADES)
- 4. JOURNAL REVIEW:** Periodically reviewing your trade journal is also important, as it allows you to review your notes on prior market conditions, analysis, and forecasts, and to measure how these eventually turned out in the future.
 - WEEKLY REVIEW
 - MONTHLY REVIEW
 - SPECIFIC REVIEW

TICKER:	\$AMZN
PNL:	+\$610
SETUP:	Rejection Day/CLVN
STRATEGY:	OTM PCS
TRADE ALLOCATION	1.5%
ENTRY ALLOCATION	100%
ENTRY DATE:	JUL 23, 2018
EXIT EXECUTION	100%
EXIT DATE:	JUL 27, 2018
DAYS IN TRADE	5

TRADE RECAP:

- \$AMZN developed a rejection day at the critical market structure CLVN of 1780
- The rejection also coincided with the 8/21 PEMA trigger zone
- The rejection of this level suggested a rally to previous market structure resistance — at around 1860
- Earnings on Friday (7/27), and expected to beat and for price to move higher
- The trade went in my favor immediately, reaching the 1860 target in 2 days

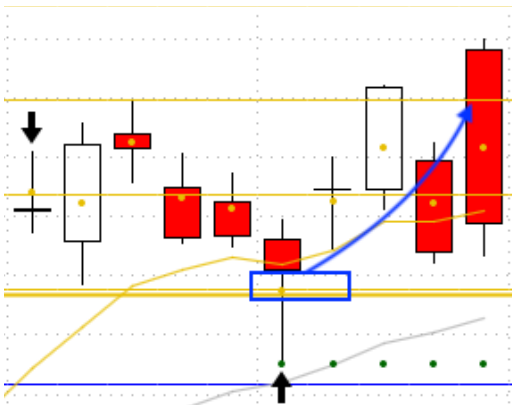
REINFORCING THE GOOD:

- I executed a precision entry after morning rejection, believing that bullish absorption was already occurring off the 1780s
- I held steadfast to my belief that price would close above 1800 by the end of the week, even under extreme conditions after earnings were released, including:
 - Price initially dropping to as low as 1806.96 after earnings were released (my heart rate was clocked at 71bpm during this time)
 - Price gapped up the next day after earnings to 1880, but then dropped all the way to 1806.53 at around noon on expiration day, before settling above 1800 for the week

NEED TO IMPROVE:

I had at least two different chances to buy back my put spread for .05, but instead decided to hold

- **IMPROVE:** Look to take quick profits on a credit spread if .05 can be had early in the trade. This will give you quick profits, and allow you to begin putting new money to work on another opportunity.
- **TAKE ACTION:** As soon as the credit spread is executed to open the position, execute an order to close the position for .05. This will help semi-automate the process and take the money when it is there for the taking.





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STEP 5: DOCUMENTATION



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THE 5-STEP SWING TRADING BLUEPRINT

with Frank Ochoa

President and Founder, PivotBoss, LLC

Author, *Secrets of a Pivot Boss*